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Call: May 2023

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May 10, 2023

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Mumbai – 400 001 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: 543458 Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call Q4 F.Y. 23 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated May 3, 2023 regarding audio recording of Q4 F.Y.23 Earnings call held on May 3, 2023. Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You
Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary
Memb. No. – ACS 20217
Encl.: As above
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"Adani Wilmar Limited
Q4 FY '23 Earnings Conference Call"
May 03, 2023

MANAGEMENT : M R. ANGSHU MALLICK – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR
MR. SHRIKANT KANHERE – CHIEF FINANCIAL OFFICER

MODERATOR : M R. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '23 Earnings Conference Call of Adani Wilmar Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you.

Manoj Menon: Hi, everyone. For representing ICICI, it's our absolute pleasure to welcome you to the conference call of Adani Wilmar Limited. A wonderful good morning, good afternoon, good evening to you, depending on the part of the world you are joining this call from. The company is represented today by Mr. Angshu Mallick, Chief Executive Officer and Managing Director; and Mr. Shrikant Kanhere, Chief Financial Officer. Over to you, sir, for the presentation. And post that, we will open the floor for Q&A. Thank you.

Shrikant Kanhere: Yes. Thanks, Manoj, and very good afternoon to everyone who has joined this call. Thank you very much for joining the call. As a ritual, we will take you through our presentation, a short presentation and then we'll open the floor for question and answer. To start with, we'll talk about the macro context - edible oil prices continued to cool off during the quarter. While the slide still continued, last full year, it was a very eventful year as far as edible oil prices are concerned. The prices were as high as \$2,000 a ton when we started the year. Now it is less than \$1,000 per ton levels. So that's kind of crash we have witnessed during this year. Wheat prices also started going down after the government intervention and has now stabilized.

However, the El Nino fear and unseasonal rainfall which hit Indian territory, off late has created some concern around the stocks. Paddy prices, of course, remain, again, up and down depending upon the season. Food inflation, which is one of the most talked about number during last whole year, cooled down from 8.6% in September '22 to now below 5%. That is something which is

good news for companies like us, where the inflation goes down, the demand picks up and that's where we have an opportunity to pick up our business. Coming to the results highlights. It's a mixed bag, rather, I would say, for the full year as well as for the quarter.

On volume front, for the quarter, we grew by close to 15-16%, which is good. However, the revenue went down by 7%, which is more of a price correction impact due to which the revenue came down. When we look at yearly volumes, we grew by double-digit - 14% growth, fuelled by Food segment. So this is something which is encouraging for us.

Revenue went down by 8% and which was more of a price correction impact. So when we look at our quarter numbers, on a gross profit, EBITDA and PBT level, we actually got impacted on the margin front, primarily because of the 5 basic reasons. The reason number 1 is TRQ disparity, which continued for us in this quarter as well. So while we actually had finished our TRQ quota, the competition was still having it and they were importing the oil without any duty, whereas for us, the oil import was with duty. adani wilmar

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However, we took a conscious call not to increase the prices and keep selling at market prices just to ensure that our market share is intact, that impacted our margins at a gross profit level. Second, of course, in the quarter, the commodity prices slide continued and therefore, similar to what we witnessed earlier in quarter 2 this year. At every level, we had some high price inventory, which had to be sold in the market at a lower price impacted us.

However, the most important factor, which is something I think entire country went through is inflation. Inflation kept impacting our operating costs. Last but not the least of course is the finance cost. We all have seen the rate hike cycle last year, unprecedented rate hikes at U.S., followed by unprecedented rate hikes by most of the countries wherein the Central Banks raised the rates to contain the inflation, so that also costed us because of interest costs went up, which could not be fully passed on to the consumer because the rate hike was quite significant.

And of course, our Bangladesh subsidiary didn't do well this year. They incurred loss because of the situation in the country, which is going on right now. It is still going on, in fact, as far as the currency situation is concerned, there is non-availability of counterparty to hedge the FX position. And of course, too much of government intervention in controlling the prices. All these

factors have actually impacted very adversely on our quarter 4 bottom line. But having said that, these kind of risks are not something which will be there quarter after quarter. We think these risks come and go. The only encouraging thing for us, is that volumes are growing and therefore, in coming quarters, we are quite optimistic given the fact that demand is also picking up. Coming to the FY '23 full year numbers, more or less similar, but when we look at the full year, and as I said earlier, our quarter 2 and quarter 4 got impacted more due to commodity volatility rather than quarter 1 and 3. And therefore, when you look at the full year number, the impact on margin is not as high as we actually experienced in quarter 2 and quarter 4. So overall PAT down by 28%, again, similar reasons which I explained in the earlier slide. But as we go forward, I think the things look good.

On business wise numbers. As I said, we grew by 15% on volume though the revenues went down by 7%. Food segment, which is the priority segment for the company, in quarter 4 grew by 38% on volumes and 53% on the value. So practically, in last 2 years, we have doubled our food business. Similarly, Industry Essentials grew by 55% on the volumes. However, edible oil remained flat because of the demand not picking up from the insti

tutional and frying and bakery

segment, while consumer pack and the packed oil kept growing at a high single digit.

For the full year, again, food story remains same, growing at 39% and 55% on volume and value.

Edible oil remained at 3% and 2% from volume and value. On segment, we had most of our drop in our margins coming in from the edible oil and of course, because the edible oil has been a significant contributor to our top line as well as bottom line. And of course, the volatility was very high, as far as the edible oil is concerned. This is a segment which was impacted very much whether it is quarter or whether it is full year. But as I said earlier, since the prices have now cooled off, stabilized and from here onwards, we don't see the volatility hitting our profitability numbers. adani

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So these are the few key highlights I will certainly not read into everything. I'll just highlight a couple of them that our food business now is close to INR4,000 crores, which we were seeing since last year since we went into the IPO. And I think, as we said earlier, it is doubling every 2 years. And therefore, we are quite optimistic. Within the food, wheat flour and rice are individually now INR1,000 crore plus businesses. Our Oleo Chemical is growing by more than 20%. And so these are a couple of highlights, which are there. I think I'll not go through every slide. So can you go to the next slide? On the macro context, I think quarter 4 -- so these are basic reasons which I spelt out earlier, what are the reasons which impacted our margin.

Next. On the business update, our leadership in edible oil continues. So we are number one player in soybean, number two player in palm, number one player in mustard oil. Our leadership continues while market share is 1.5x of our next competitor. And we are going quite decently on our market share as far as the edible oil is concerned. For wheat flour and rice, the growth story remains. We are consolidating our market share going up from 4.7% to 5% in the case of wheat flour and 6.5% to 7.2% in the case of rice.

Now I will, in fact, stop here without dwelling much on the presentation, which is already uploaded on the NSE & BSE. We talked about a lot of other things in the presentation, which I don't think needs to be explained at least on this call because most of you who are attending this call has a fair understanding about the company, and segments. I would now request Manoj to open the floor for question and answers. Myself and Mr. Mallick are here, we will try to answer as much as possible. And let's go ahead with the question and answer.

Moderator: Thank you very much. We have a first question from the line of Manoj Menon from ICICI Securities.

Manoj Menon: Team, just a couple of macros and then a couple of other questions as well. One, sir, if you could tell us about, let's say, your view, your outlook on the different commodities because it could behave differently -- different edible oils rather than the market. So that's question number one.

Angshu Mallick: Okay. Manoj, I will take one by one. Let's go to our big business, edible oil. Edible oil prices from the top has come down presently is in the range of USD 950 which possibly is very low.

Rice bran oil crude is at INR79, which is surely very cheap. Cotton seed oil is in the range of INR95. Mustard oil has come to around INR95, INR100. So all these oils are at a low levels. 2 things are happening.

One, between H1 and H2, let me tell you, our sales has grown by 28% in terms of packed oil,.

That means in H2 consumers have consumed that much amount of more, one; and two, our brand share has gone up because edible oil prices have come down.

Two, at these levels, India consumes only 16.5 kilo per head whereas if you see Bangladesh, 17

kilo, Pakistan is 19, China is 24. So obviously, India will con

sume more oil. And we are seeing

that in the first 4, 5 months of this oil year, that oil year starts in November, the imports are already 8% up. So consumption is also 8%, 10% up.

So we see one, India will consume more edible oil at these prices. Good for us because strong brands like Fortune will attract more consumers. Second, it is now more affordable, so adani wilmar

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consumers will put in more money on the brand. Third, what we are seeing, 5-liter jars, 15-liter jars, where we saw a drop in sales in the first half of the year; second half, it started going up.

But Jan, Feb, March, the 5-liter jars sales really picked up, that's an indication that consumers are buying full 5-liter at a time. So that is good for brands like us. That is one.

Now we go to other products like wheat. Wheat market went up to INR28-29 per kilo levels. So obviously, a lot of local brands evaporated from the market. Fortune obviously, was there, and we grew the market. We consolidated our position. And thanks to our inventory management.

Generally, we buy large quantity of wheat during the season, and we keep it so that we are able to supply consistently same quality to the consumer. And that is what is our USP since we have enough funds to carry. And second, we know that wheat prices normally goes up as the season goes up.

So we were able to supply wheat, our volumes grew by around 35%, 40%. Now come to rice.

The rice, rice basmati is only branded, non-basmati is not branded. We have started non-basmati in a bigger way. So we have processing plants in UP, Bengal, South and we are also packing in Gujarat and other places. So we now have almost a pan-India packing and distribution centres for non-basmati rice. And Basmati, obviously, we are there with Kohinoor and Fortune. So this portfolio grew by around 40%, 45%.

Then come besan. Besan is a big business for us, almost nearly a hub that means 50,000, 60,000 comes from the brand, 40,000 comes from the HoReCa segment. So almost 100,000 tons business for us. We are the largest player there. So we saw out-of-home consumption going up. So that's commodity pulses and Besan did well.

Sugar, we are in branded segments, so that did around 18%, 19% growth. So year-on-year, it is growing. So all the commodities, if you see, the prices have become stable, affordable and country is consuming more. One very interesting thing I would like to inform you and everyone is that there is very clear evidence of rural now consuming more. That is very, very clear.

Quarter-on-quarter, if I were to tell you, in edible oil, our normal share is 30% rural, 70% urban.

That was Q1 was 30%. Q2 was 29%. Q3 was 29%. Q4 was 31%. It went up.

And in foods, it was 29% in Q1, then 30%, 30% and Q4 was 34%. So both food and oil showed much better volume growth in rural market. So that is good for us that brands are getting considered. So this is important Manoj. And the third part of all these commodity is who -- how are you selling? So alternate channel has become very important.

E-commerce, let me tell you, is becoming very, very important for grocery. Alternate channel in edible oil has grown from 10% to 12% in 1 year. But in case of food, it has grown from 15% to 23%. And today, food gives us 23% business from alternate channel. But this is at India level. But if you go at some towns like Gurgaon, Pune, Bangalore, all these places, it is almost 60% of the business coming from e-commerce and our brands, obviously, does well in these states, this is what I wanted to say. adani

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Manoj Menon: Just a lot of my follow-ups also. Just one aspect in terms of the volatility, which you have seen, does it also create articulation opportunities for you? Are you finding such opportunities in the market currently?

Angshu Malli

ck: See, when the market goes up, commodity goes up, brands or very strong brands like us can grow on volumes. But after a point, we can't increase the price when the commodity goes up very much like what has happened. But when it comes down, we don't reduce it at the same level. And the consumers are comfortable, say, in today's situation, consumers are comfortable

buying our product, although we have not corrected it downwards to that level. So when commodity comes down, strong brands like us will surely gain.

Manoj Menon: Okay. Sir, my question was, does this volatility also mean in industry consolidation and accelerated market share gains for you?

Angshu Mallick: There has been a situation where many of the brands were not available when the market went up to \$2,000, because they could not cover and they had no stocks. So then they return back when the market becomes normal. But surely, there is an opportunity to consolidate.

Manoj Menon: Sure, thank you.

Moderator: Thank you. We have a question from the line of Latika Chopra from JPMorgan. Please go ahead.

Latika Chopra: Hi, thanks for the opportunity. A couple of questions. First was on edible oils. You closed the year with 3.4 million tons of volumes. As you look forward to FY '24, and you did mention some pressures on the B2B side of the business. How should one think about full year volume growth? Would it be in the mid-single-digit range picking up from 3% levels that you clocked for FY '23?

And the second part on edible oils is on realizations. Your Q4 average realizations were almost 10% below the full year realizations. So does it mean that assuming prices kind of stay at Q4 levels? And I know mix might keep changing. For FY '24, we are looking at a high single-digit decline in realization year-to-year is -- how should one think about that?

Angshu Mallick: I will answer your first one first, that on 3-4% growth. See, overall, edible oil growth for AWL has been 3-4% on volume. But when you look at packed edible oil business, it grew by 8%. Our B2B business was impacted mainly from the frying industry, namkeen industry, these industries had difficult time because with raw material prices going up, their INR5, INR10 snacks did not do well because they did not have margin and many people were not able to sell.

So we found that these small frying companies who handle namkeens basically and potato wafers, they were impacted and they buy our oil. So that is one. But brand share packed oil grew at 8%, which is surely more than what Nielsen has given. Going forward, we are confident that we will continue to grow at more than 8%. It looks like because India is consuming more. And since India is consuming more, we are confident that it will grow more.

As far as B2B is concerned, B2B is now coming back as out-of-home consumption has started. Frying industry, baking industry started doing well. Rural market is doing well. It is very adani wilmar

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important for rural to do well for this type of industry because rural consumes a big amount of biscuits, confectionaries and namkeens. And when the people go out of home, they buy more of these products. So it is very important, and we see a good opportunity.

So I think overall, overall, India will consume more edible oil for sure, and Adani Wilmar will also grow at more than India's level. And as far as the realization is concerned.

Shrikant Kanhere: Yes. I think Latika, so as we said, the prices have already cooled off and settled. We also don't think that there would be now any bullishness that might come in the edible oil prices. However, having said that, you never know because the kind of world we are sitting today, you really don't know what is coming up tomorrow. But assuming that there won't be too much of price rise in edible oil prices, I think the realization should moderate by close to 15%

as compared to the last year.

Latika Chopra: That's helpful. And when you think about -- I don't think margins probably is the right way to look at it. But if you're looking at EBIT per metric ton or EBIT growth -- EBIT per metric ton, how should one think about that? There will be -- there is a price deflation but volumes will go up. But it seems like even if volumes go up, high-single digit, and there is a double-digit price deflation. Are we saying that overall revenues for edible oils in FY '24 could look lower but at the same time your EBIT per metric ton could improve and I was just thinking about the other costs, operational costs et cetera, which you mentioned have been inflationary in nature. How are you thinking about that?

Shrikant Kanhere: Yes. So the big thing which is very important in our industry is that if the edible oil prices are cooled off and therefore, you have a reasonable price levels. The brands like us should be able to pass on any inflationary pressure on the operational cost or interest or anything else to the consumer. But however, you can't handle both. On one hand, you have high edible oil prices. On the other hand, you also have an inflationary pressure on your cost.

So, what we are very optimistic about is as we go forward in next year, since prices have stabilized at pre-COVID levels. So, we should be able to consolidate our margins on EBITDA level per ton as far as the edible oil is concerned.

Latika Chopra: Okay. So because of the huge volatility in Q3 -- in FY '23, among quarters, right, Q2 and Q4

were quite low. So should we then take the reference more as where we have numbers on FY '22, FY '21, which were like INR3,000, INR3,500 per metric ton kind of an EBIT on full year. Can we reach those levels if there's some confidence?

Shrikant Kanhere: Yes. So I can only say you that we can certainly look at the levels which we were at in FY '22 given the fact that now edible prices have stabilized. So we should be able to achieve those levels, which we actually demonstrated in FY '22.

Latika Chopra: And the second question I had was on Food business where you've done really well, so 38%, 40% kind of growth. Is that kind of momentum of 30% to 40%, we still maintain over high -- means over a base that you were able to clock in FY '23? Is there a reasonable confidence in terms of capacity build-up and revenue potential? adani wilmar

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Shrikant Kanhere: I think the Food business, we are very bullish because honestly, only 12% is branded in Atta. How much we can grow is something that I think we can surely push, why not, this 12% is very low figure. The country can surely consume 25% branded Atta, and it is possible. So we have - our new capacities are coming up. We have put Bundi 500 tons per day. We are going ahead with another 3 such capacities in near future for 500 tons each atta, Maida. So we are taking some units on toll and all that, we are ramping up our capacity. We are increasing distribution reach for atta and Maida. That is one.

Two, Rice business, we see a great opportunity to grow. So we are pushing that. All the food segment, we are very bullish, honestly. And we are investing also heavily. Our 3 new dal projects are coming up, which should be ready by year-end, which are all 240 tons per day chana dal. So I think we will be the largest chana dal player in the country after 1 year. So entire dal that we will get, we will sell that to the institutions to the HoReCa and to consumers, plus wheat, besan out of it. So all this put together, we are putting a lot of money on capex in food business.

Latika Chopra: And I know you've always maintained that revenue growth is prioritized over margins in this segment, but you have done decent with overall year ending at almost 2.5% EBIT margins, which actually were better than edible oils for this business. So you shou

ld -- would the mix and

the scale leverage keep pushing up these margins for Food business going forward? Or the level of investments that you're making could be a little bit of a drag?

Shrikant Kanhere: So you're absolutely right, Latika, so edible oil -- I mean, food this year actually delivered better on top line as well as bottom line. But as we said, and we were maintaining this since beginning that we are driving food at an EBITDA zero level just to ensure that we reach to a respectable level of 25%, 30% of food coming in the overall scheme of the things.

But having said that, as we go forward in the next year, we will have some capacity additions coming in, and therefore, the depreciation costs and other costs will be adding it up. However, the performance on the bottom line, I think we should be able to continue the way we have been able to deliver. We are ahead of, in fact, delivering on the food bottom line than what we had said earlier. But I think next year going forward, I think this performance should continue.

Latika Chopra: All right. And just one bit on Industry Essentials. You had 1.2 kind of million metric tons of volumes, which is like a 34% volume growth because you added more capacity. What are the plans for FY '24? Do we see full impact of capacity additions still playing out in the next few quarters?

Shrikant Kanhere: Yes. So the capacity which we added for Oleo is still not been fully utilized. So therefore, you may see more volumes coming in Industry Essentials. But let me also tell you that Industry Essentials volumes are also consist of a couple of traded commodities such as rapeseed meal and other meals. So if that gets added, it may continue to grow. But this 34% majorly came from the DOC rather than coming in from oleo. So to answer your question, the oleo capacity will play full when we go forward even next year. adani wilmar

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Latika Chopra: And in terms of realizations, here, again, there is a fair bit of volatility, but is the average that we've seen over the last 2, 3 quarters, a fair way to look at average realization here, like this -- sorry, the Q4 levels that we have because so that it is included...

Shrikant Kanhere: Yes, absolutely right. So Q4 levels are kind of now levels which you can expect as we go

forward.

Latika Chopra: So like for edible oil, you said like almost 15% deflation for FY '24, this will be a lot lower, right? Or?

Shrikant Kanhere: This should be more or less similar to what we have seen because at the end of the day, oleo is an extension of what we do in a palm refining.

Latika Chopra: Okay. And my last question was on planned capex for FY '24 and if you have any visibility in FY '25 also if you could share? Thank you.

Shrikant Kanhere: So all our capex, which we had envisaged in IPO are running on time, the biggest complex, which is at Gohana, too has started. So, out of the total capex outlay of close to INR 2,220 crores, we have around INR 1,900 crores of IPO proceeds. We have already spent close to INR400 crores and another INR400 crores of commitment has already been issued. So close to 50% of capex already committed. As per the plan, most of the capacity should get delivered by end of FY '24 except for the fact that the Gohana, which is the biggest one, will get delivered only in FY '25.

So basically, all the capex which we are doing it now, the real impact on the bottom line and the top line, both we should start seeing from FY '25 and to FY '26.

Latika Chopra: Got it, thank you so much.

Moderator: Thank you. We have our next question from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: Yes. Two questions from my side. First is on the high inventory cost base that we discussed in the results. So can we now -- can we assume that the impact of all the high cost inventory is already taken? And from he

re onwards, we can expect improvement in margins, etcetera?

Shrikant Kanhere: Yes, I can only answer it in one sentence that now FY '24, we are starting with a clean slate.

Varun Singh: Okay, sir. Okay. Right. And sir, my second question is how do we see rising competition from private label from all the alternate channels. So I mean, including modern trade, e-commerce, quick commerce, etcetera?

Angshu Mallick: See, product-wise, the competition is different. Take edible oil, the first one. It's a big volume business. General trade is 90% and 10% is alternate channels. So, in alternate channel, private label shares are much smaller. It's not more than 10%, 12%. So put together in edible oil, private labels have not played big and they have not been able to succeed because of the volatility and they're not being able to manage that well. adani wilmar

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When it comes to food, in rice, I don't think basmati rice, there is any private label that is strong.

There are top 3 brands in the country and Fortune and Kohinoor is also amongst them.. Atta, I have seen top 2, 3 brands nationally are doing better although there is some amount of private label, but that is not so strong and not a very preferred choice of consumers. Yes, people do buy, but it's not something that people always order online.

And dal yes, dal, I would say, private labels have done better because there is no national player, which can command one premium and recall. So they have done very well. Besan, I think branded besans are doing better than private label besan. Poha, private label poha has done better because there is no national brand. We are there in the national, but we are still to grow big. So there are some products where private label has done well because there is no national competition or even strong local competition. And -- that is only where they have done well. Otherwise, I still think the national brands are doing better.

Varun Singh: Understood, sir. Understood. And sir, any commentary regarding private label doing better on e-commerce compared to modern trade? Or I mean, in both the places, I think your commentary remains same?

Angshu Mallick: I think modern trade private label will do well because they have the ability to push it. They can keep a good brand behind and they can put their brand in the front of the shelf, they can promote their brand aggressively and they can put some gondolas on display. But in e-comm, what happens is that consumers generally go for brands that they trust.

Varun Singh: Understood, sir, understood. Yes, that is from my side.

Moderator: We have a next question from the line of Yogesh Tiwari from Arihant Capital Markets. Please go ahead. Mr. Yogesh Tiwari your line is unmuted.

Yogesh Tiwari: Thanks for taking my question. My first question is on, if you can share the percentage for -- B2B and final consumer in terms of your edible oil and food business, both what will be the percentage which goes to B2B like baking and other industry and the final consumer?

Shrikant Kanhere: I will give you the little slicing on edible oil. So 75% of our edible oil we sell in a packed format. Now that packed format can be a consumer pack and that pack format can be a bulk pack also,

which is a 10-liter and 15-liter kind of a pack. The rest of the 25% of edible oil, we sell actually to the institutional or a bakery and frying industry, which goes into loose. So that's the basic slicing of the edible oil.

Yogesh Tiwari: And are the same in the food business, like if I can get a percentage of B2B and final consumers?

Shrikant Kanhere: In Food business, this ratio is a little high. It would be around 80-85% in packed form and balance 15% would be institutional, see, there is nothing loose in food. Even the 50-kilo is the only large size pack that is sold, but that is Maida, mainly Maida for the baking indu

stry. So,

that is something which we give in 50-kilo bags whereas everything is a 25-kilo bag and less.

However, most of the atta sales, about 90% is in consumer pack up to 10-kilo. Rice is also 1-kilo, 5-kilo, whereas 25-kilo or more is there for the institutions. adani

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Yogesh Tiwari: And sir, are we seeing any recovery in the baking industry because that would be very important for volume growth. So from last quarter, we are seeing this slowdown. So any recovery in fourth quarter and going forward in the baking and confectionery industry?

Angshu Mallick: See, the biscuit industry has started doing well. Biscuit industry should grow at around 7-8%.

That is what our estimates are. So baking industry should do well because Maida prices have come down. Edible oil prices have come down. Only the sugar prices were high, but sugar is also under control. So there are three major products that they consume. All the three are under control and especially oil is surely controlled. Wheat flour, which they were buying at a higher price, too has now come to normal levels.

When it comes to frying industry, potato was a problem. Now, potato availability has increased, edible oil prices coming down and rural & out-of-home consumption has begun. I personally feel the frying industry has also started doing well. So you will see that all the snack-food industry is also doing well, because their major consumption comes from out-of-home. And the more the people are on the streets, they will buy.

Yogesh Tiwari: Yes, sir. And sir, in terms of realization in edible oil. So like as you said, we are currently about \$1,000, and we expect about 15% drop approximately in realization. So at \$850, will that be a bottom like after that, the price can still stabilize and go up?

Shrikant Kanhere: No, sorry. So my -- when I was answering to the question raised by Latika, when I said 15% moderation in the sales realization, I'm was referring to the last full year average of the realization versus the realization that we expect as we go forward into next year. I was not referring to the commodity prices correcting from \$1,000 to \$850, is our realization, which we cropped for FY '23. As we go forward, since the prices have already cooled off, so the realization per ton as compared to last year, maybe 15% lower than that is what my comment was.

Yogesh Tiwari: Sure, sir. And sir, in terms of rural consumption, as you told that it is growing faster than urban. So any multiplier we can use to understand that. So like what would -- how much more is the rural growing more than urban in terms of edible oil?

Angshu Mallick: See, normally, when we say rural is doing well or not well, statistically, it should be proved. I have -- earlier also, when somebody asked me, I told them in January that we could sense some improvement in rural demand. So as I said, you see quarter 1(Q1'23) was 30%; 29% in Q2; Q3, 29%; Q4, 31%, that means 31% of our packed edible oil was sold in rural market. This has increased from 29% to 31%. That is overall, we saw 2% increase in share, and that is not small when you are looking at almost 25 lakh tons packed oil that we sell annually. So you can understand that 2% shift is a significant quantity that is shifting to rural, and that is we think is bringing back the rural demand. But more heartening to see is your packed staples. Can you believe that 45% of our besan, 0.5 kilo pack sales comes from rural market, across UP, Bihar, Orissa, Jharkhand, Maharashtra, these are the markets where our besan is selling 0.5 kilo in Fortune Besan in consumer pack.

Now that is what you see. 25% of branded sugar, that is Fortune Sugar is selling in rural market. Almost 30% atta is selling in rural market. So overall, overall food basket is 34% which is, I adani

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would say, very significant if you look at the packed branded Fortune Atta or sugar always

selling there. So that's an indication of improvement in rural market.

Yogesh Tiwari: And sir, finally, like the growth which we are seeing in foods, that would be more driven by branded, like what would be the contribution of branded and unbranded in the food business in terms of revenue?

Shrikant Kanhere: So in terms of revenue, as I said earlier, also, more than 72% of our revenue come from the branded segment and 28% is the institutional one. When we talk about the growth, I think growth is across, including the brand. So within the edible oil, as Mr. Mallick said earlier, we should be able to showcase a high single-digit growth, whereas the food should continue to grow the way we are growing today because last year, we clocked 39-40% growth. And therefore, the target is always to double the volumes in 2 years, which we have been able to showcase.

On the institutional side, the oleo and castor keep growing at a double digit. So most of the growth ideally should be coming in from the brand and not from the institutional.

Yogesh Tiwari: Thank you sir, that's all from my side. Thank you.

Moderator: Thank you. We have a next question from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan: Yes. Sorry. So we want to understand what is the improvement of distribution case on a year-on-year basis based on the edible oil segment and also in the food segment?

Angshu Mallick: Distribution.

Shrikant Kanhere: So, Akshay, I'm just repeating your question for ease. What you have asked is what is the growth in the distribution as far as the edible oil is concerned, right?

Akshay Krishnan: Yes, and also in the food segment.

Shrikant Kanhere: And also?

Akshay Krishnan: On the food segment.

Angshu Mallick: On the food. Okay. Akshay, we have understood that distribution will be the key differentiating factor between Adani Wilmar and any other similar kind of product companies. So we have gone ahead with ramping up our rural infrastructure. Now urban, let me tell you, there are 505 towns, which are 1 lakh plus population towns. We cover all of them directly. So our salesman goes shop by shop and picks up the order. We do almost 3.3 lakh retail outlet directly.

And in rural, we do about another 3 lakh outlets directly through our distributors and our own sales force that we have. In rural, let me tell you, there are almost 600 towns which are 50,000 population and above. I'm talking of only 2011 census, because that is what is the published census we have. So we are working on that only. So 600-odd towns, we cover 594 directly, rest is covered indirectly but that also 6, 7 left, which we will do this year. After that, we have increased our rural town coverage from ~5,200 towns last year to ~13,600+ towns this year. This adani wilmar

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includes any towns which you see 20,000 plus population, we are trying to go and directly put a distributor and cover the retailers there.

Like that, today, direct coverage has picked up ~6 lakh outlets. If we include the indirect coverage, it is around 1.6 million outlets. Still, this is only 40% of the universe. So we have a bigger universe to cover. So go-to-market is one of the most important parts and we would like to be directly reaching as many outlets as possible because these are all staples and consumers can't wait if it is not available. So the game is if you are available and if you are visible, you can sell that is what we believe and that is how we are working.

Akshay Krishnan: Got it thanks sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Shrikant Kanhere: Yes. Thanks. I again extend thanks

to all the participants who participated in this call and asked the questions. We encourage you all to go through our presentation, which has been uploaded on the site. And please connect with us for any further questions. Thank you very much again for joining the call. Thanks.

Angshu Mallick: Thank you all for attending and I hope we have been able to answer most of your questions. Still, we are always available, and we can answer to each of your questions, if there are any. Overall, we believe India is bullish. India is going to consume more, and we are in the centre of the plate. So I think Adani Wilmar should do well.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. adani wilmar

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Call: Aug 2023

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Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: 543458 Scrip Code: AWL

Dear Sir,
Sub: Transcript of Earnings Call of Q1 of F.Y. 24 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated August 2, 2023 regarding audio recording of Q1 F.Y. 24 Earnings call held on August 2, 2023. Please find attached transcript of the Earnings Call. You are requested to take the same on your record. Thanking You Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary Memb. No. – ACS 20217 Encl.: As above
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"Adani Wilmar Limited
Q1 FY '24 Earnings Conference Call"
August 02, 2023

MANAGEMENT : M R. ANGSU MALICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ADANI WILMAR
LIMITED
MR. SHRIKANT KANHERE – CHIEF FINANCIAL
OFFICER – ADANI WILMAR LIMITED
MR. SAUMIN SHETH – CHIEF OPERATING OFFICER –
ADANI WILMAR LIMITED

MODERATOR : M R. KARAN BHUWANIA – ICICI SECURITIES LIMITED

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August 02, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Adani Wilmar Limited Earnings Conference Call for Q1 FY '24 hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you, and over to you, sir.

Karan Bhuwania: Hi, good afternoon, everyone. It's our pleasure at I-Sec to host Q1 FY '24 results conference call of Adani Wilmar. The management is today represented by Mr. Angshu Mallick, who's the Chief Executive Officer and Managing Director; Mr. Shrikant Kanhere, Chief Financial Officer; and Mr. Saumin Sheth, Chief Operating Officer.

I'll now hand the call to -- hand the call over to the management for their opening remarks, post that which we can open for Q&A session. Over to you, sir. Thank you.

Management: Yes. Thank you very much, very good afternoon to everyone who have joined this call. Thank you very much. As a ritual, what we will do is we'll take you through a presentation, a very brief presentation, and then we'll open the floor for Q&A.

Moving on to the presentation. We'll just talk about the macro context for the quarter. There were multiple headwinds during FY '23, which continued in the Q1'24 as well, Ukraine war refuses to die down and there are a lot of events which keep happening in and around this issue, which impacted the edible oil prices, going up and down. US inflation continued to play the role in entire volatility. It's still sitting at 4%, much above the US Fed target of 2% and therefore, the hiking cycle, which continued within the last year

. TRQ quota, finally, now we are done with, but, as far as the Q1 is concerned, TRQ quota was there. June '23 was the end for the TRQ quota.

So hopefully, from the next quarter, we will not have issue with the TRP quota. There was a drought in Argentina, where the soyabean crop yield practically reduced by 50% from as high as 50 million to close to 25 million. Luckily, it got compensated with a good crop in Brazil.

Wheat and rice export ban and there were a lot of countermeasures that Indian government took to ensure the food security for India. These all events have got some or other impact on the profitability of Adani Wilmar.

Edible oil prices, as I said, continued to decline from as high as \$2,000 a ton in April to now below \$1,000, which is quite a significant drop. In the quarter also, it kept coming down every other event, which has got some or the other impact on the profitability.

On the business updates, we have been working very hard on the distribution front. Our direct reach of outlets is now more than 6 lakh outlets. Rural coverage towns, which we are closely adani

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working on is now close to at 22,000+ towns, which we have covered till now. Last quarter, this number was close to 13,000+ towns. So in this particular quarter, we have added 6,000 to 7,000 towns. Rural saliency now is a little more than what we used to see earlier. From 30%, it's now going up to 31%.

So, if you look at from FY '20 to quarter 1 '24, it's 2x kind of a jump in terms of direct reach outlet, and we are closely working on ensuring that how can we take this direct reach from presently a little more than 600,000 outlets to 1 million outlets. Rural coverage town, if you compare from FY '20 to Q1 '24, it's more than 6x improvement.

On market share, we maintained our leadership in edible oil with 19.5% market share with the follower sitting quite below us at 13.8% and the rest of the competitors are actually within the range of 5% to 6% of market share. Wheat flour, we remain the #2 player in the country with a market share now of 5%, from 4.9% to 5%, which is again up 10 basis points in a year's time. Rice, our market share went down for the Fortune brand from 7.9% to 5.9%. This is something which is a cause of concern for us, and we are working very closely to see that in which markets

is this impact which have come to us. I think as we go forward, we will have a definitive plan to ensure that we go back to the level of the market share which we used to have a year back. There are some new products which we launched in this quarter. We are the first company – the first national company, rather, I would say, to launch a whole wheat (grain) under the Fortune brand. We launched 4 varieties of wheat -- whole wheat under the Fortune brand. And the numbers are quite encouraging for us. The response which we have got so far from the consumers is quite good, and we hope that we will grow this basket to a respectable level by the time we speak to you next year.

As we said earlier, the HoReCa focus continues, and we have launched a product called Ozel, which is a cleaning agent, which can be used by the restaurants and hotels for cleaning their linens and cleaning their floor and utensils. I think this product has also been received very well by the consumers.

Our D2C focus remains. Fortune Mart is now present -- we have presence in 26 cities with 33 outlets, more than INR2,300 of average order value, which is quite encouraging. Sales is also growing steadily from Q1 '22 to Q1 '24, 10x kind of growth, which we have been able to register in Fortune Mart. Similarly, when we talk about the Fortune Online, which is an online D2C initiative, we are there right now in 25 cities with 64,000-plus downloads, 38,600-plus orders in FY '23 and average order value of more than INR1,000. And this also, within a year's time, we

have been able to showcase a growth of 15x.

Supply chain updates. Now we are present -- continue to be present at 90 depots with more than 2 million square feet of depot storage under our company. Now we are basically moving slowly to the multimodal kind of a dispatch situation where more than 18% of our dispatches are through a multimodal logistic in terms of railway, which is also something which we are driving as an ESG initiative. Direct dispatches are quite encouraging, 57% of our dispatches are now directly to the consumer (distributors) instead of going into the depot. And we have been driving adani wilmar

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that how can we increase the CNG portfolio in terms of our dispatches. So we have now close to 5% of our dispatches which are through a green fuel, that is CNG.

We have launched a new Kohinoor campaign. For the benefit of all those who have joined the call, we have uploaded the TVC, it can be played by you all offline. We'll skip this for the moment.

On the marketing activities, our Soyabean Campaign and all the other campaigns continued in Q1, including Sunflower Oil Campaign. We continue our digital marketing for Fortune Atta as well as for the Mustard Oil Campaign. We have had targeted activities for Rice Bran Oil and various activities across India depending upon the regional preferences.

On the ESG, we continue to focus on our ESG initiatives. We have now more than 9 plants -- all major 9 plants have got a zero liquid discharge. On green energy, successfully, we have implemented solar power in our 8 plants out of 23 plants. And our palm oil traceability continues to be more than 90%, which is traceable till mills, for the quarter. And as far as the recyclable packaging is concerned, we continue to have more than 98% of our packing material as recyclable. Update on our IPO Projects are running on time. Whatever we had envisaged in our prospectus, which was filed at the time of IPO, we are running all the projects as per the schedule. All projects should get delivered by end of FY '24 or FY '25, and that's where these projects will start contributing to the top line and bottom line of the company.

Coming to the result highlights, the edible oil, food FMCG and industry essential, our pie of food is steadily increasing in terms of volume. In fact, it has now reached to the level of 18% in terms of value, it is 16% of overall revenue, whereas 60% has been -- 59% is being contributed by edible oil.

As far as the numbers are concerned, which is what everybody is interested to understand, our revenue went down by 12%. It is basically a function of edible oil -- steep decline in the edible oil prices. And in our business, as we said earlier also, our revenues are impacted due to inflationary pressure. So that's the reason why the revenues went down in spite of the fact that we have been able to showcase a very encouraging volume growth of 25% and for any food FMCG, growth of 25% on volume is quite significant, and we are very happy to say that all our segments, whether it is the food, whether it's oil, or whether it's the industry essential, have been able to showcase a good growth in this quarter.

The gross profit has gone down by 21%. So in absolute terms, the gross margin has gone down by close to INR300 crores. This basically happened due to basically high-priced inventory, which was there in our hand due to the falling edible oil prices. And besides that, the major

reason was the disalignment of hedges with the physical market in India.

So all our hedges, which we have done on the exchanges didn't move in tandem with the physical market in India. So the vice-versa gain and loss, which ideally has to happen between the hedge and physical market, didn't happen in this quarter. It's a onetime phenomenon, which we see adani

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because market, we have never seen such kind of phenomena earlier. We hope that as we go forward, this should not be the case in quarter 2 and quarter 3.

Similarly, when you look at an EBITDA, PBT and PAT, they have been in tandem with what we have been able -- not able to showcase in the gross margin. So we have a -- gross margin degrowth of INR 300 crores and similar fall we can see in EBITDA, PBT and PAT.

So whatever has been lost at a gross margin level has been flowed down to the PBT and PAT.

On standalone, numbers looks little better. We have less loss as compared to the consolidated because unfortunately, in this quarter, besides AWL, our subsidiaries and joint ventures also posted loss more or less because of the similar reasons which we faced in the quarter 1.

On segments, as I said, the entire loss and not-so-good performance is on account of edible oil.

Food kept growing. I think when you look at the segment results of the food, it is steadily growing, steadily improving the volumes and also steadily improving its profit. So food profits went up from INR 10 crores in Q1 FY '23 to INR 38 crores, which is quite encouraging. And as we go forward, I think this should keep improving. As far as edible oil is concerned, as I said earlier also, it's more to do with the disalignment of hedges and the high-priced inventory, which was in our hand, which should be seen as a onetime event for us. And as we go forward, we should be able to post better numbers from here.

This slide, I think I have already explained, inventory loss and disalignment in the hedges.

Besides that, there was a slight disadvantageous position that continued for us in the case of TRQ, which now is no more. I think TRQ quota was discontinued after the June '23.

On the outlook, I think we are quite bullish on the trends which we have been able to showcase in the quarter 1. And therefore, given that the edible oil prices have already cooled off in a level -- below \$1,000 a ton, and the festive season is on our head, I think from here, demand should be very good. Industry is also showing the similar trend. Edible oil has gone up by 5% in terms of industry. Similarly, wheat flour industry has grown by 12%. Basmati rice has grown by 9%.

So these all are indications that what we can expect in quarter 2 in terms of volume as well as revenue.

So this is all from my side, a very brief presentation, which I gave. Now I request the moderator to open the floor for question and answer. We would be happy to take on the questions.

Moderator: The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: My first question is on normal margins, when do you see your -- pre this very high inflation and then very high deflation, when do you see that kind of normal margins coming back? Do you see that happening in H2? Or still it will be somewhere in between, say, Q1 and the normal margins?

Management: See, as I said, the edible oil prices have now been stabilized, but Abneesh, the problem is the geopolitical events are still continuing, in a sense, this Ukraine war, for example. Now this Black Sea corridor was closed, earlier it was open for food grain. Now this kind of event keeps coming and going, which has got an impact on the edible oil prices. But having said that, I think what adani

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we saw in quarter 1 is very, very unusual that the exchanges moved in a different tandem than the physical markets in India. This ideally should not be the case as we move forward in quarter 2 and quarter 3. Having said that, today, sitting at this point of time, you can't actually forecast anything because today, the world has become so dynamic that you never know what is going to happen tomorrow. But this disalignment kind of things, I think, should get resolved as we go in quarter 2

and further in quarter 3.

Abneesh Roy: So a few follow-up questions there. So of course, you are the largest player here with 19.5% market share. A lot of regional players who have even wafer thin margin. So if you are making a 1% EBITDA margin for the full quarter, what would be your sense of margins which local

payers are making? I understand for every player, the inventory levels will be different. But you are the expert in terms of the inventory, commodity understanding, much higher sourcing advantage, etcetera. So would regional players also would have actually made losses, given you have made 1% EBITDA margin?

Management: See, Abneesh, we won't be able to comment on what the regional players or other players might have been able to do as far as the margin front is concerned. But having said that, our case is quite different, given the fact that the volume and the scale at which we operate and therefore, everything which we do, is quite big as compared to any regional player. Having said that, whatever difficulties we have faced in the quarter in terms of disalignment of hedges, if other player has also hedged his position, he would have also faced a similar situation. That is what I can confirm. Having said that, I can't comment on what kind of numbers which they would be able to showcase.

Abneesh Roy: Right. My last question is on the rebranding initiative for Kohinoor. I have seen the advertisement also. So I wanted to understand, before you actually bought this business, you had the Basmati rice under your own brands also. So where is the market share -- combined market share? And in terms of synergy benefits, how much has already panned out? And where do you see this combined market share over a 3-year time frame?

Angshu Mallick: See, on Kohinoor, I think the new advertisement has come after almost 4, 5 years. McCormick was not advertising in the last 3 years. And after we took over last year, we felt that we need to come with a new media break. Now both Fortune and Kohinoor has their own strengths and own synergies. Strength is, one, Kohinoor is a very strong HoReCa brand. It has always been a very strong HoReCa brand and Kohinoor Trophy Royale has been one of the most preferred Basmati rice for the Indian shelf. So we have got back -- started getting back that share because these type of businesses generally go either annual contract or something, but we have started doing it.

After that, Kohinoor, we have used 2 ways. One with Kohinoor brand, we also got there almost 125-odd distributors who were working for McCormick that time, everybody joined us, and we started Kohinoor with them. But then our strengths are that we have such large edible oil distributors in the rural market, which we have leveraged them and almost today, more than 1,500 distributors of our edible oil is also handling Kohinoor at a smaller town level. So that is giving us a reach and that is why today, Kohinoor has reached more than 55,000 outlets. This quarter end, the market share has gone up to 3.7% Kohinoor alone. So to that extent, I think the adani wilmar

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brand will continue to garner more and more strength. And after the advertisement, I'm sure everything will be much better.

Third is that, Fortune has its own distribution and the distributors who are handling Fortune brand Basmati rice in the major towns and Kohinoor rice own distributors. But below 1-lakh population towns, we have common distribution so that we can use the strengths of these distributors, and that is where we have combined the both Fortune and Kohinoor. So we have used our strengths wherever it is required. And wherever we don't want to bite into each other's market share, we have created separate distribution. Put together, I think next 2, 3 years, you would find surely -- double-digit is surely a thing that -- we are confident that we will

reach

more than that. But a strong double-digit is what we are looking at Kohinoor and Fortune put together.

Abneesh Roy: So one last follow-up there in terms of positioning in terms of regions and in terms of giving brand support to both Kohinoor and Adani in Basmati. What will be your strategy medium, long term? I'm not asking for near term. Will you see how is the response to the new branding activity on Kohinoor market share? Will that be something you will consider or you have already formalized what will be the strategy in terms of brand support to both?

Angshu Mallick: See, historically, Kohinoor has been very strong in South and West. Say, for example, Gujarat, surely one of the largest selling Basmati rice brand. So West and South, we will continue to push and garner more and more share. Fortune is more strong in East and North. So we will see how we can use each other's strengths and get the market.

Moderator: Next question is from the line of Karan from ICICI Securities.

Karan Bhuwania: Yes. So firstly, on competitive intensity. So we saw the market leader HUL, I think there's some regional players, as you say, inflation has receded off, a lot of regional players are coming up, and they're growing faster than, say, nationals players, right? So any trend as you've seen, has the competitive intensity from the regional players or smaller players has increased? And we have gained a decent amount of market share for the last couple of years, right? So do we see any risk to lose market share gains, given that some of these regional players or smaller players will come back?

Management: See, each of the products, I will address it separately. On edible oil, we have seen regional players, particularly in Sunflower oil, each of the state of South has a brand. But at the national level, there isn't any new competition coming up. Local players continue wherever they can manage the business well. But slowly, with such type of price fluctuations and hedging issues and all that, it's not easy for a smaller player to continue profitably. That is one. So the pressures are always there.

As far as wheat is concerned, I would say nationally, there are only few brands. Apart from ITC, we are there. And regional brands are there. And in wheat flour, we see that happening. But because of the strengthening in the wheat prices, we have seen last year also, and we are seeing now also, slowly the regional players are under pressure because they are not able to buy wheat and then process it and sell profitably. adani

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Third is in rice -- Basmati rice. I don't see any other new local brand coming up because it's an all India business that you have to do. And sitting in one part of the country, I don't think all India rice can be sold like that. So 3 good brands in the nation. I think that is what will continue.

Karan Bhuwania: Just to follow up on that, then you're saying that a lot of regional players are facing some issues because of the price situation could lead to some losses. So are there any opportunities that you are seeing for acquiring any particular brand or any particular facility, if you see any opportunity? If you can comment on that.

Management: See, this is a very continuous affair to look at competition, evaluate them and see the assets. But honestly speaking, we aren't interested in acquiring any brand because we have Fortune as a brand, we have King's as a brand. King's is now the third largest soyabean brand in the country. And then we have Aadhar. We have Jubilee - bakery brand and we have second largest palm oil

brand that is Raag Gold. So when we have such strong brands, there is no point in having another brand and then maintaining it. We are interested in assets and we look at it.

Karan Bhuwania: Okay. Secondly, on -- if you can comment about the growth difference between urban

and rural.

How is the recovery of the rural markets happening? And does urban continue to be as strong as it was for the last few quarters? If you could comment on the growth of those...

Management: In AWL, what we do is that 1-lakh-and-above towns are called urban and less than 1 lakh is rural because every company has their own definition of rural and if you take this -- so between urban and rural, our edible oil 70% business comes from urban towns and 30% comes from rural. In case of food -- branded food, staples food, it is around 31%.

But last one quarter, we have seen, because of the edible oil prices coming down, the rural markets have started getting into the brands, and we have seen 1% increase. So overall, overall, now it is 31% rural and 69% urban in case of edible oil. So clearly, there is some extra growth that we see in rural market. Bigger growth we expect in next 2 quarters after the monsoon sets in and the good crop comes, hopefully, so. Then October onwards, I feel that rural markets should start doing better.

Moderator: The next question is from the line of Latika Chopra from JPMorgan and Chase.

Latika Chopra: So the first question was, is it possible for you to quantify the impact on profitability due to these hedge losses? And is it right to assume that these are basically stepping in your COGS line?

Management: Yes. So Latika, that is what I explained. The basic impact on profitability for this quarter is on account of 2 reasons. One is, of course, the high-priced inventory in a falling commodity market and other is the disalignment in the hedges where the hedges -- where the exchanges went up on one side, whereas the physical market didn't move in the tandem with the exchange. Now put together both these, impact is the basic impact on the P&L. Then rest all the parameters of business have performed the way they should be, whether it is a cost, whether it is anything else, whether it is a yield. So these 2 basic reasons put together actually costed on a gross margin level itself, which is, if you look at our gross margin, absolute drop is close to INR300 crores. So both, put together, these 2 reason is INR300 crores. And this -- whatever we lost on gross

margin is actually reflective in our EBITDA as well as our PBT. adani

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Latika Chopra: All right. The second question was on volume growth expectations for edible oil and food business for FY '24. The first quarter, a 25% volume growth plus for edible oil. It seems the base will also start coming up in

coming quarters. So is it right to assume that growth rates will normalize to low double-digit levels in the upcoming quarters?

Angshu Mallick: Yes. Latika, you are right, the last year first quarter because of the very high prices, the volumes were low. Going forward, I don't think this kind of strong double-digit will remain. However, let me tell you, India imported almost 22% more oil during the period from November to June this year versus last year. That's an indication that India has started consuming more because of the lower prices. Now if this is true, then I'm sure that by end of the year, if not 25%, but at least in the range of around 12% to 15% should be an average India growth story as well as ours, I think so.

Latika Chopra: Sure. And food I noticed last year, it was I think a 35% plus volume growth year for you. And I saw you talking about some share losses in rice in the quarter. And for this quarter, the volume growth was, I think, 20%, 21%. So do you think this will accelerate in the coming quarters? And also, if you can talk about any new capacities that are coming up to rest of FY '24 and even FY '25, which could help you to push up some skews on the food business? And of course, any interesting thoughts on the rice portfolio? What really led [inaudible 0:32:20] caused by localized, regional com

petition? Is it very geography-specific? Any color on all of this would be helpful.

Angshu Mallick: See, this quarter, we have grown at 21% over last year, same quarter, but the major loss was in the export of non-Basmati rice that we did last year, April, May, June, and it was very good because we had a lot of exports to China. Now we couldn't do that because of the broken Basmati not allowed -- non-Basmati not allowed plus white rice also with 20% duty it reduced. Now of course, it is banned.

This year, now onwards, till '25 -- FY '25, we have Gohana plant coming up, which will add 600 ton daily capacity that is paddy to rice. So about 15,000 tons paddy per month, we will do. Plus we have around 10,000 tons of rice to rice line we are putting up. That will be ready by next year, not this October, but surely October, November '24, that is what we are targeting. Apart from that, in Gohana, we are putting a 200-ton Chakki Atta mill along with 300 tons of flour mill. So that 500 tons per day will also come up around early '25.

And we are also planning 1 or 2 more places. So I think overall, the food, our own captive infra is increasing. Plus as you know, we also take some units on toiling (lease) where we run the unit and that is what we are doing for continuing with the expansion plan. So overall, overall, we are confident of continuing with the expansion. Yes, little setback on the rice that we'll make up through our wheat flour.

Latika Chopra: So you think this 21% in Q1 should improve in the coming quarters?

Angshu Mallick: Yes, surely. Adani Wilmar

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Latika Chopra: Okay. And the third thing I wanted to check one on -- I understand edible oil prices are fairly volatile, always difficult to call out. But as you stand today, if you look at the realizations that you did for edible oils in Q1, do you think that's the bottom or you think it could further come down in Q2?

Management: See, Latika, I think, as I said in answering earlier question from Abneesh also that I think prices are stabilized now. Having said that, plus/minus because of any few political event will keep happening. But the levels of \$800, \$850 and \$900 a ton is something -- is even before the pre-COVID levels. So I think this should continue the way today we are, unless something major happens. Like, for example, I'll just give you the recent event which has happened which is a Black Sea corridor closure. Now the Ukraine has also issued a warning to Russia saying that if you don't allow our cargo to go out from this Black Sea corridor, we will also not allow your food grain to move out of the sea. And now because of that, what happens is the Sunflower oil prices little bit corrected upwards. Now if this kind of event keep happening, there might be some impact and bullishness in the edible oil prices. But certainly, these will not cross the way which we have seen last year. And we should continue to look at the realizations which we are sitting on today.

Latika Chopra: Understood. And the last question was, Angshu, you connect with a lot of people on the ground, definitely, we are seeing very erratic weather pattern. Any initial thoughts on food inflation, paddy sowing, your pricing in the market that you're getting? How are you feeling overall about the commodity price inflation in the country?

Angshu Mallick: See, we'll have to take individually. I think sugar and oil is surely comfortable. These prices are comfortable. And this will continue -- if this continues like this, then there is nothing to worry. The issue is on wheat and rice. Pulses also, I would say most of the pulses are okay, except the toor, but toor also maybe some restrictions might be put. Already it is there to control the prices, but still it is INR100-plus now, INR100 plus.

As far as wheat and rice is concerned, this government also would like to

keep the prices stable

and that kind of pressure will be there on the manufacturers also to see how we can keep the prices as low as possible. The inflation pressure is there. Surely, it will be there, and we can see that happen. Only good part is from the entire basket, edible oil has always been the costlier of the product. So if edible oil is under control, then possibly INR1, INR2 more on wheat flour, consumers can afford, so they can do it because the bigger basket is edible oil in terms of value as a percentage of total household staple is purchased.

Moderator: Next question is from the line of Vishal from Yes Securities.

Vishal: Yes. Just 1 question from my side. In edible oils, wanted your view on how consumers have responded to sharp correction in MRPs. So are they buying in bigger quantities or are they limiting their purchase, hoping for further correction or stabilize the MRPs?

Angshu Mallick: Good question, Vishal. This is -- we are seeing increased purchase of 5-liter and 15-liter. Normally 5-liter is a barometer, where when consumers buy 5-liter means their comfort levels have come back. We are seeing now that share is increasing. In between last year, if you ask me, adani wilmar

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pouch share was more, but now the rigid-pack 5-liter and 15-liter is increasing, indicating that these prices are now at comfortable levels.

Vishal: Okay. So -- because this quarter would have been a -- second quarter or it's been already 3, 4 months of stabilized prices at MRP level. So would that have benefited this particular quarter in terms of higher volumes as you have mentioned that 5-liter packs have gone up sharply? So would there be any benefit in this quarter from that front?

Angshu Mallick: I think consumers have seen the MRP coming off, prices coming off. So that has increased that consumption. Otherwise, 25% increase in branded pack edible oil for the largest player is an indication that consumers are consuming higher quantity. That is one. Two, reduced MRP is giving them the benefit. And going forward, if this type of MRPs continue, then surely, this festival season, the consumption is going to be much better than last year.

Management: So just to give you one more data point for your consumption, while the company recorded a volume growth of 25%, the brands recorded a growth of 39%. So that itself is -- I mean, what the question which you are asking, if consumers are buying, and that's the reason why the brand portfolio grew by 39%, while overall company grew by 25%.

Moderator: Next question is from the line of Kuldeep Gangwar from ASK Investment Managers.

Kuldeep Gangwar: I don't know if you have already responded this thing in an earlier question asked. Sir, like you mentioned, high cost inventory and the cost of hedging combined had a close to INR300 crores impact on the gross profit. So is it fair to assume that if the prices remain stable where they are, edible oil, and these issues do not, say, play out in future, so 3%-plus operating margin or EBITDA margin for next 9 months, it's a reasonable expectation or on high side?

Management: No, it should be a reasonable expectation because this is -- if this kind of disalignment doesn't happen in future, our business as usual which, say, gives you EBITDA margins of anywhere between INR3,600 to INR4,000 a ton should continue. We won't be able to tell you whether it will be 3% or 4% because EBITDA as a percentage to revenue will depend upon what kind of inflationary pressure bear on the revenue. But if such kind of disalignment between hedge and the physical market doesn't continue, then it's fair to assume that EBITDA range of INR3,500 to INR4,000 a ton should be achievable.

Kuldeep Gangwar: Yes. So that's the reason I assume the prices remain stable. So no inflation?

Management: Yes. Yes.

Kuldeep Gangwar: And second part, like in FMCG part

, what should be the volume growth expectation and margin profile for the rest of the 9 months?

Management: So FMCG means, you mean to say Food & FMCG?

Kuldeep Gangwar: Excluding the edible oil part.

Management: Yes. So food FMCG, you are saying. So food FMCG, as Mr. Mallick said in an earlier question -- answer to earlier question that this year -- I mean, in this quarter, we were able to post 21%, adani wilmar

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22% of the growth. But as we go forward and since the consumption is picking up and demand is picking up, ideally, it should be in the range of anywhere between high -- not high, but close to 30%.

Kuldeep Gangwar: 30% revenue growth, you're saying, right?

Management: No. So revenue and volume more or less...

Angshu Mallick: Because in food, we have seen prices go up, particularly rice. And so 25%, 30% in volume also can be like that in revenue, should not be a...

Kuldeep Gangwar: Okay. And last bit, like interest cost has risen because the benchmark rate has also increased. So if interest remain where they are, so this should be the new normal going forward?

Management: Yes, this should be a new normal. Fortunately, what has happened is that while interest benchmark has gone up, but the edible oil prices fell. So therefore, the working capital volume has come down, so which has compensated, to some extent, the high benchmark interest. And therefore, when you look at an absolute, the interest cost, what you look today is something which would continue for coming quarters.

Moderator: Next follow-up question is from the line of Karan Bhuwania from ICICI Securities.

Karan Bhuwania: Just one follow-up question in terms of direct reach. So we have seen a significant increase in our direct reach as compared to FY '20 and the rural coverage town has also increased. So what are the benefits that we expect out of this increased direct reach? Do we see a significant improvement in throughput per outlet? And if you could quantify what would that be -- what that would be.

Angshu Mallick: See, one of the reason -- means one of the output of this increased reach and increased rural distribution has been the very high growth in the packed edible oils now. This is not necessarily only because edible oil prices have come down, so the consumption has increased. Our reach has surely increased today. We have gone into direct reach of 600,000 outlets. So earlier, it was in the range of around 5.5, 5.6. So that 30,000, 40,000 outlets added in this quarter, more than 7,000, 8,000 towns -- rural towns added this quarter, then we added some more depots.

So all this put together has pushed our distribution much better. Direct dispatches have increased 57% almost. So that has helped us to reach the direct consumer and passing the freight benefit to make it much more competitive. Like that, we have been trying to push the sales. All this put together, that is the distribution efforts, have surely yielded results.

Karan Bhuwania: And a follow-up on that, would this direct reach actually benefit the Food & FMCG businesses because we'll be able to place new product launches and multiple product launches that we're doing in Food & FM CG food visibility?

Angshu Mallick: Yes, you are very right because when you are reaching directly, then we have an option to push all the products. And 1 lakh and below -- all our distributors are common. So it gives them a lot of strength when they go to the outlet to sell either sugar or dal or rice or besan or atta, whatever adani wilmar

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it is. So he has multiple products. A retailer generally wants at least 1 or 2 more products. So surely, the reach helps in direct penetration. And we have seen that in Kohinoor where from 35,000 outlets, we are now at around 50,000 outlets -- 55,00

0 outlets. So that has helped us to increase our penetration and reach.

Karan Bhuwania: And what would be your plans to increase this direct reach to what levels? From 600,000 outlets to -- what is the plan for next year or, say, next couple of years?

Angshu Mallick: Three years target is 1 million. So we are -- year by year, we will increase the number of outlets. So it will take at least 3 years minimum.

Moderator: As there are no further questions, I will now hand the conference over to the management for closing comments.

Management: Thank you very much, everyone, for joining this call, and we do invite you to all our conference calls moving forward. Thanks for tracking our company, and we are hopeful that we should be able to do better as we move forward. Thanks.

Angshu Mallick: Thank you, everyone. Thank you, everyone.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you. adani wilmar

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Call: Nov 2023

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November 8, 2023

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Scrip Code: 543458 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: AWL

Dear Sir,

Subject: Transcript of Earnings Call of Q2 of F.Y. 24 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated November 1, 2023 regarding audio recording of Q2 F.Y.24 Earnings call held on November 1, 2023. Please find attached transcript of the Earnings Call.

You are requested to take the same on your record. Thanking You Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary
Memb. No. – ACS 20217 Encl.: As above
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"Adani Wilmar Limited
Q2 FY2024 Earnings Conference Call"

November 01, 2023

ANALYST : M R. KARAN BHUWANIA – ICICI SECURITIES LIMITED
M
MANAGEMENT : MR. ANGSHU MALLICK – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR – ADANI WILMAR LIMITED
MR. SHRIKANT KANHERE – CHIEF FINANCIAL OFFICER
– ADANI WILMAR LIMITED
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Page 2 of 15 Moderator : Ladies and gentlemen, good day and welcome to Adani Wilmar Q2 FY2024 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you and over to you Sir!

Karan Bhuwania: Hi, good afternoon, everyone. It is our pleasure at ISEC to host Q2 FY2024 results conference call for Adani Wilmar. From the management today we have Mr. Angshu Mallick, Chief Executive Officer and Managing Director; Mr. Shrikant Kanhere, Chief Financial Officer; and Mr. Saumin Sheth, Chief Operating Officer. Now I will hand over the call to the management for their opening remarks post which we can open for Q&A session. Thank you.

Shrikant Kanhere: Thank you very much Karan and very good afternoon to all the participants who have joined this Q2 conference call for Adani Wilmar. As a ritual what we will do is we will take you through a very brief presentation to talk about how the Q2 went, what are the problems the company faced, and what is the outlook for next two quarters. Post the presentation of course we will open the floor for question and answers. We will be happy to answer the questions.

To start with the outlook to the business context for the Q2, I think from where we left in Q1 more or less the situation continued in Q2 as well, all the issue - the hedges disalignment continued till August this quarter, but however having said that I think that issue is now over. Price disparity was in soya bean as high as we were the disparity of \$80 a ton, but now the things have been improved. In this year between April to September India imported record soya bean oil in anticipation that prices have already cooled

ed down and in

anticipation of a demand picking up the overall imports in India went up by more than 20% and that also led to the inventory levels going up at most of the players including Adani Wilmar that also acted little bit not in our favor because once you are up with the inventory levels if prices goes down from there then you have a issue of higher price inventory sitting in your portfolio. TRQ finally got discontinued so it was something which company had to suffer on from the competition because the company's TRQ was over in the month of November 2022 whereas competition continued with the import of edible oil without paying duty, so that issue has been over in this quarter. One of the subsidiaries of company, which is in Bangladesh, unfortunately the crisis in Bangladesh continues. The country is adani wilmar

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Page 3 of 15 going through a lot of issues in terms of currency crisis, in terms of inflation, in terms of interest rates, while we are keeping a very close eye on the situation in Bangladesh and we have curtailed our operations in Bangladesh only to the branded level, so we are only selling brands there so that our brand does not get impacted because we are number one player in Bangladesh also as far as the edible oil is concerned.

The geopolitical conflicts, now it has become something which is very usual for us now because earlier it was actually Russia and Ukraine which was going through and now we have a new conflict of Israel and Hamas going on, but fortunately either of this geopolitical conflict did not have much of issue on the supply chain of edible oil as well as any food grain. Till now we have not been impacted by either of these geopolitical conflicts.

In terms of the business aspect for any company there are two aspects for business performance, one of course is the margin performance how have you performed on profitability and other of course is the business growing yes or no. I think on a growth

prospect we are quite good, the business grew in double digit, so for the quarter overall volume grew by 11% with edible oil growing by 4%, food FMCG continued its growth trajectory at 19%, which is majorly led by wheat flour, pulses and basin. Industry essentials grew by 25%, so on a growth perspective yes we are growing quite strong. If you look at for the half year our overall volume growths are at 18% where edible oil grew by 15%, food and FMCG by 20%, and industry essentials by 23%, and within edible oils the branded segment is going faster than overall edible oil as a segment.

Now with this the food is now almost contributing 18% of volumes to our overall scheme of the things. Two years back we started this with 10%-11% of the volumes coming in from the food steadily growing

quarter-by-quarter and now we have 18% weightage of food sitting in as far as the volumes are concerned, of course our target is to take it to 30% in coming years and thereby derisking the edible oil business, so this is on a good trajectory and we are going quite strong on this.

In terms of distribution our direct reach has now 650000 outlets last year same time we were sitting on close to 580000 outlets now close to 650000 outlets, it is growing and is presently in more than 26000 rural towns, which is because as we go forward most of the demand I think will be coming up from the rural towns and we are slowly expanding our footprints in rural towns. Rural saliency in overall scheme of the things is steady at 30%, I think last quarter also it was more or less 30%, but having said that in the overall scheme the rural is growing more than urban, slightly growing more than urban and our expectation is that for the second half from October to March rural will even grow better than the urban. adani wilmar

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terms of direct reach from where we were in FY2022 now we have grown 2.2x in terms of rural town coverage the growth has gone up to 8.2x as compared to FY2020. So on the distribution front we are working quite hard and we are hopeful that we will increase this distribution, but because it is directly linked to your market share. On a market share the company remained number one edible oil player of India with market share of 19.6%, this includes the market share contribution by our joint venture in South KTV Health Foods. ROCP market on a MAT September basis our market share is at 19.6% we are number one player in soya beans, number two player in farm, we remain number one player in the mustard, mustard oil is something which is we are going very fast. This oil has shown a growth of 38% in year-on-year for us in the quarter. Similarly, soyabean oil is also growing. So, the entire oil basket grew by 15% when we look at H1 this is primarily led by sunflower and mustard oil.

In terms of market share for food we remain the number two player in the country although we are a distant number two. The number one player of course is ITC Aashirvaad quite ahead of us, but the good part is that we are slowly and steadily growing our market share today sitting at 5.15% of market share. In basmati rice we did see a dip in a market share from 9.4 going down to 7.4. This was also there when we spoke for Q1 performance. Our take is that this is basically a onetime adjustment, which we are seeing in the market share because of some of the retail schemes that we had last year which got delayed this year, so our expectation is that by the time we end this financial year in March 2024 this anomaly should get normalized and we should be able to see our Basmati market share more or less equal to what we had left last year.

On channel performance we are quite aggressively focusing on the HoReCa channel which has been a new channel which we have added. This HoReCa earlier was actually supplied through a wholesale channel, so we are slowly getting the dependence on wholesale channel reduced by having our own HoReCa channel. This has shown a double digit growth quarter-after-quarter, branded exports has doubled in Q2 2024 on year-on-year basis, so we have been now able to export to more than 50 countries now and we are slowly increasing the branded portion of exports, which includes wheat flour, rice, pulses, basin, nuggets and other soya products. Alternate channels e-commerce and modern trade is growing very, very strong grew by 30% year-on-year when it comes to Q2 2024 and similar kind of growth when we look at H1.

There are a few marketing activities, which we did which includes lot of stuff on the social media in terms of talking about rice, talking about nuggets, and talking about all our food products. We also did the print and digital media on various platforms which includes the adani wilmar

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Page 5 of 15 stations, including a metro branding in Delhi where we have branded three metro trains for the three months, and it has come up really very well. On the new product launches keeping in mind the health basket and the health areas which consumers is always looking at when they try to buy the products, we launched Kohinoor brand brown rice in two brands one is Kohinoor and other is Charminar. We also launched the Fortune Biryani kit for the export markets, we already have a Kohinoor Biryani kit which is there for the domestic market, but Kohinoor we do not have overseas rights for Kohinoor, we have a Kohinoor rights only for the domestic and therefore for the export markets we launched Fortune Biryani kit, we have already exported close to 20000 kits to various markets, another 35000 kits order is in hand, which is getting fulfilled maybe in

this quarter. We also launched export range of Premium oil specifically for the

US market, so the whole crux of telling all you is this is that we do have quite a high focus now on branded exports rather than only looking at export in terms of castor and oleochemicals.

Coming back to the financial performance, after Q1 not so very good Q2 quarter as well. As I said earlier the issues that we faced in Q1 also continued in Q2, the disalignment of hedges continued till August where actually we settled most of our positions which were there on the CBOT and that we have moved forward. So having said that I think the issues are behind us now and we are quite hopeful that Q3 and Q4 should be better than Q1 and Q2. For the Q1 on standalone we registered a net loss profit after tax of 87 Crores, which includes onetime tax settlement hit of net of tax close to 40 Crores, so business loss on standalone is actually on 47 Crores, which basically came from three basic reasons one is of course the commodity hedging loss, another is of course the interest rates, which have gone up substantially in last one year because most of our borrowing is a dollarized borrowing and third of course is this tax hit, which we have taken for as a one time hit. Similarly, when you look at the H1 2024 number the profit after tax is basically a loss of 125 Crores against profit of 232 Crores for the same period last year. So practically a delta of close to 450 Crores of delta, which is as I said earlier coming from the hedging losses and partly because of the interest rate hikes and the onetime tax settlement which we did this quarter.

On consolidated basis the things are not different, they are more or less similar, in fact little bit little gone adverse as compared to standalone because unfortunately for us we are suffering losses in Bangladesh as well, but as I said we are watching the situation in Bangladesh very, very closely and have curtailed down our business so that we do not lose anymore there. We are hopeful that once the country goes to the election sometime early next year the things should start falling in place there and we should have operations giving us better results. So on a consolidated basis the quarter loss is close to 131 Crores which Adani Wilmar

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Page 6 of 15 again includes 40 Crores of tax settlement and the rest is coming from the commodity and interest price.

On segment basis revenues dropped by 13% majorly led by edible oil because edible oil prices corrected big time in last two quarters Q1 and Q2; however, the very good part is that the food FMCG continues to grow strongly on revenue as well as on the volume. So revenue grew by 26% when we look at quarter and revenue grew by 27% when we look at H1 and food and FMCG and industry essentials also gave us a good segment result if you look at H1 number for food and FMCG we can say that we are good EBITDA positive and has delivered a good number as far as the food FMCG is concerned quite early than what we had expected earlier. Edible oil is the only segment which registered loss from segment perspective which is more of coming from the hedging losses that we suffered. I think in an edible oil business one quarter here and there can be exception, but I do not think as we go forward in Q3 and Q4 this problem will continue.

Just to give you more flavor on how things have been panning out for us. If you look at our quarterly trend of gross profit or a gross margin rather I would say it is steadily there for last more than seven, eight quarters except for these last two quarters where we had suffered because of the commodity losses, which is evident for last 14 quarters similarly EBITDA is also in a range of anywhere between 450 to 500 Crores for every quarter, but suffered in these two quarters and this is also reflective when you look at the per ton analysis of the margins. So, our gross margins as we have been saying earlier also a steady

state gross margins of close to 11500 is something which is normal for our business except for these two quarters otherwise in last 14 quarters we have been consistently giving this and EBITDA per ton as well.

So, this is all from my side in terms of a short and a very brief presentation for Q2 and what has happened and tried to explain what are the things which did not go well with us and what are the things where we feel that Q3 and Q4 should be good for us. Having said that I end my presentation here and I request moderator to open the lines for question and answer. We would be happy to take them.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy : Thanks. My first question is on the overall performance. So two back-to-back quarters your EBITDA has been quite weak, so wanted to understand what are the learnings here and Adani Wilmar

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Page 7 of 15 second is in spite of being a strong market leader in edible oils with 19% market share 1% EBITDA margin or near that in the first half both Q1, Q2 why do you see this performance and when you say that Q3, Q4 the performance should be better how much better will it be because commodity has been now stable for many months in that context 1% margin for 19% market share and number one player what does this reflect on the total industry what are the issues, what is the down trading, downgrading happening, given we are seeing that in

many other FMCG if you could discuss that also?

Shrikant Kanhere: To answer your question see Q1 and Q2 the only issue with not Adani Wilmar but I think entire industry faced is the disalignment of the hedges and which is something which is very, very unique, very, very exceptional thing to happen that you go and hedge your risk, and it works against you. So what happened was all our hedges were not in money instead of protecting our base, actually we lost money there and this is only a onetime phenomena which happened for Q1 and Q2, so it is something which I do not think should continue as we go forward and therefore from a learning point of view because your question was what were the learnings I think there is no major learning as such I think it is something which we feel that something which has happened once in a while and should not be happening again and therefore we are quite hopeful for Q2 and Q3. Similarly on a EBITDA margin per se our steady state EBITDA margins are anywhere between Rs.3000 to Rs.3500 a ton and if the market continues like this and I do not think now there would be any further disalignment of hedges will be there, so we should be able to deliver that for Q2 and Q3. Having said that it is not about Adani Wilmar I think entire industry suffered on this and I would request Mr. Malik also to add to this.

Angshu Mallick : Abneesh your question is very right that what is our learning, one of the learnings that we have is that possibly inventory management can be relooked at the way the markets, if they do not work in tandem then one thing sure is that you can reduce your inventory, but then the country is consuming more. If you see our full H1 growth in edible oil the branded packed edible oil has grown at 23%. Now honestly we have not seen this kind of growth in last 8-10 quarters or even more before COVID also. So this type of consumption happened because after a long time the edible oil prices came down and consumption was I would say fierce, out of home consumption was very good, otherwise branded packed edible oil growing at 23% is unheard of, so that we were worried to reduce the inventory then we lose it and if we had inventory so we had to buy, so when you buy obviously your hedges were not in tandem so that is one learning we have, but going

forward as you said it is now a steady state, yes, last two months little steady August end, September was okay, October was even better I would say. So our pain has now gone, so going forward we should perform the way we were performing possibly better and as you rightly said if the number adani wilmar

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Page 8 of 15 one brand is not earning then how can the industry earn. Obviously we have been earning in edible oil and we see that coming back in action from Q3 onwards. Bigger issues, good things that is food business that the food FMCG business grew at 19% this quarter, but domestic we have grown at 52% what we lost on is the export of rice that was a big chunk of the business that we lost so that reduced our growth overall, otherwise if you see the domestic growth because of Kohinoor and Fortune basmati rice we have grown at 50%, branded Atta Fortune Atta is grown at 50%, so that is a very good sign of one consumption, second brand strength and third distribution strength. So going forward we are very optimistic about our performance from Q3 onwards.

Abneesh Roy : Sure thanks for the answer. Two very quick followups, so one is in terms of the hedging impact can you quantify both in Q1, Q2 and second would you be changing your hedging policy I understand the inventory levels can be very dynamic so I am not questioning that but in terms of the overall hedging process do you see some change which is needed and third is whenever deflation happens in edible oil the margins in fact go up because your profit is mostly on in terms of the tonnage so will that be again happening in H2 and

FY2025 when things are stable and you get benefit of the current RM would you expect that actually the EBITDA margin should be ahead of what was seen in the stable periods of last two years?

Shrikant Kanhere: If you look at the profitability for H1 I will talk on H1 rather than only talking on a Q2. So last year we had a net profit of 242 Crores against this this year it is 210, of this 210 you can take out that onetime tax hit. so there is a delta of close to 350 Crores between the profitability which we registered last year and this year and now this majority of this

basically is due to the hedging losses. Now these hedging losses as we earlier said it is not because we kept positions open it is because we hedged and therefore it turned counterproductive for us usually it does not never but it is one-time only. Having said that there is no need to change in a risk management policy in fact because of the risk management policy we could restrict the losses to the extent of only 15% to 20% of our full year EBITDA. Having said that there is no change in our hedging policy except for the fact that one corrective action that company may think of taking is that we can distribute the hedges between various mechanisms for the example we can reduce the hedges on the CBOT rather than we can take it on the OTC. So that is something company is certainly looking at and we will take that corrective action one is that and therefore when we go into the Q3 and Q4 since this disalignment is more or less now been over we should be looking at a steady state run rate which we were giving in past some quarters and therefore the things should look better for the half too. adani wilmar

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Page 9 of 15 Abneesh Roy : Your margins will improve?

Shrikant Kanhere: Yes, of course they should improve on two counts. One is your quarter margin has to improve because we do not foresee now more hedging losses coming in next two quarters, number two though we do not look at margins as a percentage of the revenue but those will also improve given the fact that the prices have already corrected and the prices are at very low level so in terms of percentage to the revenue as we

Il as per ton in both metrics you should see the improvement in the margin.

Abneesh Roy : Sure, my last question is on the basmati rice as per your presentation you have lost around 200 bps market share, wanted to understand is there any one-off, second is in terms of the exports would you need to set up new distribution teams, new distribution tie-ups because the two other listed Basmati rice players are doing really well, of course a lot of regulation changes are happening, so in terms of exports what kind of a scale up in team and distribution you would be needing?

Shrikant Kanhere: On this market share loss of around 200 points one is that basmati rice 50% of the business comes from modern trade and e-com. Now in modern trade normally we have tie-ups for big days and big schemes last year April, May we had a big scheme with Reliance and our volumes were very high for two months of Fortune, but this year we shifted that to Kohinoor and this year we did with Kohinoor and our oil and Kohinoor basmati rice obviously the Fortune was not taken. Now you see in October, November Fortune and our rice bran oil is the combo pack for Reliance and I can tell you these are big events where more than half a million packs are sold, minimum half a million it can be even 700000 ton to 1 million packs in two months, so that is the kind of volume that comes together. So the market share jumps and then again comes down, that is what it is, but nonetheless we have noted it and we are working on how to increase our presence in general trade and all that. That is part one, part two is that exports, yes, export is a bigger market for basmati rice, so we have started increasing our presence and distribution of Fortune brand, we have started Jubilee brand as a second brand and we are now looking at different markets for Jubilee, but other than that we have tied up with few good parties in Saudi and other countries where we have started negotiating for big volumes coming November onwards because they start buying only from November new crop comes in. So November onwards we have done it. Domestic market also our HoReCa department has started working very well and as you know HoReCa market is going to be very big with the new marriage season coming in there also we have started contracting the caterers and hotels and all that for banquet and all that, so big volumes are expected in H2 in both basmati rice, edible oil and other food products. adani wilmar

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Page 10 of 15 Abneesh Roy : Thanks. That is all from me. Thanks a lot.

Moderator : Thank you. Next question is from the line of Karan Bhuwania from ICICI Securities. Please go ahead.

Karan Bhuwania: Hi, good afternoon, Sir. Thank you for taking my question. Firstly on the drop in profitability, so I see there is a drop in profit ability in gross margin and EBITDA level as well, how the drop at EBITDA level is much higher so what can we expect, how can we see this profitability going forward in say second half and if you could also provide some guidance on overall growth numbers for the second half?

Shrikant Kanhere: On the EBITDA level whatever drop you are looking at is basically due to the commodity loss which as I explained we booked for this quarter. Having said that this commodity loss is I think something is now far behind us, I do not think that we will have this situation as we go forward in the next quarter. We should continue to grow on double digit as we have been able to do in H1, H2 also and since the demand forecast is more in H2 so we should be able to grow and our steady state run rate per ton on EBITDA as well as gross margin and other business parameter we should be able to deliver that what we have been able to deliver for last more than 10 quarters, so it should be a normal Q3 and Q4, Q1, Q2 of course remain an exceptional only because of some

thing which we never actually expected on hedging front.

Karan Bhuwania: Just to follow up on that. Just asking about the pricing are we taking any further pricing actions on edible oil portfolio or it is just a correction that we have taken earlier?

Shrikant Kanhere: See on edible oil the prices have actually come down steadily over the last three quarters April and this July, August, September also the prices corrected by almost Rs.5000 to Rs.6000 a ton, but somewhere we see the bottom out is happening and the markets are now getting back into the steadiness or a little positive side. Now we generally do not follow so much on the prices our pricings are based on the market prices and basis that we are doing it. I cannot comment like that, but looks like the bottom is over, the markets may not fall, so that is how it will remain steady, but even if it falls does not matter, for us the brand takes that much amount of cushion. Price wise these are all very acceptable price to the consumers.

Karan Bhuwania: Got it. Also see highlighted that the rural is growing slightly better than the urban markets would you attribute that to a better demand environment and improving demand adani wilmar

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Page 11 of 15 environment in the rural markets or would you attribute that your distribution expansion that you are currently carrying?

Shrikant Kanhere: Rural contributes roughly 30% of edible oil business and around 31%-32% of the food business. Now the growth if you see both Q2 as well as the first half the growth of rural has been slightly higher than urban that can be two, three reasons, one the edible oil prices have actually now been shift into and consumers feel these are good prices. So they are comfortable with it one, two the food business has done well because wheat we are seeing there is a very good growth in branded wheat flour business that is because government PDS reduction and free open market sales reduction has ensured that the availability of cheaper wheat is not there so much so people are buying flour and then people obviously would prefer a branded flour. So that we are seeing branded flour is increasing even local rice is increasing. Sugar we do around 25%-26% of the branded sugar sales comes from rural market you would not believe, but 45% of my basin business comes from rural market half kilo basin I can tell you, so branded basin is doing so well. So all these products shows that rural markets are slowly gearing up but H2 will be better than H1 normally we have seen rural does better in H2.

Karan Bhuwania: Got it. Also if you could give some broad breakup of your foods business in terms of branded consumer business the HoReCa business and the exports business?

Shrikant Kanhere: On food if you take total food basket our domestic business is bigger out of which the branded business, total food branded business will be roughly around 80%-85%, rest of that is traded product that is one. Two exports of food is less because non-basmati rice got impacted and that is why our rice exports reduced, but overall we do roughly around 200000 tons of exports food business on a good year, now that has reduced a little bit because of the export restriction of rice, third is HoReCa, HoReCa business we started around eight quarters back as HoReCa otherwise distributors were supplying to hotels, but now we have a separate division, separate team, separate distributor, separate mechanism to monitor it, which is now growing at almost 50% quarter-on-quarter and we today do roughly around 100000 tons of food and oil only to HoReCa branded sales to HoReCa.

Karan Bhuwania: Thank you so much. I have a few more questions I will come back in the queue.

Moderator: Thank you. Next question is from the line of Nitin Gupta from Emkay Global. Please go ahead. adani

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Page 12 of 15 Nitin Gupta : Thanks for the opportunity. I basically wanted to get a sense on like since we are operating in the food part of the business we have been hearing out regional competition getting aggressive, so just wanted to have a sense from you which part of the business you are seeing more competition from the regional players?

Shrikant Kanhere: In oil and food both we have seen competition from regional players, in edible oil it is mainly non-refined like mustard oil, groundnut oil, cotton seed oil, you will get which are local oil, rice bran oil, you will get local competition that is stronger than national brands and in refined oil it is a national brand. Now for us and in food atta we have several small,

small players, but they are all in a state or within a state also they are in one location. Basically I have seen 8-10 such local players and sugar also so you have seen such kind of players. So for us our strength is our distribution model that is the integrated distribution model. So when we start in a factory we have more than one product, so it will be food and oil in each of the factory, so we have common manufacturing facilities. After that we have common distribution facilities so obviously our distributors are common, sales people are common and then the retailer is common. So this entire common chain helps in reducing cost per ton and in commodity business you will agree that ability to reduce your cost, and pass on that benefit to the consumers will be most important. So if you have to fight we fight against quality, one consistency of quality, brand power and distribution strength. So we can take all our products to the retailer and give him the option to buy anything or everything that gives us strength at the ground level. So overall, overall for us, yes, competition is there from the local players, but we are able to grow faster than that.

Nitin Gupta : I just wanted to get a sense on like this time around it is more of raw material prices coming down and sort of this surge in competition, so do you consider this competition is like say pre-COVID levels when the raw material prices are stable it is that level or you still expect the normalcy to resume in next couple of quarters?

Shrikant Kanhere: I think we are back at pre-COVID levels in terms of consumption and with this new wedding season coming up we will see very big wedding season. Why very big, number of people restriction is not there, people are going out and spending and they are going out and eating, so out of home consumption is going to be very big and I have seen good brands have advantage, people like us have advantage because I am giving a plate of products which basket of products so that helps the hotel to pick from us any and everything. So we give them a basket and we give them better service, so our distributors are more aligned for it, so there we have advantage. Adani

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Page 13 of 15 Nitin Gupta : Thanks a lot, but my question was more from the perspective of regional competition so from the competition what we see from the regional player, so this has gone up at the back of easing in raw material prices they have re-emerged in the market and sort of giving us a competition, so from competitive learning, how do you think pre-COVID and post-COVID?

Shrikant Kanhere: Regional competition was there earlier also pre-COVID it is now there also, but over the time I am seeing regional competition is reducing in basic staples because one ability to buy and store is reducing, second ability to distribute cost effectively is they are losing on it, and second consumers are becoming quality conscious, so end of the day good brands will win even if he is a regional player, but he is giving consistently good quality we will also win, but slowly the regional players are

losing out on these fronts, but not that they will not exist regional players always exist.

Nitin Gupta : Sure thank you and my last question is with respect to this cold pressed oil or sort of a super-premium single commodity oil where like a players like Dabur have emerged and you have Tata Consumer launching products in the traditional companies while there are multiple players operating in that segment so how big is that segment and what is our thought to participate in that segment?

Shrikant Kanhere: These are very small segments and very niche segment of cold press. Yes, it is visible but they do not sell so much and volume wise surely very, very small. We are also introducing our own cold press oil which we are now ready and possibly in a couple of months we will introduce first with the mustard oil because there we have lot of strengths as number one brand of mustard oil, so we can do that, so we are working on it, but these are niche products still today in India, but we will surely be there.

Nitin Gupta : Thanks a lot. Thanks for giving me the opportunity.

Moderator : Thank you. Next question is from the line of Jasmine Surana from VD Capital Markets. Please go ahead.

Jasmine Surana : Hi, thank you for taking my question. I wanted to understand the contribution from the new products, which we have launched recently and another question would be on the mix in terms of our edible oil, our FMCG, and the industrial portfolio, so we can see that the historic trend was around 80% of edible oil, around 5% of FMCG which has now changed a little bit so where do we see these numbers stabilizing? adani
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Page 14 of 15 Shrikant Kanhere: I will answer your second question first which is about the contribution of various product lines. We do not look at the contribution of the product from a revenue perspective because the edible oil prices keep moving up and down and therefore you do not get real structure of the contribution, so what we look at is volume contribution. So as we speak today close to 58% now comes from edible oil, which earlier used to be 65% two years back, so it is slowly coming down from 65 to 58 and what is going up is basically a food and FMCG segment from 11% to 18% in last two years. So 58% contributed by edible oil, 18% by food and FMCG and rest is coming from the industry essentials. So this is how the construct of our product lines. Having said that as we go forward the food and FMCG will keep going up because food and FMCG today is growing at a CAGR of plus of 30% year-on-year whereas edible oil will keep growing with a single digit kind of growth but that is how the industry is and therefore as we go forward the food will significantly improve, edible oil will slowly come down, and that is good because to that extent you are derisking your entire business model because edible oil suddenly has got its own risk profile due to the commodity hedging, commodity volatility, and coming back to your first question can you just repeat that first question again?
Jasmine Surana : My question was on the NPD and on the mix?

Company Speaker: So NPD basically we have today, so last year we launched poha which is the flattened rice then we had a khichdi then we had chunkies and then we have lined up couple of like we have a Biryani kit it is at a very nascent stage and does have a very, very small volume to cater in the entire scheme of the things, but having said that it is growing steadily. These are all niche products and therefore we will never be able to showcase a very huge kind of volume, but these are good value and margin accretive products and we are hopeful that we would be keep growing on this year-on-year.

Jasmine Surana : Thank you. Just a last question in terms of the premiumized products that we are selling, would it be able to get a ratio of how much of the p

roducts are selling in the premium end and how much are at the mass end?

Company Speaker: I can give you one breakup I would not be able to give you how much is premium and how much is not premium, but for us the Fortune brand itself is a premium brand in the country, so therefore when we look at edible oil portfolio and when we look at food and FMCG portfolio close to 65% of our branded sale comes from the fortune which according to us is a premium brand for us and then rest of the 35% is from all our mass stage brand or a fighter brand which are there in the market to protect the Fortune. adani
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Page 15 of 15 Jasmine Surana : Alright. Thank you so much.

Moderator : Thank you very much. As there are no further questions, I now hand the conference over to the management for closing comments.

Company Speaker: Thank you everyone for attending this call. We request everyone to keep attending our quarterly earnings call to know business more, to know company more. Thank you again and we look forward to see you again in next quarterly call. Thanks.

Moderator ; Thank you very much. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. adani
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Call: Feb 2024

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February 6, 2024

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Scrip Code: 543458 National Stock Exchange of India Limited
Exchange Plaza,
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Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call of Q 3 of F.Y. 24 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated January 31, 2024 regarding audio recording of Q 3 F.Y.24 Earnings call held on January 31, 2024 . Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You
Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary
Memb. No. – ACS 20217
Encl.: As above

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"Adani Wilmar Limited Q3 FY24 Results Conference
Call"

January 31, 2024

MANAGEMENT : MR. ANGSHU MALLICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , ADANI WILMAR LIMITED
MR. SHRIKANT KANHERE – CHIEF FINANCIAL
OFFICER , ADANI WILMAR LIMITED
MR. SAUMIN SHETH – CHIEF OPERATING OFFICER ,
ADANI WILMAR LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES

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Moderator : Ladies and Gentlemen , Good day and welcome to the Adani Wilmar Q3 F Y24 Results Conference Call hosted by ICICI Securities.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr . Karan Bhunia from ICICI Securities. Thank you and over to you, sir.

Karan Bhunia : Thank you. Good morning everyone. It's our pleasure at ISEC to host Q3 FY24 Results Conference Call of Adani Wilmar . From the management today we have Mr. Angshu Mallick – CEO and Managing Director, Mr. Shrikant Kanhere – CFO and Mr. Saumin Sheth – Chief Operating Officer.

I now hand over the call to Mr. Angshu Mallick for his "Opening Remarks" and then post that we can open the floor for Q&A.

Angshu Mallick: Welcome everyone here. Heartening to start with that after Q1 and Q2 losses we have turned around and we are back in the normal phase of top line and bottom line which is good . Retail penetration has increased. Now it's around 2.1 million outlets including direct and indirect coverage. Rural coverage has also increased. The market share has improved from 19.5 % to 19.8%.

And overall edible oil packed has been growing – growth for up to 9 months has been around 16% YoY which is quite good in terms of past records and food business in India domestic consumption has been growing at more than 40%.

So, overall, a few things are very, very good and more Shrikant will take you through.

Shrikant Kanhere: Good afternoon everyone and thank you for joining this Call.

As a ritual what I'll do is take you through a quick update on this Quarter:

This quarter of course also remains an eventful quarter . I think for the last year

as we are looking

at a lot of geopolitical events which we had never thought of but are happening. This quarter too was not different from other quarters.

The recent Israel -Hamas war and the Red Sea conflict does pose some kind of supply chain threat on the food business where the container freights have gone up very high. Argentinian election and the populist government there has got a significant impact on the supply chain of adani wilmar

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soya bean. Similarly, the Russia -Ukraine conflict continues to grow and therefore we have some kind of risk always on a sunflower supply chain.

The edible oil prices at least now we can say have stabilized from as high as \$2000 a ton same time last week last year to now close to \$1,000 and below \$1,000. So, which is a good and lower prices of course lead to higher demand and companies like us, who have got a greater market share certainly gain from this.

On a supply chain demand for edible oil, India is expected to conclude this oil year which is November to October with close to 16 million MT of imports and close to 24 to 25 million MT of consumption which is in line with the industry estimates made at the start of the oil year.

On the food front, wheat prices continued to go up. They typically follow a cycle of lows at the time of harvest which is sometime in the month of March and April, and they steadily keep going up till the month of November and December and that's where then it starts falling.

So, that cycle continues and therefore for a company like us our policy of procuring wheat at the time of harvest itself always pays up not only on the price, but also on the quality of the wheat flour which we are able to deliver to our customers.

On industry growth trends, the recently published Nielsen data suggests that edible oil consumption continues to grow. The industry grew by 14% in Q1'24, followed by 12% in Q2'24 and 4% in Q3'24.

So, overall, the industry is consistently growing as far as edible oil is concerned which is contributed equally by urban as well as rural markets and growth in consumption certainly helps companies like us who have got a leading position on the market share. Wheat flour also similar story as the edible oil, the packed industry kept growing at 19% for the Q1'24, 13% for the Q2'24 and 3% for the Q3'24.

So, overall good story years and same story is there when we see look at the basmati rice.

So, this is a very quick update on the various fundamentals, parameters and various events that impact the business.

Let's now talk straight on the performance for the Q3'24:

For performance on Q3, as Mr. Mallick mentioned in his opening remarks, we're happy to see that there is a complete turnaround sequentially from the loss that we reported in the last quarter to profit and also what we have seen is now we are back to our normal run rate of EBITDA as well as PAT including the volume growth.

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The gross profits for the quarter, at INR 1,630 Crores is quite good. When we look at same time last year it is down by close to 12%, of course because the oil business has delivered better (strong base quarter), however, on the food business we remained a little bit aggressive in terms of pricing and therefore food didn't deliver the way it has delivered same time same quarter last year.

As far as EBITDA is concerned, as I said - we are more or less now back to our original run rate of close to 550 crores, 530 crores of EBITDA for the quarter, second highest EBITDA for us in last I think 12 quarters.

On the edible oil front, the branded sales for the 9-month continued to grow at 16% year-on-year, very healthy growth for the edible oil segment. Capacity

utilizations are in the range of

55% to 60%. So, we still have good headroom available as far as the capacities are concerned to take on any growth that we can get in the next couple of years.

The ROCP market share, as Mr. Mallick mentioned in his opening remarks - we were able to consolidate this market share from 19.5% to 19.8%. So, for a leader every consolidation of market share is a good story. It is not that how much of market share you have been able to grow. I think a leader, if he is able to maintain his market share, itself is a very big achievement and so we have been growing on market share.

Similarly, when we look at the wheat flour business also our market share has gone up by 50 basis points from 4.7% to now close to 5.4%.

On our overall Company highlights:

The volume grew by 5% year-on-year (YoY) as well as quarter-over-quarter (QoQ) sequential volume growth of 5%. The revenue sequentially grew by 5%, but year-on-year revenue is down by 17%, which are more in line with the lower raw material cost which have been kind of a pass through for us.

The company recorded the second highest standalone EBITDA for INR 530 crores. However, it is lower by 15% year-on-year due to the strong base quarter as well as I said earlier we were little aggressive on the food business on pricing. In fact, within the food business, while the

basket grew by close to 20%, but our wheat flour business grew by more than 45% and that's very encouraging for us.

We are improving on the brand mix; our rural demand continues to drive our volumes and that is there something which we feel very happy about and those are the big highlights for the quarter. As far as the edible oil is concerned, the volumes are slightly flattish of course because we saw little bit slump in the edible oil consumption in the month of December, but as we are seeing in January I think we are back in the kind of volume demand which we saw in October adani wilmar

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and November. So, I hope the Quarter 4 on demand side and the volume side will be better than Quarter 3.

The branded volume of course grew more than the overall edible oil segment and the raw material price are now more or less stable. We did see the high volatility of soya prices in Q3 due to the domestic economic situation in Argentina.

On food and FMCG metrics, our revenue grew by 26% for the 9 months as against 55% growth that we saw in FY23 and 38% we saw in 22, but I think this drop in food revenue is more to do with the rice export ban which India has put in and therefore we are not able to export the rice which is more of a non-basmati rice. Basmati rice export is still happening out of India.

Capacity utilizations on the food plant continues to be in the range of 50% to 55%. The food FMCG revenue as such grew by close to 26%. Branded food is scaling up very fast. As I said, wheat business grew close to 45% and we are slowly getting strong in the southern market, which are more remunerative market for us and of course we are scaling our branded food exports in more markets as we go forward.

On general trade distribution, I think good story to report now our overall reach is close to 2.1 million outlets with a direct reach of close to 6.8 lakh outlet. Rural coverage of now close to 27,500 plus towns. So, of course we have a target of taking these 27,500 to 30,000 towns by the end of this year and of course rural saliency remains at 30%, 31%, which is good story that that shows that with urban the rural demand is also picking up.

On direct reach of course when if you compare with March '20, there is a 2.3 x growth and in terms of rural town coverage as compared to March '20, there is 8.5 and so of course the distribution remains a very focused area for us because we know that distribution

on will take our food business to the next level.

On general trade update:

I think we are quite well placed on distribution and network expansion we are going deeper and deeper into existing towns and we're trying to capture the demand. On brand activities I will not dwell much upon this there are a lot of Fortune brand commercials that we released to sell our products.

On channel performance:

I think branded export is one thing which we have been able to grow more than by 80% in 9 months, which is very good. HoReCa is the segment where our focus is now. We have been growing slowly though it is very small segment as of today, but it is growing quite well and we are very optimistic on this e-commerce and modern trade which is growing very fast for us. adani wilmar

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To summarize:

I think the company has brought the focus on HoReCa and of course all the three channels are growing very fast as far as the branded sales are concerned. On the new product launch, finally we have launched a premium Fortune atta which is Sharbati Atta, and the biryani kit which was there in the domestic market, now we are pushing it more and more into the export markets and export now accounts for more than 44% of our biryani kit sales in Q3'24.

Going forward, there are a lot of marketing BTL activities and social media engagements have been done which I will skip to save the time and I will straight away go to the financial performance. So, on financial performance on the segment level quarter over quarter sequentially edible oil grew by 11% whereas year-on-year growth is flattish, food and FMCG grew by 17% and industry essential grew by 17% year-on-year.

On 9M, the edible oil grew by 8% and within this 8% as I said earlier the packed oil grew by 16% and the food grew by 19% and industry essential by 20%. The food continues to contribute

close to 17 % to 18% of overall volumes of the company which is good. We have plans to take it to close to 25% by end of FY25.

On the revenue front, of course, the drop in revenue is in line with the raw material prices led primarily by the edible oil segment. However, the food FMCG revenues went up by 25% and industry essential revenue were flattish in line with again here also in line with the raw material prices correction.

When you look at segment results, this is what I was explaining earlier - the entire profitability for this quarter is driven by the edible oil turnaround. I think on a year-on-year basis the segment profit has gone up by 15% from INR 258 Crores in December 22 to INR 297 Crores for December 23.

Food FMCG has gone down as I said earlier also that on food and FMCG we had been very, very aggressive in some of the markets as far as the food is concerned and that's how and it has been reflecting in our wheat flour business improvement also which have grown by 45% year-on-year.

So, overall, when you look at the financial performance, the volume growth for the 9 months of 5% and of course the EBITDA and PAT are down as because of the pressure from the food and FMCG business. For the quarter, we have been able to deliver the volume, we have been able to deliver the revenue and now we are more or less there as far as the run rate of EBITDA and the run rate of the PAT is concerned.

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So, overall things have changed for us in this quarter and as we go forward in Q4, I think we should continue with the performance which we have been able to post in this Q3. In fact, we do have a vision of giving better numbers as we get into a Q4.

With this, I end this presentation and will not dwell much upon this, you can certainly go through the presentation which has been uploaded on the site and then I

open the floor now for the

question answers and we would be happy to answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Avanish Roy from Nuvama. Please go ahead.

Avanish Roy: My first question is on edible oil. The volumes are flat. The other listed company also saw dip in volumes. So, whenever we see sharp inflation followed by sharp deflation generally the local players come back, so wanted to understand the competitive intensity I'm not referring to the market share data because that can or cannot capture the real situation on ground.

I wanted to understand are you happy with the flat volumes you have seen given festival season this time there was the full benefit unlike last year when it was split between Q2, Q3 plus the marriage demand was also very strong. In that context flat volumes and local players if you could discuss in terms of competitive situation?

Angshu Mallick: The flat volume is at the company level, but when you look at the packed versus the institution of supply that we make to the frying industry like the chips and wafers, people or to the snack foods or biscuit manufacturer that has actually declined, but packed oil has grown at around 5% in Q3 overall obviously 16% growth.

Now when you look at this Q3 last year also the Q3 was very, very big and marriage season of course this year is also there last year was also there. Last year Quarter 3 was big quarter for us this year also it was like that. So, I don't think the smaller players have taken in share because the market prices have come down which has made the edible oil affordable.

So, all the brands have done at these levels only and Nielsen also says the overall market has grown by around 4%, 5% in Q3 and that is what has happened with us also.

Avanish Roy: My second question is on the Argentina soya issue in terms of the political development there and the container cost which has gone up sharply. So, could you discuss what can be the impact because after many quarters you have seen finally a stable quarter with 3.94% EBITDA margins which is a good number, but do you see the margins coming at risk because of the Argentina development or the container cost escalation?

Angshu Mallick: I think Argentina's major issue was the currency that is the blue currency and the official currency, and the farmers were reluctant to supply at the pet currency because that was much Adani Wilmar

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lower than the blue currency that was going on in the market and so the supply was less and last

year Argentina was really under drought.

So, they had less than 25-million-ton crop. This year the sowing is good, and everything goes well the crop is expected to be at least 45 million tons now somebody is saying 50, but then 45 to 50 million tons to double the crop.

So, the Argentina's are very happy about it. This year agriculture is going to be good. The new president is also good in terms of bringing stability and at least making the currency closer in official and the blue that they call is much closer now, so that is good.

We don't see any disruption of supply from Argentina or Brazil. Brazil also has a wonderful crop 125 million tons, and the harvest has started, processing will start from February. So, February onwards the supply chain will improve. So, soyabean we are not at all worried.

As far as the Red Sea is concerned this issue is more now on containers that goes to Europe, US even Jeddah. Some of the places where it passes through the container freight has gone up. One it has gone up. Second availability has also shrunk because lot of cargo has got stuck or something. So, our problem is that rice exports that we have done to this country. So, there is some slowness it should

improve if the situation improved, but there is some amount of increase

in freight now that freight can be \$30-\$40 a ton can increase on a cargo of \$1,100.

Avanish Roy: Last question on the rice now could you discuss are you happy till now with the acquisition the kind of development you have seen in terms of either market presence or market share? Second is the top two players are extremely large versus you in India branded rice they have a very strong supply chain and strong relationship with the mandis with a lot of experience of many decades.

So, in that context where you are given, you also have done an acquisition, so you must have gained some of the knowhow in terms of this. So, if you could discuss the gap and how do want to close that gap in terms of sourcing?

Angshu Mallick: See last year in this time we were operating from 4 or 5 units in the country. Today I am operating out of 13 units in the country out of which 2 are our owned and 11 are I have taken the full factory and managing it ourselves to our staff and running it as if it is ours.

Now we have increased our footprint surely now we are available and processing paddy to rice in Bihar, UP Karnataka, Tamil Nadu, Bengal, Punjab, Haryana. So, we are now there Maharashtra I'm starting very soon near Nagpur. adani

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I'm also working at Andhra Pradesh. So, we are starting there. So, I think what we have decided is that we will go to every state wherever rice is available and we will convert Rabi to rice and build that business closer to the market that is one.

Two, we have started taking a lot of graduate agriculture graduates just as we take the graduate engineers and put them as GET. Similarly, we have taken graduating agriculture trainees and putting them in the market to work with FPOs, to work with the farmers and bring a closer connect between the farmer FPO and AWL factories.

Now that we are doing to ensure we get into the roofs. We are working continuously on it. Yes, I would agree with you that we don't have so much expertise in contract farming or rice growing business with these farmers, but surely we have bought paddy this time basmati paddy from 125 market yards out of 250 what they call.

So, 125 means the potential ones we have gone, and we have put our people and we are sourcing from them and I think we are a serious buyer in paddy this year people have seen our purchase.

Avanish Roy: One last follow up on rice only so we see top two players advertise heavily. One has been a brand sponsor of Master Chef India and the other has also been doing extremely strong advertising. So, mass media advertising I don't see much of Kohinoor or your own rice, is that depending upon the development of the core expertise, which is still yet to be built, is that depending upon that?

Angshu Mallick: Yes only rice I am saying possibly is higher than number two brand that is what I know because that is what statistics I have seen. You may not have seen it much is another issue because possibly we are not available in all the business channels, but still we were there Kohinoor has the new ad that we have made, has turned out to be one of the best ads as per their research by some agency that it's the top 5 we called ad which highlights on the aroma and absolutely different type of style and all that.

Now surely advertisement of one year, two year doesn't make much you look at there's competition doing it for 10 years, 15 years. In oil you will find that we are visible much more visible than anybody that is because over the years we have put it, but surely going forward you will see us in many of the places and we have also taken such type of programs wherever we feel that the brand and the program has connect.

Moderator: Thank you. Our next question is from the

line of Kaustav Bubna from BMSPL Capital . Please go ahead.

Kaustav Bubna: So, a competitor of yours recently on the concall said that they made a statement that the edible oil prices have bottomed down and the worst is over for this industry right now and things will only look up from here. adani

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So, what's your view on this and how do you see pricing and demand shaping up margins also for players like you shaping up over the next two, three years in the space edible oil space?

Angshu Mallick: Edible oil industry what we always fear is sharp decline or sharp increase. Sharp increase obviously good because most of us are long physically, but when it comes to sharp decline we are all afraid because you don't get much time to cover yourself, but the edible oil prices have been steady, and the hedge is now in tandem. It is not reversed. Earlier what happened CBOT was going up, India was coming down. So, you were lost in both places .

Now the hedges are in tandem and it's a little much more safer business I would say. Going forward if these oil prices remain like this or even it reduces and gradually it reduces the way that is happening now we see better because brands always do well when commodity prices are lower that is one.

Two consumption is always high of staples when the prices are low. Both the things will surely help us to do well because the brand and Fortune will gain when the prices are lowering.

Moderator: Thank you. The next question is from the line of Akshay Krishnan from ICICI Securities. Please go ahead.

Akshay Krishnan: Sir just wanted to understand on the branded segment, what are the key drivers that we are monitoring in and do we expect any further acceleration down the line and what is that we can actually look in for that?

Angshu Mallick: In brands we normally monitor one supply chain because the demand shoots up many times because these are staples. So, we have to ensure that we have excellent supply chains. So , possibly we have the largest number of manufacturing points, and we have 93 depots across the country far-flung areas including Srinagar and Leh and all that.

So, stocks are available 10,000 distributors handling our products, many of them all the products and many of them are exclusive. So, the supply chain is one. Two is the retail universe increasing? Is our direct coverage increasing? So, we have seen that our direct coverage now around 6, 60,000 which we started the year at around 4, 75,000 or 5, 00,000 and we hope to go up to 1 million in another year or so.

Indirect coverage is also increasing, which Neilson is saying is growing and has grown at 2. 14 million, which in itself is a very good figure. Third is the absolute market share which has grown from 19.5 to 19 points to that peers are looking at.

We look at what is the volume that the retailer is handling what we call as PDO. So, all these things matters. A part from that let me tell you our boys give us hints that competition is weak in this area, competition and the supply chain is tight and we should gear up fast. So, we don't take adani

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much time to react and all of us get into the act and just blast with our volumes that is our strength areas. So, these are the things that we do.

Akshay Krishnan: One more question just a follow up I just want to understand the performance trend that's been seen through the quarter. So, just want to can this help us in quantifying the October versus November versus December trends that we are seeing in?

Angshu Mallick: In terms of volumes or sales or something?

Akshay Krishnan: On the overall level both the sales and the volumes?

Angshu Mallick: Packed oil did highest in October,

basmati rice, Kohinoor did highest 6 ,500 ton in December.

So, OND was very good because basmati rice season starts in October as October , but December was very good for us for domestic basmati rice business. This trend continues also January - February -March . Our oleochemical business has done very well. Let me tell you, we are almost 25% of the country is glycerin suppliers.

We almost have 33% market share of stearic acid in the country, 11% soap noodles so that

business also except for soap noodle other two products were doing very well in bonding. Castor oil was good. Castor oil exports were very good so that has been helpful for us.

Overall, October, November and December, October volume was very, very good. November was a little medium and then December was low. So, that is how it is, but volume wise it was a good quarter.

Moderator: Thank you. We have a follow up question from the line of Kaustav Bubna from BMSPL Capital. Please go ahead.

Kaustav Bubna: Maybe for my lack of knowledge, but this question more pertains to understanding how do we track the prices of let's say mustard oil and soybean oil for those type of edible oils how do we track the raw material prices? Do we just link it to crude oil or is there some other way you recommend us to track those prices?

Angshu Mallick: Mustard oil I will tell you is simple the prices are available in exchanges, Solvent Extractors Association regularly issue these brokers are there we supply the racks on a daily basis, but for us we buy mustard seed. We are possibly one of the largest mustard seed buyers and processors.

So, we keep track of mustard seed available in Haryana, Rajasthan UP and we are buying oil in 9 places. So, overall, we get a feel of the country's supply chain now and that is how we ensure one raw material, and we ensure the raw material prices are least cost basis. adani

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So, whichever is cheaper we buy from that area as seed also we go by land tracking, but for you, you can get into Solvent Extractors Association and you will get their report monthly, daily I don't think they will, but they are giving weekly rates.

Kaustav Bubna: And one more question was for the end edible oil product what is the percentage of imports that come into the country?

Angshu Mallick: See today we consume roughly around 23 million tons and domestic is around 9 million ton then 16 is imported. So, two-third, one-third.

Kaustav Bubna: So, out of this import is there any import duty?

Angshu Mallick: Yes 5.5% import on crude oil.

Kaustav Bubna: And is the company lobbying for a higher import duty in the future or you guys happy with this equation right now?

Angshu Mallick: No, I will always say if the duty is less prices of commodity is less volatility will be good and manageable and consumers will find the prices attractive and will consume more. End of the day lower prices help, but then if you look at the farmer surely they are worried because in soybean if you have seen recently in MP the rates are lower than the MSP. So, there is some amount of discussion going on. So, from a consumer point of view lower duty is good.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Shrikant Kanhere : On behalf of the Management of AWL, I would like to thank the participants for taking out time and joining our call and listening to us. Do keep tracking our numbers, do keep tracking us on a quarterly basis and do connect with us for any connect with us offline also for any explanation or queries which you have around the business model. Thank you very much.

Angshu Mallick : Thank you all for attending and hope to continue with this trend Q4 onwards, I

lot of activities are

going on in AWL and I hope we continue with our good performance.

Moderator: Thank you. On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. adani

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Call: May 2024

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Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call of Q 4 of F.Y. 24 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated May 2 , 2024 regarding audio recording of Q4 F.Y.24 Earnings call held on May 2, 2024 . Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You
Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary
Memb. No. – ACS 20217
Encl.: As above
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"Adani Wilmar Limited Q 4 FY24 Earnings Conference Call"

May 02, 2024

MANAGEMENT : MR. ANGSHU MALLICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , ADANI WILMAR LIMITED
MR. SHRIKANT KANHERE – CHIEF FINANCIAL
OFFICER , ADANI WILMAR LIMITED
MR. SAUMIN SHETH – CHIEF OPERATING OFFICER ,
ADANI WILMAR LIMITED
MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES
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May 02, 2024

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Moderator : Ladies and gentlemen , good day and welcome to the Adani Wilmar Q 4 FY'24 Earnings
Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuvania from ICICI Securities. Thank you , and
over to you, sir.

Karan Bhuvania: Thank you. Good afternoon, everyone. It's our pleasure at ICICI to host Q4 FY'24 Result
Conference Call of Adani Wilmar. From the management, we have Mr. Angshu Mallick – Chief
Executive Officer and Managing Director ; Mr. Shrikant Kanhere – Chief Financial Officer and
Mr. Saumin Sheth – Chief Operating Officer.

Now, I hand over the call to Mr. Shrikant Kanhere for "Opening Remarks" and then we can open
for the Q&A. Thank you. Over to you, sir.

Shrikant Kanhere: Thank you, Karan , and very good afternoon to everyo ne who have joined this call for the Q4
FY'24 of Adani Wilmar. We will talk about the performance in the Q4 for your Company and
then we will open the floor for questions and answers.

The quick highlights for the FY'24, the Company crossed a volume of 6 million metric ton mark
in which food and FMCG crossed 1 million metric ton , which is a remarkable feat for any
Company to achieve. This 1 million ton translates into a revenue close to INR 5,000 crore for
the FY'24, this nearly doubled in two years of time.

The HoReCa segment which , or a channel rather I would say , which we started a n year back is
now INR 400 Crore. Kohinoor brand crossed INR 350 Crore of business , which we acquired
only in May '22.

Edible oil branded sales grew at a faster clip at a 15% year-on-year in FY'24. This is something
very excit ing to us because the edible oil branded segment in a n industry

growing at single digit,

and we have been also clocking single digit growth for the last couple of years. This time it is
15% for us.

Food and FMCG domestic volumes grew in a range of 40% plus for the Financial Year '24 . We
have been seeing a very good turnaround on the alterna te channel , which contributed close to
INR 2,700 Crore of business. Branded export, which Company has got huge focus, where we
export edible oil as well as the food products to more than 30 countries across the globe , grew
by 72% in FY'24. adani

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Distribution remain a focus for us as we move forward. Our all efforts to improve the distribution
is resulting into the numbers. Now we reach close to 7.2 lakh direct outlets with close to 2.1
million overall reach. Rural, t he go -to-market strategy for ru ral market also remains focus for
the Company . Now we are covering close to 30,000 + towns. We do have a target of covering
close to 50,000 towns by the end of next year.

On the supply chain side, we do understand the ES G commitment of the Company and the refore

are trying to shift as much as cargo through alternate channels, which is multi-modal dispatch through a rail. So, 25% of our volumes got dispatched through rail without adding any carbon footprint in the environment. Further, 7.6% of cargo is dispatched through CNG vehicles. A quick snapshot on the results. For Quarter 4 FY'24, sales volume grew by 4%. This 4% is overall. However, when we look at segment wise, the edible oil grew in double-digit, whereas food also grew by double digit. Industry essentially degrew and that's why we are seeing this 4% growth for FY'24.

The gross profit grew by 10% on a standalone basis and the PAT, of course, grew by 60% as compared to the same quarter last year. On consolidated numbers also, more or less numbers read same. The volumes grew by 3% and PAT grew by 67% versus the same quarter last year. When we look at the full year summary, overall sales volume grew at 11% and gross profit and then the EBITDA is down by 29%. I think the reason for the same we all know, its underperformance that we saw in Q1 and Q2 because of the high price inventory coupled with the market crash and disalignment of hedges that we saw in H1 and that has impacted right from the gross profit to the PAT. The PAT degrew by 54% against 607 crore to 278 crore on standalone basis.

On a consolidated basis :

The volumes grew by 10% and PAT decreased by 75%, similar reasons. But in this consolidated, we also have one more reason to act, which is Bangladesh, where we had some struggle last year, given the fact that Bangladesh as a country witnessed couple of not so good economic events, including the currency crisis, and the government trying to control the prices.

On a profit performance quarterly :

I think we are slowly moving back to the normalized profit, which we used to deliver in FY'21, '22 and '23. Whatever we saw in Q1 and Q2 in terms of this alignment of hedges and commodity volatility is now behind us, and we are now delivering the EBITDA and gross profit, which is a standard run rate at which we were running. adani

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Profitability recovered in H2 after the subdued profit in H1 '24, so gross profit for H2 at INR 3,122 crores against INR 3,038 crores of the same H2 of last year. EBITDA in H2 '24 is close to INR 863 crores, so that run rate of INR 900 crores EBITDA in half is somewhere we are close to that, as compared to INR 962 crores of EBITDA in H2 of last year.

This time we had a reclassification of derivative gains and losses, which is in accordance with the accounting practices suggested by our auditor. Earlier, these gains were forming part of the material consume

d and from this time, we have adopted a reclassification where in the derivative gains and losses are being regrouped or reclassified as other income or other expenses as the case may be.

So, therefore, we have given this normalized gross profit and normalized EBITDA number because at the end of the day, we must understand one thing that derivative gain or a mark-to-market gain and loss is a very integral part of our overall scheme of the things. And therefore, looking at it differently will not really give the right picture in terms of the profitability. And therefore, we have to look at a normalized EBITDA after giving effect of this reclassification. And therefore, if you look at this, for the quarter, the EBITDA at INR 357 Crore against same Q4 of FY'23 of INR 359 Crore, more of a flatish EBITDA. And similarly, when we look at a normalized EBITDA for the full year, against INR 1,661 Crore of last year, we delivered INR 1,135 Crore for this year, of course, because of the H1 not so good, impacting the entire full year of the EBITDA. Similarly, when you look at the gross margins level also, against INR 6,000 Crore of gross margin which we delivered in FY'23, we delivered a gross margin of INR 5,632 Crores.

On business update highlights :

Of course, volume grew by 3% and the revenue for the quarter now at INR 13,238 crores, H2 EBITDA of INR 861 crores. Demand remained strong during the quarter, which we saw, and we are hopeful that this demand should remain strong as we enter into a new financial year.

We have improved the brand mix both in edible oil and the food, and we are also rationalizing high penetration, rationalization in high penetration markets, particularly the regional marketing campaigns, incorporating all the local nuances and cultural aspects.

We are also launching market specific campaigns to win the customer in those markets, like we launched "Kai Manam" campaign in South promoting entire range of Fortune products, including the wheat flour.

In edible oil, particularly, we recorded 11% year-on-year growth, with a revenue of INR 10,195 crores. We also saw a very strong growth in sunflower and mustard oil. Mustard being a domestic adani

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oil, also gives us some kind of benefit in terms of volatility, because it is less volatile. We gained market share in mustard by a good 180 bps, and now we have 15% market share.

The domestic branded sales volume will get a faster clip at 13%, while overall oil grew at 11%, but branded segment grew at 13%, leading to the market share gain of 60 bps. Branded product, overall, delivered a very strong contribution to the profits in FY'24.

When we look at the food and FMCG, it grew by 23% year-on-year, for the Financial Year '24. Export restriction has been a drag for the food. In FY'24, the domestic volume grew in the range of 40%, and that is very encouraging for us because most of the branded products are getting sold in domestic market for us.

Big business has been sharing the South India and we have a very specific focus for this market. It is a very remunerative market, and we are continuing with various campaigns to see that we keep growing in this market with our distribution reach as well as the marketing campaign. We do understand the fact that leveraging edible oil distribution is something which is very important for the food segment to grow which we are continuously doing.

The key metrics on edible oil, if you look at for the full year, edible oil grew at 10%, whereas the branded segment grew at 15%. When we look at quarter, full-year quarter, edible oil grew at 13%, whereas branded segment grew at 12%. So, branded growing at double digits against the industry growth of single digit, less than 7%, is a very encouraging story, and that is reflecting

also in our market share.

If you look at the market share going up from 18.4% to 19% giving us strong number one player in the country. Segment wise, EBITDA, food contributed EBITDA of close to 1,146 crore against 1,393 of last year. The reasons we know why the EBITDA contribution from edible oil is lower than last year.

On capacity utilization, we are quite well placed, 60% capacity utilization. So, we still have good amount of headroom available for any kind of growth that we may see in coming years.

Similarly, for the food and FMCG, overall business grew by 17%, whereas domestic business grew by 43% and similarly, when we look at a quarter, overall business grew by 11%, whereas the domestic business grew by 33%.

A very good story on the segment EBITDA. We are consistently improving the volumes also and improving the margin profile also of the food and that is what we are saying since beginning that food once reach a respectable level should start contributing to the overall profitability of the Company. For the Financial Year '24, food contributed an EBITDA of 170 crore on a turnover of 5,000 crores close to 3.5% of EBITDA, which is quite encouraging for us. adani wilmar

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Atta, which is one of the focus area for us, growing steadily with the market share going up from 5% to 5.6. Basmati rice overall including Kohi noor and Fortune, we are a flattish as far as the market share is concerned, but we do have plans to see that how this market share crosses double digit and we become a strong number three player in the country.

When we look at a distribution because this is a very important aspect of our business, because without distribution you can't enjoy a pan India presence of your brand, and this is very important parameter for business to look at.

Now we have close to 2.1 million outlet reach in which 7,20,000 is a direct reach. This direct reach is actually 2.4x when we compare it with the March '20 number.

Similarly, the rural town coverage as I said in the earlier slide that it remains for focus area for us. We are steadily growing on the rural town. Right now, we are covering close to 30,000 towns, but we do have plans to take this to 50,000 towns. The rural saliency remains at 30%, 31% for us. It is improving. In fact, till last year, it was 30%. This year, it is actually 31% in terms of our overall scheme of things.

Alternate channel is something which we have realized that this is the channel which is growing much faster than the general trade, and this is also a most remunerative channel for any brand Company. In our case, this channel has contributed now for revenue close to 2,700 crore plus of revenue. In this whole alternate channel piece, e-commerce is growing faster than the modern trade. The overall growth of alternate channel is 29%, whereas the e-commerce has grown by 42%.

Similarly, on HoReCa , which is a new channel which we have created close to a year back, now it is 3x contributing a good 400 crore of business. on a branded export , which is again a focus area, we have more than doubled the sales which are growing by 72% and now close to 200 crore of turnover contributed by this channel, 30 plus countries, where we are exporting all the products on the brand name Fortune, whether it is an edible oil or whether it is a food product. As I said in the earlier slide, the alternate channel remains a focus area because this channel is growing very fast and also a remunerating channel . We are seeing our market share is very, very good in this channel, while, for example, in edible oil our market share, over all market share is 19%. But when we look at a soybean and mustard, particularly, in sunflower, on alternate channel, our share is anywhere between 15 % to 80%. So, there are

, for example, in soybean oil, depending upon market -to-market, share might be in the range of anywhere between 40 to 80 , for mustard 30 to 70 , for atta 10 to 20 , this is building up very fast and for the Besan it is 20%. So, this is something which we will keep growing as we move to the next financial year. On marketing, I will quickly pass on this because these are more of a social media connects with companies . The Company understands a very importance of digital marketing which is growing adani wilmar
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very fast nowadays, and it allows the Company to connect with the customer directly and it has got a better penetration than any other channel. So, the Company continues to do lot of digital marketing campaigns on social media just to see that we get a focused concentration on the customer.

Besides digital marketing, we also did above -the-line ATL activities for Fortune and our King's brand. Fortune, we recently launched on TVC to reinforce the premium of the Kohinoor brand and authenticity of the taste which Kohinoor brings in.

On ESG, this is the last part of my presentation . On ESG, the Company is very much committed to ESG, and we understand the criticality of this. We are doing a lot of energy and water conservation efforts in various of our plants which is resulting into efficiency in steam, power and water. As I said earlier, 25% of our dispatches are on a multimodal , which is allowing us to earn the real green points. In FY'23, we had 22,000 green points. In 2024, we earned close to 28,000 green points.

Solar or renewable energy or green energy, whichever name you may call it is also something which we are working very closely. As of the close of March '24, we have close to 8, 9 megawatts of installed capacity of solar against our overall requirement of close to 70 megawatts at a Company level. So, we are a little more than 10% of electricity is now being on renewable. We are working that how can we take this 9 -10% of renewable energy to 100% . This is something which we are working internally, and we will be coming back on our plans.

Rainwater harvesting, we are continuing with many plants . Tree plantation remains, so at all the plant locations we are trying to identify the places where we do tree plantation. And of course, sustainable procurement remains a focus area with 90% of the palm oil now is traceable till mill and we are also extending this sustainable sourcing to our domestic sourcing as well.

On logistics, I will not spend much time . I have already spoken about how the dispatches are happening, which are able to give us an ESG benefit. This is just a certificate from railways that since 1st of April 22, how much of rail green points which we have earned by dispatching our cargo through rail.

So, this is all from my side . The presentation ends here , and now I would certainly ask the operator to open the floor for questions and answers , and we would be happy to take the questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the time of Abneesh Roy from the Department of Atomic Energy . Please go ahead.

Abneesh Roy: So, two, three questions. First is the foods and FMCG , this quarter volume growth of 9% and value growth of 16%. Are you happy with this? And if you could give more color on how rice adani wilmar

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has done ? Because there you have done that acquisition. How has that scaled up? Because clearly this is having much more potential , but 9% growth of volume is lower than your even edible oil volume growth where you are already very strong number one.

Angshu Mallick: Yes, see 9% of volume growth is an overall volume growth i

n food and FMCG. But when you

look at the domestic business, we have seen 39% growth. In exports, we got impacted because of the non-Basmati rice, that is the white rice that we had exported Q4 last year. That was around 50,000 tons, which was practically nothing this quarter because it is banned, both broken and white rice. So, there we got impacted.

Otherwise, the domestic business, where we have more concentration, we have done 39%. Going forward, this impact will not come because the impact has already been felt this year. Next year onwards, the export volumes are standardized. So, that should not be a problem.

And going by your statement that food and FMCG should grow faster than oil, surely, we agree. Oil will grow at around 10%, but food and FMCG quarter-on-quarter, we have been growing at 30%.

On Kohinoor, when we bought this brand, the highest that McCormick had done earlier was 38,000 tons. And we have done 50,000 tons. We have crossed that limit in the second year itself. May '22 we took over and we took 6-8 months to understand the structure and all that. And after that, '23-'24 this year, we have done more than that. So, we have crossed what McCormick did at the highest level. And going forward, you are right, Kohinoor should do better. And we are confident about the brand strength.

Abneesh Roy: One or two follow up. So, one, in Q1, the white rice and broken rice exports won't be an issue?

Shrikant Kanhere: White rice, we are not going to do because you are not supposed to do. The G2G business has now started. So, possibly some business is happening where we are supposed to buy and sell to the cooperatives, NCEL or Kribhco and they are exporting. So, we have started getting some business on that and this quarter possibly we will do some business. But that will not be counted as an export because we are not an exporter. We will only be domestic procurement and selling to the Kribhco or NCEL.

Abneesh Roy: To understand correctly, even in Q1, the foods and FMCG could get some impact because of the white rice, broken rice exports, right?

Shrikant Kanhere: No, no, no, because last year, only one quarter we might have Q1 because the ban came in August. So, April, May, June, whatever little bit of rice that we had exported, that might get impacted. To mitigate the G2G business, what we are doing, we will bring that volume, but instead of export, it will now become domestic.

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Abneesh Roy: Right. Now related question on Kohinoor, you mentioned you have gone beyond the earlier owner's performance from 38,000 tons to 50,000. I understand your own presence is also there in this segment. So, on a combined basis, what's happening? Is there any kind of cannibalization because your own brand is also there? So, combined market share, if you could comment where is it now and where do you see in three years?

Shrikant Kanhere: See, combined market share has dropped by around 0.2%. It was 7.9%. It has come down to 7.7%. The major impact has come not in Kohinoor, but in fortune now that was because one or two festive seasons we had pushed a good quantity through the modern trade. That business did not happen, and hence that quantity was not available during this year, but going forward we have plans to enlarge our retail base. The retail base of rice today is around 65-70,000, which we want to take to at least 1,25,000, and we are confident that retail base will give us lot of benefit.

Second is that our Gohana unit, which is from the IPO investment we did, will be ready.

Hopefully, the rice part should be ready by November as the season starts. Once that starts, we will get lot of advantage of having in-house capacity, better, more efficient milling and better cost optimization. So, all that

will add value to us going forward in the next Basmati season.

Abneesh Roy: My second and last question is on the hedging losses, which has plagued lot of your quarters in the last around one year. Q3 was a positive aberration, but Q4 again there is hedging losses. So, two questions here. One is, why it is again recurring because what I understand is now last six months at least the commodities have been in fairly range bound. It has been in a tight band. Given that scenario in some of your key raw material, why should there be hedging loss? Second is FY'25, what can be different in terms of hedging loss? Because this has been really taking down your profitability in a significant manner.

Shrikant Kanhere: So, Abneesh while on a hedging losses, what I would like to comment is that, I don't think we should look at hedging loss only as a standalone because the second leg of the hedging loss always sits in a gain at the side of either in inventory or the sales which we have in that. So, we have to look at overall.

Having said that, this quarter, we have not suffered any loss due to the commodity volatility. In fact, we do have some bit of gain sitting in the inventory and some bit of mark-to-market gain sitting in the contracts, which will get settled only when these deliveries happen in next quarter.

So, those, to that extent, in fact, the gains sitting in the inventory and contracts have been carried forward to the next quarter. And therefore, this quarter looks a little bit subdued. And therefore, I always say, when you look at our numbers, quarter may not be really right judge, because what happens is, sometime one leg of your hedging gets delivered in one quarter, the other leg gets delivered in the next quarter. And therefore, when you look at the elongated adani wilmar

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time period, maybe half or maybe a full year, you get a better picture of the things. And therefore, I can confirm this quarter has got no impact on hedging losses per se. I think, and whatever happened to us in terms of hedging losses, in terms of disalignment of hedges or inventory, high price inventory happened only in Q1 and Q2.

Abneesh Roy: That's fine. But on a full-year basis, what is your expectation on margins, both EBITDA margin and profit margins? I am asking on both because I understand some reclassification has happened. Ultimately, on a full-year basis, you need to target that margins which were happening earlier before all this commodity, sharp inflation and then sharp deflation. Now we are in normal times. I hope so. Taking a normal scenario kind of assumption, where do you see your EBITDA and PAT margins for FY'25, given it's a full year number?

Shrikant Kanhere: Yes, so, Abneesh, good question. I think Q1, Q2, Q3 and Q4 has shown that we have now gone back to our original run rate on EBITDA as well as the PAT which we were delivering in FY'22 and FY'23. One is this.

Second, the prices have been stabilized and we don't see much of volatility coming up in near future. And whenever prices are stabilized, the brand makes better money.

Number three, food and FMCG proportion in the overall scheme of the things is improving. Today, it is at 17% of volume. Two years back, it was 12-13%. And next year maybe, we are hopeful that it should touch 30% of our volume. And food, as we saw in the presentation also has started giving a good EBITDA.

So, I would not quote a number per se, but I can certainly confirm that we are on track to deliver the kind of EBITDA and the kind of net margins which we had shown in FY'22 and FY'23, which should happen in FY'25, in line with the volume growth.

Moderator: Thank you. The next question is from Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni: So, my question is specific to mustard oil production. So, can you tell me what are the current

spreads and what are the demands of the factors that are currently in the spread and how do we see the spread improving from here on?

Shrikant Kanhere: See, mustard oil production is estimated at, this year the crop is very good and the harvest is going on. We see a very good crop and the crop is estimated at 112 lakh tons. 12 million means 120 lakh tons. That is almost around 10% higher than last year. That is one.

Two is that the government also has a lot of, I would say, strategy of increasing the mustard oil production because it is part of the Atmanirbhar Oilseed mission that the PMO has driven to make country self-sufficient. So, mustard oil will be a focused oil for the government and we as adani wilmar

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the largest player in mustard, we understand this how we can also increase our volumes and also the margins.

Let me tell you mustard oil gives us very good and stable margin as Fortune Kachi Ghani Mustard Oil. Number one mustard oil. We have an overall 15% market share, and this market is very fragmented because there are so many brands and so many small manufacturers. So, 2%, 3%, 4%, these are the type of things you have and in that we have 15%. Margins are very good, and we have started expanding in milling capacity.

This year amongst the IPO project, one 600 ton crushing per day has been commissioned. So, that is now ready for operation in this season. In Gohana, we are coming up with another 600 ton plant, which will be ready by, say, another one month or so, and at least we can do crushing there. So, 1,200 ton of crushing should give you an additional around 35% of Kachi Ghani. So, that is the type of oil that we will get, pure Kachi Ghani oil and which will add to our volume. Now mustard oil we have been growing at around 19-20% per annum and that is a very healthy growth rate. It is more than refined oil. So, consumers are looking at mustard oil and that has happened after the COVID. We are seeing that consumers have remained more loyal with unrefined oil or what you call as a cold fresh oil because Kolu is a cold-pressed oil. Looking

forward, we have made good profits in mustard and we will continue to do that because of the brand strength.

Aniket Kulkarni: So, you are saying that the production will be substantial this year. So, will it have any effect on your pricing or does it matter in terms of pricing your products? I mean, if the supply is low, do you charge higher pricing or is it maintained, and you take a hit on your numbers?

Shrikant Kanhere: See, higher production is good. The markets remain stable and when it remains stable, the brands get a lot of strength because volatility in prices brings a lot of fluctuation in MRP. So, for us, the lower prices give us higher margins and we would always like higher production because that is better for the country as well as for the brand.

Aniket Kulkarni: And just one last question. Is the current production which happens sufficient for the demand or is it higher or lesser or is the demand in line with the supply or how is that balanced in the market?

Shrikant Kanhere: No, it is I think very good production going on. Earlier, three years back, it was only 80 lakh tons and from there it has gone to 120 lakh tons. A lot of area where in Rajasthan, we have seen people have shifted from, farmers have shifted from wheat to oil seed because last year they got good money in mustard oil seed. So, that is good in one way. It is encouraging, Haryana and Punjab has also started producing more mustard because it gives them a good margin.

Moderator: Thank you. The next question is from Harit Kapoor from Investec. Please go ahead. Adani Wilmar

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Harit Kapoor: Just had two or three questions on the food and FMCG business. The first one was on the export side. So, how long more do we expect that there will be this impact? And when does the export restriction impact come in to the base? Would that be from Q3 onwards?

Shrikant Kanhere: See, first is that last year, August, the ban was there on white rice and 20% duty on Parmati rice was put in August. So, till August things were normal. So, I think for us Q3 onwards, our export of rice will show much better performance. That is one. But in spite of that, our basmati rice exports will grow this year because we have built good inventory and April to September we look forward to a good business season for basmati rice.

Other than that, our branded basmati rice has increased from, say, we were doing roughly around 7,000 tons. This year we expect to do at least 15,000 tons or 20,000 tons. So, branded basmati, particularly Fortune brand and Jubilee brand, we are exporting to more than 30 countries, and there we are getting consistent growth.

Harit Kapoor: And the second thing was on the branded food side. You just mentioned about rice. You did mention in the presentation that you have seen 30% plus kind of Y-o-Y growth for the past 10 quarters. Just wanted to get your sense about what that number is branded as a percentage of the overall food and FMCG business today? And how do you see that kind of moving forward? I know you don't kind of track it that way, but just a sense of where that number, what the number is?

Shrikant Kanhere: In food and FMCG, more than 80% is branded. It is packed. Now, when I say packed, it can be 25 kilo bags also, Fortune bags which goes to our hotels, which also goes to our out-of-home consumption plus in-home consumption. So, these are all packed and branded. So, more than 80%.

Harit Kapoor: And the last thing was on the profitability. So, if you look at profitability of the food and FMCG segment, you have seen it continuously improve compared to last year to this year also. EBIT margin trends are moving up. I understand you had mentioned in the past that it's also a function of scale. It's a function of premiumization that you are going to slowly and steadily drive new innovations, etc. But I just wanted to get your sense about what is that trajectory? Is there a two, three-year trajectory in mind in terms of where we are looking to see this scale up from an EBIT or EBITDA margin perspective for the food and FMCG business?

Shrikant Kanhere: See, on food business, of course, as we demonstrated that it is growing not only in the volume, but also in the terms of margins. For us, we do have a plan that it should start delivering a very respectable EBITDA margins, which can be compared to the competition. And therefore, we have said this earlier also, that food has got a more prospect of delivering better gross margin and EBITDA margins as compared to the edible oil. Adani Wilmar

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Edible oil margins can be ranged between 3.5% to 4%, but food can give double than this, and

therefore we are moving on this trajectory . And I think we have no reasons to believe that in next two years of time, by the time when we will cross the volume of more than 1.5 million tons in food, we should have that pricing power in hand , which can give us a better margin than the edible oil.

Moderator: Thank you. Next question is from Karan Bhuvania from ICICI Securities . Please go ahead.

Karan Bhuvania: Firstly, I just wanted to ask your outlook on the edible oil segment now that prices have stabilized, what kind of volume growth that you are expecting next year or more in terms of the medium term? And I think last quarter you had mentioned that there was some inventory build

up

in terms of imports of edible oil which could have some impact on you as well . If you could provide some update on that as well.

Shrikant Kanhere: On the prices front, surely the edible oil prices are much more stable and it has come off till February, we were seeing continuously coming down but then after February we saw little uptrend , but still nevertheless it is still much better than what it was last year, number one.

Number two, as far as growth is concerned, we are banking more on the rural growth because we are looking at, India's per capita consumption is 17.5 kilo , but when you look at neighboring countries, they are all at 18 -19. China is at 27 -28 kilo per head. So, going forward, India, average Indian should consume more edible oil . That will happen and with prices coming down, we have seen this year, branded edible oil grow at 15%.

Now, next year, we hope to have at least a double -digit figure somewhere in the range of 9 -10%.

If that happens, that should be good because our volumes are quite large . We did around 2.7 million ton in packed oil. So, another 10% more growth should be a good growth . That is one.

Two, we are banking in rural market because in rural, there are many states which still consume less than average India , whether it is Bihar , UP, Orissa, parts of Bengal , parts of Rajasthan , Parts of Madhya Pradesh where we have seen that consumption , per capita consumption much lower . And we see a good opportunity to improve our sales there . So, that is why the rural focus will be more .

And on inventory , unlike last year , we have learnt certain things , and we have done corrective measures . We have changed our , tweaked our risk management policy to ensure that we remain tight on inventory and we have ensured that we are just in time managing , and hence we will not be saddled with any great inventory . This is a normal inventory that we need to run day to -day operation .

Karan Bhuvania: Also, if you could just highlight that now that the branded segmenting is growing faster than the unbranded segmenting within edible oils, what kind of profit improvement we can see in that Adani Wilmar

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segment because of branded growing faster? And lastly, my question will be on , if you could explain what has happened in the industry essentials segment which has led to such a steep decline in volume. What specifically has happened?

Shrikant Kanhere: On industry essentials , I will say that there are three components . One is oleochemical . Another is castor and third is the oil mill. Now oleochemical business have been doing very well and we have been growing over 20% year -on-year and which we hope to continue. So, there is no problem there.

Castor oil, you know, we are world's largest exporter and processors and plants are running at almost 95%. So , we are up at the thing unless we add more capacities, but we are adding capacities and derivatives, which is value -added products and not the base, making just castor oil, but we want to get into derivatives and specialty castor products. There we are investing. So , in castor business, we will grow at 5% or so.

What impacted our volumes were the oil meal export . Oil meal , we are big exporters of oil meal . That in the last quarter did not happen because mustard arrivals got delayed and there was rain. So, the oil meal was not available on time for exports, and we missed on that, and the prices also went up and globally consumers were not willing to buy at higher prices. So, the oil meal export , particularly rapeseed oil meal was impacted. I hope in Q1 this year, we will recover substantially. So, on your first question, the oil mix between the overall oil basket, I think yes, of course, the branded portion will go up more because the loose is not the priority for us. O

f course , brand

remains priority for us and brand , if it keeps growing at 8 -9% as Mr. Mallick said, which is in line with the industry growth, I think in the overall scheme of the thing , branded should improve .

Karan Bhuvania: Just wanted to understand what kind of profitability improvement because you mentioned that branded has much better profitability than the unbranded , right? So, what kind of profitability improvement can we expect with branded growing faster in terms of the gross profit per ton or

EBITDA per ton ?

Angshu Mallick: See, on edible oil , so for us the standard run rate for gross profit is anywhere between 11,500 to 12,000 per ton and the EBITDA margins of close to 3,500 metric tons per ton . So, this is what we feel that our brand should be able to deliver . Food, of course , is something which is growing, and which is still yet to come to its full potential of giving the margin , but that's how the margin profile should move in next financial year . Given that now the things have been settled, no volatility , none , no kind of the event which we had in Q1, Q2 are going to be there , so we are quite hopeful that we will have a good FY'25.

Karan Bhuwania: Lastly , just one bookkeeping question . Why is there a significant decline in depreciation for this quarter ? Any one-off there? adani wilmar

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Angshu Mallick: No, there is no one -off as such . Basically , management keep doing the exercise of revisiting the useful life of the asset and what has happened is given the technological advances and the better technology coming in the play as far as the edible oil and the food business is concerned , a lot of plants which we have commissioned in last five years , we realize that they have got a better life than what we have estimated at the time of the commissioning. So, we have revisited the useful life of such assets which we had put in last couple of years , and that has actually resulted into a depreciation gain . Otherwise , there is no one-off as such.

Karan Bhuwania: Also, if you could speak about your Bangladesh joint venture , how is the economic environment and you expect some recovery going forward on that ?

Angshu Mallick: See, Bangladesh , of course , was one of the reason why our profitability got dragged in FY'24. We had two issues in Bangladesh. One was the acute crunch of foreign exchange availability in the country. In spite of spending money, we were not able to get the money and given the fact that our business clearly depends on the dollarized borrowing because everything is imported in the country. So, we had to face a lot of issues on this and we had to spend a lot of cost which have impacted the profitability.

Second was , given the crisis in the country and a post COVID impact through which country was going through, the government in Bangladesh was actually trying to control the prices and we are not allowing the operators or business players to increase the prices in line with the international oil prices.

So, we got stuck on both the sides. One, prices, international prices were high , but we were not being able to increase our price in Bangladesh. Second, we also got a beating on the Fx that in spite of this, we had to spend a lot of money on getting Fx.

So, both this problem as we stand today, as we speak today are more or less got resolved.

Bangladesh went into elections in January with a now fresh government coming in place. Most of the macros have been improving in Bangladesh. Availability of Fx is now there.

Prices have cooled down. Government has also allowed us some free hand on the pricing and the business is now giving a good numbers in Bangladesh at least which we saw in the month of March as well as month of April. So, FY'25, we do not see any drag on the profitability due

to
the Bangladesh operations.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Shrikant Kanhere: I would like to extend our sincere thanks to everyone who had joined the meeting, taking out their time to listen our story, listen our numbers . Do keep tracking our Company . In case of any adani wilmar

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issues, do keep in touch with our IR team and we would be happy to respond to your questions.
Thank you very much.

Angshu Mallick: Thank you from our side and thank you for attending.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines. adani wilmar

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Call: Aug 2024

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August 6 , 2024

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Exchange Plaza,
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Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call of Q 1 of F.Y. 2 5 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated July 30 , 2024 regarding audio recording of Q 1 F.Y.2 5 Earnings call held on July 30 , 2024 . Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You
Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary
Memb. No. – ACS 20217
Encl.: As above

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"Adani Wilmar Limited Q1 FY -25 Earnings
Conference Call"

July 30, 2024

MANAGEMENT : MR. ANGSHU MALLICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , ADANI WILMAR LIMITED .

MR. SHRIKANT KANHERE – CHIEF FINANCIAL
OFFICER , ADANI WILMAR LIMITED .

MR. SAUMIN SHETH – CHIEF OPERATING OFFICER ,
ADANI WILMAR LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Adani Wilmar Q 1 FY25 Results Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuvania from ICICI Securities. Over to you, sir.

Karan Bhuvania: Thank you, Sharad . Good afternoon, everyone.

It's our pleasure at ICICI to host Adani Wilmar Q1 FY25 Result Conference Call. From the management, we have Mr. Angshu Mallick – Chief Executive Officer and Managing Director; Mr. Shrikant Kanhere – Chief Financial Officer ; Mr. Saumin Sheth – Chief Operating Officer.

I will hand over the call to Management for Opening Remarks , post that we can open for the Q&A. Over to the management. Thank you.

Shrikant Kanhere: Okay, thank you very much and welcome to the Q1 '25 Earnings Call of Adani Wilmar . Thank you very much for joining , taking out the time and joining this call.

As a ritual, we will run through a very crisp presentation to talk about the performance and the financial result of the Company and then we will open the floor for the question answers.

A quick snapshot on the Results Summary :

The sales volume grew by 13% year-on-year from 1.43 million in Q1 '24 to 1.62 million in Q1 '25 as far as the standalone numbers are concerned . In consolidate however, the number grew by 12% from 1.49 to 1.66. The growth in volume is also reflective in all the other parameters of the business in terms of revenue, gross profit, and EBITDA and PAT, all have shown the increase . Revenue grew by 11% on standalone basis , gross profit by 58% and EBITDA gone up from 122 core to 609 core on a standalone and 619 core on a consolidated basis. The improvement in EBITDA and the margin profile is of course, on account of last year

Q1 '24 got

impacted because of the hedge dis -alignment which was behind us and not now any more with us. So, that's the basic reason why the margin metrics actually has improved as compared to the last year.

This slide gives you a little bit idea on how the gross margins on normalized basis is moving .

This is what we have been saying for the last couple of calls that , since December '23 that is Q3 '24 Quarter we are back to our normal run rate of gross profit as well as EBITDA. Gross profit of 1756 crore for June '24 and the normalized EBITDA of 609 crore. This is after taking into adani wilmar

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account all the normalization impact which are required , which basically include a derivative impact.

Quick update on the Company Business Update:

The volume as I said, grew by 12% , revenue at 14 169 crore , we could register a highest ever EBITDA of 619 crore for this quarter. The demand environment for the branded and food is steady and is improving. Company is now staying focused on gaining market share particularly the food and oil both, so where we have been able to gain the market share .

On ESG front , the Company has been included in FTSE 4 Good Index Series and of course, all the ESG efforts on the ESG performance continues for the Company.

Particularly on edible oils , we recorded a 12% improvement in year-on-year in terms of volume.

The revenue now stood at 10,649 crore in Q1, up 8% from last year. We have seen a strong

growth in sunflower and mustard oil both, both oils have been able to showcase a very good growth in year-on-year terms. As far as the mustard is concerned, we are also trying our product range in the premium category, we have launched one product called "Pehli Dhaar" which is cold press, which is a first press mustard oil. And we are continuing our efforts to launch more - and-more premium oils in and around food as well as edible oil. We have been able to achieve the highest ever profits in edible oil in Q1 '25, the segment profit for Q1 '25 now stood at, this time stood at 398 crore. This is also on the back of stability in the edible oil prices that we have seen in this last gone by quarter which is Q1. The moment in edible oil prices we're range bound between \$100, \$150 not more than that. This has also helped us particularly for the companies who have got a brand in front.

The Food and FMCG highlights:

Revenue grew by 40% this includes the government-to-government business also which we did in Q1 and revenue now stood at (+1500) of crore. So, by this run rate, the food business ideally should close the year FY 25 by close to 6000 crore which was 5000 crore last year. The branded food is scaling up consistently for last now, more than 11 quarters, the food is growing at 30% year-on-year. Wheat flour business continues its growth trajectory by gaining market share and by growing on a year-on-year basis. The rice business stays steady, we are leveraging our edible oil network to see that our food product is growing at +30% kind of year-on-year growth.

So, this is a trajectory which we are trying to showcase particularly in edible oil. If you can look at Q1 '22, we were close to 660,000 tonnes of oil to now 1 million tonne of oil in Q1 '25, which puts up a CAGR of 15% on edible oil. The standalone EBITDA has grown up from 118 crore now to 604 crore, which is quite significant. Market share we are consistently improving in spite of being a strong number one, we are steadily consolidating our market share from 18.4% in June 23 to now close to 19% in June '24. Adani

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The capacities utilizations are at a reasonably good level, 63% suggesting that we have enough capacities in place as we speak today to accommodate any kind of growth that we

may get in

coming quarters. The growth trajectory of the food and FMCG business also is very impressive, just like edible oil from Q1 '22 when we were at close to 120,000 tonnes for a quarter to now plus of 300,000 tonnes is growing at a 38% CAGR. Revenue is growing at 44% CAGR from 520 crore in Q1 '22 to now close to 1500 crore in Q1 '25. So, the quarterly trend looks very good, the market share is also consistently improving in wheat flour from 5% in June 23 to now 5.9% in June '24 steadily growing close to 100 basis point of growth. Basmati rice consumer pack market share is more or less flattish. But we have been able to maintain our number three position in this particular segment.

If we look at a segment wise profitability for the Q1, the standalone EBITDA is now 669 crore of which 604 crores came from edible oil. Food and FMCG 31 crore, where we are still spending whatever we are making at a gross margin level we are spending on distribution and various other schemes to continue the growth rate that we are getting in the food. Industry essential at 48 crore and un-allocable of 14 crore, so that's how the segment results tax up, which is quite healthy as compared to the same period last year.

A quick update on our general trade distribution:

Now, our reach to the trade including the direct as well as indirect is close to 2.1 million outlets. Of that 2.1 million outlets 740,000 outlets we are reaching directly so that is 18% year-on-year growth. Rural town coverage is consistently growing, we are now covering close to 30,000 towns in rural towns. Our target, of course, remains same that we want to cover close to 50,000 towns by March 25. The alternate channels besides the general trade are also growing very fast for us, the alternate channels clocked a revenue of close to 759 crore in Q1 '25 that is 15% year-on-year growth. E-commerce and quick-commerce continues to grow faster than the general trade. The HoReCa, which is the channel which we are developing for last two years is also showing a very encouraging results for us. The HoReCa revenue crossed +150 crore in Q1 '25 and (+500) crore in last 12 months basis. We have added seven new towns now, during the quarter taking the total coverage of the HoReCa channel now to close to 48 towns. We also further plan to expand this coverage of HoReCa channel to +100 large towns in near future. Branded export which is also a focus area of Company for last couple of years now, we are exporting to over 30 countries now. The food business contributed 44% of branded export and therefore so it's growing at a rate of 36% year-on-year.

These are the couple of BTL consumer engagement Company did, I will not spend much time on them. But the message of the slides is that, we are consistently spending on distribution BTL and advertisement to take the brand to every category of the customer. These are some of the

branding which we did for the metro rail and so that the reach to the consumer is more effective. adani wilmar
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So, in short the final key takeaways for Q1 '25 if I have to summarize them all is that there is a volume growth of 12% year-on-year, the edible oil volumes have crossed 1 million tonnes now for the quarter, the food FMCG revenue stood at 1500 crore, then particularly in edible oil it grew by 12% with very significant growth that we have seen in sunflower and mustard particularly. Food and FMCG volumes grew by 42% and the revenue also grew plus of 30%. Distribution reach has now gone up 18% year-on-year to reach 740,000 direct outlets, rural towns coverage at 30,000 and alternate channel which is also a focus area is growing very fast. ESG efforts of Company continues, and this is a result of that, that we have been included in FTSE 4 Good Index Series recently.
This is it from my side as far as t

he presentation is concerned. I just briefly talked about the numbers. I hope the audience who have joined the call have consumed the numbers and performance which we have declared yesterday. And now therefore, I would ask the moderator to open the floor for question -and-answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avnish Roy from Nuvama. Please go ahead.

Avnish Roy: My first question is on the EBITDA margin. I wanted to understand, is there any one off here (+4%) EBITDA margin and FY 24, I understand was very tough because of sharp inflation followed by sharp deflation and then a lot of inventory impact losses were there. So, are there any learning, have you changed your hedging policy in any way, your inventory overall any change there, which has led to some incremental profits here so, if we assume this kind of a pricing in terms of the edible oil, would you expect (+4%) margins to sustain if nothing changes, I understand that this is a real world and the geopolitical issue can always keep changing, but anyone off here and any comments if you can give.

Shrikant Kanhere: So, Avnish just to answer your question straight there is no one off in the numbers which have been declared, so it's a normal business profit number one. Number two of course, last year as rightly put in by you the last year numbers got impacted because of hedge dis-alignment which we experienced, not only we but the entire industry experienced that. Number three, of course, when the prices are stable and the demand is good usually the brand business does well and that's what happened to us and therefore the numbers are quite encouraging for us in this quarter and therefore, as we go forward. We are hopeful that no such geopolitical issues will come up and the supply chain of the commodity and price levels more or less will remain in range, we should be able to continue this run rate in the coming quarter as well.

Avnish Roy: Sure. My second question is on some of the competitive intensity from new players. So, if I see Amul they are advertising a lot on the print media and out-of-home also in Mumbai at least in terms of their organic products. So, two questions here, would you also have a thought process on India specific organic products because a lot of organic products are available which are of adani wilmar

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suspect quality also, of course Amul would address that part. And second is, Amul's pricing of course will be premium given its organic, but what will be the impact on your business if you could tell us that from a longer term perspective?

Shrikant Kanhere: Okay, Avnish. The first one is on the print ad and the spends BTL and all that, every Company has a budget with which it has to manage its ATL and BTL. We are also reasonably okay in print and we also have almost annual plans with The Times of India and others. So, print while whatever the commodity business or the staples business can afford we are there, and we are the largest spenders of edible oil for sure. So, there we have both social media, television and all that. Second, it comes to organic products. See organic, one is the scale most important is that Company like us, would always like a supply chain which can provide us with the quantity that we need when we grow the business and unless we have a backward integration we won't be able to succeed. Now, honestly to get into this organic, first it required three, four years of work without using that organic product as organic because it needs three crop season to get into the purity form. Without that we couldn't get a certificate that is one, two we need farmers and then we have to have complete back end with the contract farming and all that which is a very big

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operation. Amul have the strength, they have farmers organization and hence they have that source or the supply side secured, and that is their strength. So, since that is the strength they are playing with their strength, I don't think companies like us can do anything big in organic unless we get into big time contract farming and then have patience for three years minimum growing crop and managing that. So, as of now, the other side of the business is very big for us, we are already in the staples which can grow fast and you are seeing we are growing at 30 %, 40% per annum year-on-year. So, we have great scope to do that. So, basic staples we are more interested because there the scope is anytime high, organic and all these are very small, niche market of the entire biggest pie.

Avnish Roy: Sure. My next question will be on the opening remarks on premiumization. So, here if you could tell us specific in premium edible oil there is one large player and then another player got sold off by the US parent to a private equity. So, if you could tell us how is your participation, are you happy with the performance of the last two, three years in that part of demand, I understand it's very small versus your scale, but ultimately if that is the premiumization that is where the market growth will be faster. So, can you discuss that part, how big is it?

Shrikant Kanhere: See presently only one Company has a substantial share in the blended oil premium category rest all the brands are very small or niche and not available throughout the country. Now we have functional oil put under the category expert. So, the expert range we have brought which handles only the expert, as an expert it handles white like functional oil we have, the sugar conscious, immunity booster and the third one is the total balance. Apart from that we have just started one cold press "Pehli Dhaar", first press what we call it not the cold press because all Kachi Ghani can be cold pressed but the first press is only the softer part of the mustard seed is crushed first and the oil is taken out and then it is bottled this oil has high aroma, high pungency adani wilmar

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and is much better in taste, it's like the extra virgin olive oil, but it is even better than that. So, that we have just introduced a month or two months back and initial responses are good. This will be a value added premium product apart from that the expert range and in the expert rate, we will add expert low GI white rice, low GI Basmati rice and low GI Atta and all this will be under the expert range which will deal with people who have sugar problem or any other. But let me tell you more than consume rice premium, we are working on the B2B business and trying to make that premiumization, one is that in maida, we have promised where we can make now flour especially for the bun for the cream rolls, for Croissant for Pizza, we are now doing for Noodles specially. Now these are special flours which is used for special application, and they fetch a premium because of the consistency in quality. So, we are looking at both consumer in-home as well as out of home, B2B consumers.

Avnish Roy: Understood. Just one follow up I had on the edible oil. So, in palm oil, we are seeing one disruption that the market leader in soap, they have cut their palm oil by 25% in two of their brands. How does this impact your business from the raw material side and possibly in some of the byproducts you sell to the soap players, how does this impact from longer term, I understand these are very early days but given its market leader and the confidence they have shown on this, can this impact both supply side and your demand side, raw material side and your consumer side?

Shrikant Kanhere: I don't think we are in that arena of supply chain. Whatever CPO

we import we make our palm oil and then the PFAD that we have goes for our oleochemicals business. Yes, we do sell soap noodles to most of the big toilet soap manufacturers because we are one of the largest soap noodle manufacturers in the country. We do supply glycerin and stearic acid also to as an oleochemical products, but I don't think that will impact the palm oil business anybody here and overall, the share of palm oil in the soap is not so significant, honestly. So, that is not going to impact anybody for that matter, either the Malaysia, Indonesia players or even in India anybody.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: I just had two, three questions. One is on the food and FMCG side. So, while I understand that the government orders would be coming at a lower margin, but I just wanted to get a sense of, why we have seen year-on-year reduction in the profits on this side especially because the scale has been good even in the non-government order business has grown at 19%, 20%. So, if you could just give us a sense of, particularly in this quarter because what's really happened that will be helpful.

Shrikant Kanhere: Harit sorry, your voice was actually breaking so can you just spell out your question again?

Harit Kapoor: So, what I was trying to ask was is, the profit margins in the food and FMCG business had been tagged lower this time, I understand one reason is that there is a government order business, but adani wilmar

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even on an absolute basis the profit numbers have been a bit lower. So, what would be the attributing that to is it a commodity impact, is it higher investments in promotion and distribution if you could just help me understand?

Shrikant Kanhere: Okay. So, got your question very clearly now. So, Harit the profitability and this is what we have been saying for quite couple of quarters that we are investing now, more and more in distribution and advertisement and other infra. So, to ensure that the kind of growth with food and FMCG has been showing continues and we get to a very reasonably good level of food and FMCG basket which currently this year we should close at 1.2 5 million ton nes of basket. And that 's the reason why the food and FMCG margins are like this, plus and minus it is not a significant movement in margin, but by design is that we are ba sically investing whatever we are earning at a gross margin level, into the infrastructure for distribution as well as on other heads.

Harit Kapoor: Got it. The second part again on food and FMCG was, if you could just give us a sense of what the nature of this kind of government order is and if it is likely to persist going forward as well, in a similar any kind of content?

Shrikant Kanhere: See, you are aware that government has banned exports of white rice and broken rice. What government has done is that, if they receive any orders from friendly government countries, they approve export, but that we can't do directly, we have to route it through the cooperative companies in India, which are KRIBHCO or you can say NCER or even NAFED to some extent. So, these are the companies through whom we have to bill, and they will bill the counterpart in that country and that is how it will be exported. So, government -to-government means from here any of the cooperative firms nominated by central government can be the exporter. We can't be the direct exporter; our job is to procure the rice from the market and process and pack and send it to the port at FOB level. And after that, we have to sell it to NAFED or anybody and NAFED will be the exporter. So, this is the G 2G business, small margin, but good volume and it helps you in overall rice business because if you are a normal exporter also, then it helps you.

So, that

is why we are doing it, and I can't say it will last for long because these are all government orders. Tomorrow if the white rice is open the way it was earlier, then then G 2G business may not happen. Or it may continue, if the duty is s till imposed and the government -to-government business doesn't have a duty then possibly this business will continue. So, going forward, can't say much about it as of now if there is a business we are not losing that opportunity, because it helps us in utilizing our same manpower, logistics support, port operations, everything remaining same, so it gives us margin.

Harit Kapoor: Got it, makes sense. The other part is food and FMCG. So, again, if you look at the trend of shares in wheat flour versus Basmati rice, over the last three quarters we have seen wheat flour shares actually what fairly significantly almost 50 bps over a three -quarter period, rice has been fairly stable. I just wanted to understand the competitive dynamic between these two segments and what 's kind of allowing you to win faster in wheat flour versus rice cur rently, well obviously adani wilmar

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on the Y -o-Y basis you are doing extremely well, just wanted to understand last three quarters what are the different dynamics playing out here between the two?

Shrikant Kanhere: Very good observation. On wheat flour let me tell you, there is one big competitor having 40%, 45% market share and then we are the second largest at 5.9 and then below us there may be 10 brands 2%, 3% that means, this entire market is very fragmented with only one player. So, to garner share from these small, small players is relatively easier, relatively easier one. Two our distribution in South and strategy in South marketing strategy, all this has clicked well. And that is why our South market share has gone up to 7.5%, 8%. But if you see Chennai, we are almost 18%, 19% in Chennai city, that is because we did some marketing activities which kicked and the demand went up very, very fast. So, that is the reason why you see we have done so well. Now let's go to Basmati rice. Basmati rice historically has two players who are there in the market for more than 25 years. Now, they both have around 35 and 30, 60%, 65% market share and they are quite a strong player and they manage that. Rest of the brands, there isn't any we are at 8% or something, rest below us there may be small, small players or very, very fragmented player or private label also possible. Now, here the large two brands are strong in their work and 60%, 65% they are holding very, very clearly. Here the gap to garner from 10 to 15 will be relatively little tough, but yes, we have done some reworking like last year we pushed Kohinoor and the Kohinoor market share has gone up but, more of distribution we have to do and we are

working on it. Our Gohana plant will be ready by November that will be the first IPO project plant where we are putting almost 600 tonnes per day paddy to rice line and 500 tonnes per day rice to rice line, it will be one of the largest food park in the country having integrated operations of mustard oil, rice bran oil, cottonseed oil, then I have Maida there, wheat flour, rice, everything. So, this plant will be big. So, we are waiting for that, once that happens, the quality of the product, the performance, yield, everything will be much better, and we will have big supply chain support. Once you have a big supply chain support in commodity business, brand and that part will help us in pushing. I am confident that this market share will increase to 10%, 12% in another three to four quarters.

Harit Kapoor: Thank you so much for this. I had just one last thing on the distribution side. You obviously mentioned about the rural town coverage, I just wanted to understand, what are the simi

lar March

25 targets for direct reach. And the second question on that was, how much of our current direct reach is also been used for food and FMCG already, obviously it is 7.4 lakh outlets edible oil will be reaching across that but, how much would food and FMCG also have reached by now in that 7.4 lakh?

Shrikant Kanhere: See, today exit June our direct reach means a salesman going and booking order from an outlet and we capturing that data was at 7.4 lakh, out of which almost 3.5 lakh was rural, and rest 4 lakhs was urban. Now, we are doing now roughly 30,000, Q1 the rural coverage we couldn't expand much because of the election and heat wave, but our exit target March '25 is 50,000 targets. And we are hopeful of reaching very near to those figures because the Q1 we lost Adani Wilmar

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honestly, so we have three quarters to go and we have to reach 50,000 that is one. So, we are working on that, second is this 50,000 would almost represent 70% of the potential rural town business. So, we will have much bigger strength of rural distribution. Third you said that how many outlets are there see, when I say oil outlet need not be that they buy all the oil. If you go to South they may not buy soya bean or mustard, but they are buying sunflower, now in Easter it is mustard. So, oil wise if you see, mustard has the highest penetration amongst any oil in the country for both us as well as for Nielsen also says that mustard has the highest penetration. So, we have almost direct reach of roughly 3 lakh outlets out of 7.5 in mustard, sunflower, soybean has around 2.5 lakh outlet, Atta is around 225,000 outlet like this, there will be different number of outlets, but on the whole one or the other product is covered and is purchased by 7.4 lakh retail outlets.

Harit Kapoor: And the 7.4 lakh is there a target?

Shrikant Kanhere: Unique food can be as high as 3 lakh outlets, but not that everybody is keeping all the product some people may not keep Besan, some towns in Maharashtra, UP I have seen they keep Besan, nuggets may not keep rice like this you will get. So 3, 3.5 lakh retail outlets keep food, total 7.5 lakh outlets we are covering and every outlet will buy some of the products which sells in their area.

Moderator: Thank you. The next question is from the line of Ayan Kartik from Outlook Business. Please go ahead.

Ayan Kartik: Just wanted you to throw some light on the kind of competition you have seen from regional and local players because the last one we have seen a lot of brand reporting competition from local players. So, just wanted to understand what has been the effect on Adani Wilmar in Q1 and what kind of trends we are seeing per se? Thank you.

Shrikant Kanhere: See, on oil I will tell you. When the oil prices were high, say last to last year, local players were really doing well, because the inflation and the prices were much higher. So, brands like us would have cost them Rs.25 per liter more. Today, when the edible oil prices are stable, brands like us have much more strength, because in terms of pricing power, in terms of purchase power, supply chain distribution, our sales of Fortune have increased. Number one, so competition for us is less in refined oils, more will be in mustard oil, because that is a domestic oil, and it is processed in many parts of the country. But we still are the clear leader by around 15% we have a margin and the next band is around 6%. But it's a very fragmented market mustard oil. When it comes to food, this business is dominated by regional players, national players in Atta, there is only one technically, in Dal there isn't any national brand based on also there isn't any great national brand three, four good regional brands are there. So, in food we have to fight with the regional brand. And our fight with th

e regional brand is always on quality, consistency, price

value for money, distribution, reach and brand and second, our distribution in e-commerce and Adani Wilmar

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modern trade. So, there we continue to fight with the local players and get the share and we will have to fight with the local players because there isn't any national player.

Moderator: Thank you. The next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: So, I just want clarity as of Financial Year '24. I am talking about rice, we did somewhere around 50,000 metric tonnes right?

Shrikant Kanhere: No, 50,000 metric tonne you are saying for what, overall rice?

Rohan Patel: Yes, overall.

Shrikant Kanhere: No, 50,000 in FY 24 we did much more than 50,000 tonnes.

Rohan Patel: Would you share the quantum?

Shrikant Kanhere: This quantum as such is not available in the public domain as such, but we can give you an idea of what volume of rice we did in FY 24.

Shrikant Kanhere: FY24, little higher than 200,000 tonne.

Rohan Patel: Okay. And out of that, how much would be the branded part and non-branded part?

Shrikant Kanhere: The branded part would be around 40%, 50% and private label exports are there which are their brands which we export so, that is also there. So, altogether brand, brand for us more than 50%, 30%, 40% would be around private label depending on which country like Saudi and other places private label goes and rest is local B2B.

Rohan Patel: Okay. So, roughly in the range of 50%, I can consider is branded?

Shrikant Kanhere: More than 50% will be branded.

Rohan Patel: Okay. At the export percentage like out of the 200 plus 1000 we have done what would be the export as a percent?

Shrikant Kanhere: 25% export, 75% domestic.

Rohan Patel: And if you can help me out, do you do aged rice?

Shrikant Kanhere: We do aged rice but small quantity.

Rohan Patel: Top four, five export destination? adani wilmar

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Shrikant Kanhere: Export destination would be Australia, Saudi, UAE.

Rohan Patel: Okay. And are you looking into growing your own brand or you want to also grow the private label also because in Saudi one of our competitor isn't present which used to be present over there. So, are you leveraging on that opportunity also, to increase your quantum?

Shrikant Kanhere: The competitor of the one you are referring to they have done some work and they have got some investments from Saudi and possibly having a tie up for distribution but for us, we are doing 3P but we are also working through our Wilmar and JV partners, those who are interested like in US, Australia, other places. So, we prefer to export in our brand Fortune.

Rohan Patel: Okay, I get that. And can you share some rough idea about what EBITDA margins our rice division would be making?

Shrikant Kanhere: That will be see right now, what we have been saying for last couple of quarters most of our food is basically EBITDA neutral and that is basically by design because we are spending more on distribution and other infrastructure.

Rohan Patel: Okay, just for understanding if I can ask one last question. So, what are you targeting for FY 25, with the volumes in line?

Shrikant Kanhere: We will be targeting much more volume, we are just waiting for our Gohana plant to get ready and commission, that commissioning once it happens we will have in-house supply chain. So, I can tell you one thing that we are looking at 30%, 40% growth year-on-year for the next three years.

Moderator: Thank you. The next question is from the line of Karan Bhuvania from ICICI Securities. Please go ahead sir.

Karan Bhuvania: First two questions. Firstly, you had highlighted that sunflower oil has

done good in this quarter

and I do remember that sunflower oil if I look at market leadership, you marketed other oils but in sunflower you are third player. So, can you highlight the initiatives you have taken for driving this growth and what is the market share gained in this particular segment?

Shrikant Kanhere: One is that sunflower oil is surely part of our focus area, it is an oil which always gives consistent good margin. Now, as far as oil is concerned, we have enhanced our processing capacity and we are possibly one of the second largest importers in the country of sunflower oil. And we have

almost the largest processing capacities across the country. Now, as far as sunflower oil is concerned, South and West account s for 85% of the market. And in this markets South we were weak. So, we made some strategies, and we did some work on it. And slowly and steadily year-on-year we have seen the results come in, and our South market share has gone u p. Accordingly, our sunflower oil market share, if I am not wrong has gone up from around 10.1% to 11.3%. So, adani wilmar

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we have gone up by 1.2% and I don' t think there is any other brand in the country who has shown any growth in Q1. So, we are the only people who have grown that is because we did some work on it . We are hopefully number two now if I am not wrong, because I have not seen the last figure. But , we were number three earlier behind gold winner, but now I think we are number two.

Karan Bhuwania: Got it sir, very helpful. I just wanted to understand you have been historically slightly weaker in the Southern market right and now you are gaining market share in the wheat category in the South market. So, just wanted to understand how are the synergies working in terms of distribution between the edible oil and food segments for the Southern market?

Shrikant Kanhere: See, I have always said earlier also when people used to ask me as an analyst, he did ask me that how are you going to win South and I had always said that what is our strength is that we have a basket of product we are not only in oil, we have oil, rice , flour , there are three big things , now we will play with all the three things together and we will win because we have an offering to the retailer and that exactly we did that , we went to the sunflower oil retailer gave them a Atta at an offer which they could n't reject and they took and slowly the market started accepting the Atta and now Atta sales say in Chennai city is almost equal to sunflower oil sales. So, that is how we have started doing well and going forward to win South we will have to win by our strength, and which is our portfolio.

Karan Bhuwania: Got it sir that is very helpful . Lastly on sir, rural versus urban most of the FMCG companies have been highlighting that they are seeing green shoot in the rural markets and rural have outperformed for last couple of quarters. If you could highlight something , how do you see the demand for your products in rural versus urban?

Shrikant Kanhere: Rural has been under pressure , all the FMCG players have been mentioning this . Our staples business obviously the first choice for any consumer has to be staples and then any other products. So, we did not get impacted, but we did not grow also. So, our share 29 %, and 30 % remain at that level. So, rural contributed only 30% which we felt should have been more. No, going forward we see some positive lights, mainly because one , the monsoon is likely to be good and we are all seeing that happ en, two is that the government 's initiative in investing more in the rural area for schemes and all that . And if this brings more employment, more rural productivity and all that , I am sure rural consumption will grow as staples business consumers prefer first to buy their sugar, wheat or atta, rice

, and then any other products. So , I am sure that

we will see a good growth . Going forward , October onwards the rural market should do better.

Moderator: Thank you. The next question is from the line of Deepak Mandhana from Avighna Investments .

Please go ahead. adani

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Deepak Mandhana : I just have one query basically , can you just give me an overview of how your industry essential business is doing because none of your PPT presentation covers that. So, what is the , because I can see that the value mix as well as the volume mix is growing there. So, can you just give me a fair idea about industrial essential business?

Shrikant Kanhere: See in industrial essential we have three main products, first is oleochemicals , second is castor oil and derivatives and third is our meals which we use for cattle feed or animal feed, which is mainly soya de oil cake, mustard DOC and rice bran DOC. Now, you take oleochemical business, oleochemical business has been doing very well for us and we have the largest oleochemical complex in the country, we are 25% producers of glycerin in the country and almost 32% stearic acid . We make almost 10% soap noodle in the cou ntry after you take away the in -house consumption of Levers and Godrej . If you take that out, which is 6 lakh tonnes , out of 4 lakh tonnes we make almost a lakh tonne soap noodle. So, we are reasonably strong in oleochemical player, we have recently acquired one Company , world Chem, where we are , Omkar is the Company 's name where they have downstream Speciality Chemical products, and

we have good business understanding about it. So, we thought we need some partner to grow this business, this is a profitable business and we are working on it to grow this business. So, that is Speciality Chemical. Second comes castor we are the world's largest exporters of castor and process oils. So, that business has been doing well, we are getting into derivatives because that is value addition. So, next new CAPEX on derivatives is going on. So, castor we will grow this business and make it much more profitable. And the third one is your DOC, what has happened is the summer, the DOC business was less and that is why you will see that the volume growth is not there, it is only because of the rapeseed mill, we couldn't export what we had targeted, but the next this quarter possibly that will be covered because it goes on roll over for the next month or so. So, we should

Deepak Mandhana : Just as a follow up, I wanted to ask that are we also looking in terms of export for the specialty chemical business or it is just for the domestic production only?

Shrikant Kanhere: See, presently we do export our stearic acid glycerin, even soap noodles abroad we do export. Going forward Speciality Chemical will be, it is application based suppose any product which is required and we have a country where we can sell, we will surely explore, Wilmar is also big in oleochemical business. So, they also have clients outside their area of operation like China and Malaysia, Indonesia. So, they also have in Europe. So, we can also export there. So, export will be our area of operation as we go around.

Shrikant Kanhere: Sorry, Deepak, I am just coming in between just to give you a better idea because you had asked that whether this business is growing yes or no. Out of the three components which Mr. Mallick mentioned castor, oleo and the oil mill. Castor and oleo both were growing in double digit so castor grew by close to 10% and oleochemical grew by 13% year-on-year in this quarter. But there was a de-growth of oil mill business of 22% and that's where the entire category de-grew adani wilmar

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by 7%. Having said that, the oil mill business is of course,

depending upon the parity and the

market conditions, so that's not something which is a very sustainable business, but castor and oleo are the main segments of this industry essential segment which are growing in double digit.

Deepak Mandhana : So, I believe we are EBITDA positive or both the segments?

Shrikant Kanhere: Yes, very much.

Shrikant Kanhere: Thank you. So, the next question we will take from an email which we have received from Mr. Mitesh Kumar. And he has a specific set of questions particularly on the Bangladesh operations his first question was that, why the Bangladesh unit is under the loss since many quarters though India business has recovered back. So, see Bangladesh has got different problem first of all, we actually faced problem on the currency front last full year. Besides that, Bangladesh also faced macro headwinds the way other economies are also facing in terms of inflation and interest rates, the government was trying to put in price control in the country and therefore, price control coupled with the currency problem had some issues with we had last year and therefore, we suffered losses in Bangladesh last year. However, after the elections in Bangladesh recently, the new government is in place and the things are now improving so, for this quarter we had a loss of close to Rs. 10 crore, which is far, far less than what we had in the same quarter last year. So, that has been now taken care of, things are improving from here, currency situation has already been improved there. So, the availability of dollars in the country is no more an issue. We still have some issue around the parity which is getting resolved. So, as we go forward in the quarter two and quarter three, you will see the improvement in the Bangladesh operations. The second question was, when likely Bangladesh unit will recover from profit? I answered in the first question itself.

And the third question is not related to Bangladesh, but it is on the OFS which is, that is there any plan for an OFS for AWL. So, we have mandatorily had to see that the minimum public shareholding is achieved by Feb 25 given the fact that we got listed in Feb 22. So, we otherwise have to do that, now OFS is one part of it. So, I can't comment whether it is going to be OFS or any other methods because there are specific method listed by the SEBI which can be used by the promoters to achieve the MPS. But I can only confirm on this call that yes the efforts are on to achieve that MPS of 25% for which the 13% dilution by the promoter would be on the cards from today till Feb 25. But whether it will be OFS, I can't right now comment on that.

The other last question was, future guidance of AWL revenue and profit growth given the oilseed prices in international market and hedging, other hedging option. The prices, this is what we have been saying the prices have been stabilized we saw Q1 numbers quite healthy, given the fact that there was not much volatility in the prices, so we are hopeful that this scenario will continue along with the stability in prices and demand will also continue. Even the fact that in adani wilmar

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H2, there will be a lot of festivities in India and demand will be more than what we have experienced in the quarter one. So, this performance we can expect but having said that business is always a business you can't foresee some of the hidden risks, but that will always be there.

So, we are hopeful, we should continue with the current performance as we go forward. So, that is we had on the email, I will hand it over again to moderator if there are any other participant in the queue to ask any question they can open.

Moderator: Sir, there are no further questions. I would like to hand the conference over to the management for closing comments.

Shrikant Kanhere: Ye

s, on behalf of Adani Wilmar we are thankful for attending this call and we encourage all the participants to participate in our call and hear our story and performance. Thank you very much.

Shrikant Kanhere: Thank you all and we hope we have a good festive season starting this month, followed by big wedding season coming from November and we hope the monsoon is going to be good overall, overall, the atmosphere remains positive and consumption looks to be solid. And I think all the FMCG companies including ours should do well in the next three, four quarters. Thank you all.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. adani
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Call: Nov 2024

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October 29, 2024

BSE Limited
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Dalal Street,
Mumbai – 400 001
Scrip Code: 543458 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call of Q 2 of F.Y. 2 5 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated October 25, 2024 regarding audio recording of Q 2 F.Y.2 5 Earnings call held on October 25, 2024 . Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You
Yours Faithfully,
For, Adani Wilmar Limited

Darshil Lakhia
Company Secretary
Memb. No. – ACS 20217
Encl.: As above
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"Adani Wilmar Limited Q2 Earnings Conference Call"

October 25, 2024

MANAGEMENT : MR. ANGSHU MALLICK -- CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR -- ADANI WILMAR
LIMITED
MR. SHRIKANT KANHERE -- CHIEF FINANCIAL
OFFICER , ADANI WILMAR LIMITED
MR. SAUMIN SHETH -- CHIEF OPERATING
OFFICER , ADANI WILMAR LIMITED
MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES

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Moderator : Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Adani Wilmar Limited, hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhunia from ICICI Securities. Thank you, and over to you, sir.

Karan Bhunia : Thank you, Michelle. Good morning, everyone. It's our pleasure at ISEC to host Q2 FY '25 results conference call of Adani Wilmar.

From the management, we have Mr. Anshu Mallick – Chief Executive Officer and Managing Director; Mr. Shrikant Kanhere – Chief Financial Officer; and Mr. Saumin Sheth – Chief Operating Officer.

I will hand over the call to Shrikant sir for his “Opening Remarks ”, post which we can open for Q&A. Thank you. Over to you, sir.

Shrikant Kanhere : Thank you, and a very warm welcome to all the participants joining this call. Our sincere apology for starting this call a little late. The technology always keep testing all of us, and this is also one of the technology blips that we faced. So, again, sincere apology for starting it late.

So, we will start with the presentation, which normally we do, just to give you an update on the performance of the Company for the Quarter 2 . This straightaway goes to the results summary. I think Quarter 2 was one of our best quarters in terms of all the parameters of the business.

Volume grew by 13%, revenue grew by 19%. We had been able to post a very handsome EBITDA of Rs. 621 crore s for the quarter and a PAT of Rs. 326 crore s on a standalone basis. When we look at the numbers on a consolidated basis, more or less similar picture, volume grew by 12% and revenue grew by 18%. The only

difference between consolidated and standalone is the Bangladesh operations, which continue to be in stress, and a loss from Bangladesh operation is reflective in our consolidated number, the EBITDA at Rs. 613 crores and PAT at Rs. 311 crores .

When we look at the performance trends on a gross margins and EBITDA normalized, and particularly, if you look at last 4 quarters, we are very much in the range of our run rate, which we used to clock earlier. The gross margin is closely in the range of Rs . 1,700 crores quarter - after-quarter and EBITDA in the range of Rs. (+550) crores . The last 2 quarters were excellent adani wilmar

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in terms of the EBITDA. In both the quarters, we have been able to post the EBITDA of Rs. 600 crores plus.

On a segment basis :

Edible Oil grew by 21% in terms of revenue, Food and FMCG grew by 34%. And when we look at on the half yearly basis, Edible Oil revenue grew by 15% and Food and FMCG grew by 37%. Industry Essential, there is a degrowth of 9% and 5%, respectively in quarter and H1, primarily driven by the lower oilseed business or rather, I would say, de-oiled cake business in soya bean

and mustard, where management took a call not to get into the business, particularly because there was no parity in the business. And that's the reason why this degrowth in Industry Essentials. Otherwise, all the other parameters of this business segment are normal.

In terms of the segment results :

Again , for the quarter, Edible Oil delivered a segment result of Rs. 373 crores as against Rs. 398 crore s, up sequentially, first quarter, which is Q1 '25 and against a loss of Rs. 195 crores in Q2 '24. So, it's a complete turnaround as far as the Edible Oil is concerned.

Food and FMCG, as we always keep saying that it still continued to be close to EBITDA neutral kind of business, given the fact that our entire focus is on growing the market share and growing the volume. Industry Essential at Rs. 56 crores versus Rs. 56 crores of last year, more or less flattish, giving a total PBT of Rs. 402 crores for Quarter 2 and Rs. 418 crores for Quarter 1. Put together for H1, the PBT of Rs. 820 crores , which is ever highest for the Company .

So, if I have to talk about quick, on the Company 's level highlights :

Volume grew by 12%. We clocked a revenue of close to Rs. 14,500 crores for the Quarter 2.

We've also posted ever highest half yearly EBITDA of Rs. 1,232 crores with Q2 EBITDA of Rs.

613 crores . Alternate channel continued to be growing very fast for us. The alternate channel revenue crossed Rs. 3,000 crores , in which the e -commerce is showing a substantial growth.

Branded product sales through HoReCa channel, which is something which we are focusing more is also going very well. It grew by 40% year -on-year. And Ba ngladesh operation, as I said earlier, continues to be in stress. We lost Rs. 51 crores in H1; however, things have now started improving after the new government taking over in Bangladesh.

More particularly Edible Oil highlights :

Edible Oil recorded a volume growth of 17%, so a very impressive growth for Edible Oil 17%.

High double -digit growth is very encouraging for us, and clocked a revenue of close to Rs.

11,000 crores , which is 21% growth year -on-year. This entire growth in Edible Oil is driven by soya bean, sunflower and mustard oil, which is our flagship oil. The other oils also grew, but I adani wilmar

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think the growth in these 3 oils were significantly higher than other oils. This is the second consecutive quarter where Edible Oil has been able to deliver such kind of performance with PBT of Rs. 373 crores , and for last 4 quarters, the trailing 12 -month PBT of close to Rs. 1,300 crores in Edible Oil. We continued our focus on the regionalizat

ion in a sense we are trying to

launch products, which are more relevant and more near to the regional taste and regional preference and in that we launched a Kachi Ghani Mustard Oil for the Hilsa Festival in West Bengal, and that's one of the way we are trying to ensure that the customer stickiness continues with the Fortune.

When we talk about the Food and FMCG highlights, again, an impressive story here. And as we always said that the focus of the Company remains on the food basket, where current strategy is to grow the volume, grow the market share, reach more and more markets. This segment revenue grew by 34% in Q2, close to Rs. 1,718 crores of turnover, underlying volume growth of 33%, which is very impressive. This 33% is inclusive of a government -to-government sale, which is rice sold to government agencies for the export , which is not a very sustainable business in a sense, we are not sure whether this will be there next year, yes or no. So, therefore, if we normalize this business also, the underlying volume growth in food is 21%, which is quite handsome. So, we are continuously growing plus of 20% in food.

Wheat Flour business, it is one of the focus. Sub- business segment in the food continues to witness a very strong growth, and we are seeing encouraging results, whereby the stickiness of consumers we can track. There is very strong growth in other food pro ducts also. So, we have besan, pulses, soya nuggets, sugar, poha, soap, all have been able to post a strong double -digit growth year -on-year. And the branded sales of these only products have already crossed Rs. 1,500 crores on a last 12 -month basis. We ha ve been increasing the retail penetration for the food. So, that's the strategy also to how can we leverage the Edible Oil distribution for the food. Now at least one of our food products is now reaching over 90% of the outlets that has been selling our Edible Oil. So, to that extent, we have been able to leverage our Edible Oil distribution network, but I think job is still not full done. Our efforts will be continuously on to ensure that how we can spread the distribution for our Food and FMCG segment.

The Management is pleased to announce an ESOP scheme to reward the employees. This is a scheme which we were working for quite some time. We got an approval from the Board yesterday. It will, of course, follow all the regulatory approvals which would be required. It will go through a shareholder approval and then will go through the regulatory approval before we can formally launch this scheme. The scheme, of course, is directed towards retaining a good

human capital in the Company and which will, of course, try to ensure that we have better people retained in the organization for growth of the Company. This scheme will have 1% of the pool, 1% of issued shares. Issued and subscribed shares would be the pool for this scheme. And this will be vested in a period from 2 to 4 years from the date of the grant for encouraging long-term commitment and the performance from the employees. adani

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So, on Edible Oil continues to be a cash cow for the Company. That is what we kept saying for last couple of years. And this trend continues. The Edible Oil grew strongly, and it contributed to a standalone EBITDA of Rs. 603 crores in Quarter 2 '25 versus Rs. 604 crores of Quarter 1 '25. So, close to Rs. 1,200 crores of EBITDA have been contributed by the Edible Oil. Edible Oil volumes have been growing in high single-digit, robust profitability in last 4 years. When we talk about the Food, I think volume growth is very, very impressive for us, half-yearly topline growth of 34% in terms of volume and 41% in terms of revenue. Standalone EBITDA is close to the breakeven, and that is what the strategy is. By design, the EBITDA levels are low in the Food and FMCG segment

ent as the entire focus of the Company remains on the volume and topline growth. Capacity utilization is decently placed at 57%, giving an indication that we have enough capacities in place to accommodate the future growth that this segment will see.

Wheat Flour market share is continuously going up. As per the IMRB MAT '24, market share of Wheat Flour on MAT 12 months basis in September '24 went up to 5.25% versus 4.42%, so close to 1% gain in the market share. The similar kind of growth we have seen in Edible Oil also. I forgot to mention that in the previous slide. As per the IMRB, the Edible Oil market share has also gone up from 16.12% to 16.2%. The market share, which has been reflected on this presentation is from the IMRB, which tracks the market share basis the household penetration rather than the retail penetration, which AC Nielsen does. So, this time Company has used this source, and henceforth, we will continue to use this source as to track our growth as far as the market share is concerned.

On a general trade distribution :

We continue to grow. So, now, we are close to 7,70,000 retail outlets, which have been reached directly by the Company. And in terms of rural town coverage, we are now plus of 36,000 of towns. Of course, our target of reaching 50,000 towns by March '25 continues, and we are focusing on that, and we are very sure that we will achieve this target by March '25. Alternate channel remains a very good story for Company. It continues to grow faster than general trade. And within the alternate channel, the e-commerce is a very, very impressive story.

So, alternate channel now contributes close to Rs. 3,000 crores of revenue for the Company basis last 12 months. And overall growth for the alternate channel is 14%, in which e-commerce grew by 27% and quick commerce, which is most talked about channel today in India, and most of the FMCG companies are certainly trying to leverage more and more on this, grew by 46%. So, that's the growth. And our internal data suggests that we enjoy a very, very handsome market share on all these channels, and it's a very strong market share, which we have been able to see. And we are doing all sort of interventions to ensure that this channel for us continues to grow.

And we are using AIs, and we are using all the insights, which are available to us to see how we can leverage more and more on this particular channel. adani

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So, HoReCa channel, which is another alternate channel for us, which we started 2 years back is growing very fast. 40% plus kind of year-on-year growth and now contributing close to Rs. 500 crores of revenue basis last 12 months.

When we look at segment-wise profitability, the entire profitability was led by Edible Oil and Industry Essential, given the fact that Food by design is EBITDA neutral for us. Total standalone EBITDA, including other income of Rs. 678 crores and for the H1 EBITDA of close to Rs. 1,350 crores. And so, therefore, overall, when we look at the financial performance, quite a significantly better numbers to reflect as compared to what we were able to post last year. Last year was one-off kind of situation, which was explained very well in the market. So, against loss of Rs. 125 crores in last H1, we were able to post standalone PAT of Rs. 649 crores. Consolidated PAT on Q2 basis of Rs. 311 crores against Rs. 131 crores loss of last year.

The Company continues to do a lot of engagements on the digital platform to see that we

continue to connect with the customers focused engagement with consumer on product benefits offerings. And most of these connects are also region -specific also. It also connects v ery well with the consumers basis the various festivals, which we have, India is celebrating. So, these efforts and the targeted ATL activations continue, the multip

le campaigns with targeted

messaging. And we could see the benefit of all these campaigns in stickiness of the consumers for the Fortune brand.

So, if I have to summarize the key takeaways for Quarter 2 '25, if I have to actually put it into one line, I think the demand, the stability in the prices and the brand equity, all 3 major parameters actually work for us, not only in the Quarter 2 , but also for the Quarter 1 , which is reflective on our results, very handsome volume growth of 12%. Food and FMCG has crossed Rs. 5,800 crores of turnover on the last 12- month basis. So, therefore, we are quite sure that we will have that target of Rs. 6,000 crores plus of turnover for the Food for the financial year '25, and we are committed to see that we reach to the Food and FMCG turnover of Rs. 10,000 crores by FY '27. Standalone EBITDA of Rs. 2,100 crores plus on last 12 -month basis, which is suggestive of the fact that our standard run rates are back, and we should be able to deliver better numbers for FY '25.

Distribution, we continue to work. Channel growth and alternate channel, I think I already spoke of. ESG is something which we keep continuing. AWL is now included in FTSE4Good Index Series. Besides that, quickly on ESG, also Company continues to work on various ESG initiatives, including water conservation, installation of solar plant capacity for green energy, and of course, rainwater harvesting and a sustainable procurement that is something agenda - driven, and we have been continuo usly working on this di rection.

So, this is all from my side as far as the presentation is concerned, to give you a quick update on the Quarter 2 and H1 numbers. adani wilmar

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Now I request moderator to open the floor for question and answer. We would be happy to take them.

Moderator : Thank you very much sir. We will now begin the question and answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: Congrats on very good set of numbers. My first question is on Edible Oil. If I see your quarterly run rate for the last 4 years, 3 years, it was almost stable. Hardly any movement in terms of the 1 million ton. This year, there is a spectacular movement. Is there any one -off? Is there any seasonality, festival -related impact or any modern trade or e -commerce activation? Or is it because of all this volatility? Whenever any pricing goes up in FMCG, generally, the market leader gains market share , and we have seen, obviously, sharp inflation in the last 3, 4 months. Is that driving that?

Angshu Mallick : I think in Quarter 2, we had seen very steady prices barring that last 15 days when the duty hike was announced around 14th of September. But if you look at the entire quarter, the quarter was steady. So, whenever the commodity prices are steady, the brands always do well, and Fortune as a brand has been doing well. That is one. Two, over the last 2 years, we have made certain structural changes in our distribution factor. One of them has been to merge the food and oil distributors. Earlier, they were separate. So, from January '24, we started that exercise, and we merged all the distributors. That gave us strength because Edible Oil distribution was far stronger than Food.

Second is that we had a separate sales team also. So, that also we started merging, and we could close that by March. So, we started gaining certain advantage of unified sales force and unified distributors. That is 2 things. Third is that rural markets, we have surely pushed for adding more towns, and we are at 37,600 almost. So, all this has inch by inch helped us to grow the distribution. And that is why we could reach 7.8 lakh retail outlets directly. And I think these are some of the reasons.

Apart from this, we had good institutional sale

s, particularly from ITC, Parle and all that because

there also sales picked up in July, August, September. And we are always a preferred supplier because we have pan -India production setup. So, it's very easy for them to buy from any of the location at any of that plant. So, that gives us an advantage over others, which we obviously have taken. So, all put together, the frying industry, baking industry, they have done well, and our retail distribution has done well.

Abneesh Roy: And sir, ex of B2B, you said ITC, Parle, et cetera, have seen a good offtake, which I think if you could confirm, is it largely for biscuits? Second is B2C part would have seen what 12%, 13%

growth?

Angshu Mallick : Almost that, little growth because 17% overall, but around PAT should be around 11% or so. adani wilmar

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Abneesh Roy: So, next question is on Food and FMCG. So, here if I see, your pricing growth seems only 1%, which is surprising given there is a broad -based inflation everywhere. If you could tell us if there is some downtrading or adverse mix? Second is, why has branded rice not done well?

Angshu Mallick : First part is that when you look at the total Food business, the growth on revenue has not grown only because the G2G business of rice is a lower priced rice. And that has contributed to topline, but value -wise, it has not given us that value because the a per variety of rice is exported through the G2G route. That is one.

Two, branded rice has not grown. Possibly, there are a couple of reasons. One of them has been that the basmati rice prices have come down drastically in the last 1 year by around 15% or so. So, retailers and wholesalers are trying to sell whatever stocks they have in their hand because they are expecting, and we know for sure, that this year's basmati crop is going to be bigger than last year, and the prices are already, the new crop that has arrived in the market from September end onwards, are almost 10% to 15% cheaper than last year. So, retail and wholesale, even institutions, I would say, those who buy regularly from us, wanted to consume their stock first and then buy. So, that is one of the reasons why we didn't do well. But we should be in a position to start picking up from October onwards.

Abneesh Roy: Last quick question on Bangladesh. The pricing control, is it over? And second, in terms of the losses, which has risen, so when do you see profit coming because even in Q1, there was a loss?

So, what is the issue? Q1, there was no big problem in terms of the law and order. And third, of course, is because of the way currently things are, any plans for a different strategy in Bangladesh, say, in terms of new product launches or, say, aggression or, say, localization? Anything you would need to change in Bangladesh?

Shrikant Kanhere : See, Bangladesh is, of course, I think we all know what's happening in that country for the last 2 years. First, last year went bad because of the currency issue. And I think last 6 months were bad because of the government turbulence. I think now we have a new government in place. A lot of policy corrections, we can see in this particular country. We are only focusing on the branded sale in that country. And our expectation, of course, is that in the next 6 months, I think things should improve, but we are not very optimistic, at least for this financial year. From the next financial year, our expectation is that things should fall in place. We are losing basically money of not recovering the full fixed cost, actually, if you really ask me . On a contribution level, we have been able to cover all the variable costs, and that's how the situation as of now today in Bangladesh.

I think the currency issue has more or less now been resolved. In a sense, the currency is now stable at 120, 122 level. It's not going up. The government i

s consistently trying to keep the

inflation; of course, they have not yet been able to do that. I mean, day before yesterday, they raised the bank rate to 10%. It is the first time in the country that the bank rate is more than the adani wilmar

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inflation rate. So, those all steps are being taken. We are hopeful that we should be able to do better in the next 6 months. On your question, the new product launches and all that, I think that right now, this is not a time in that country to take such kind of initiative. We will wait and watch for another 3, 4 months, and then, we will take a call on whether we really want to do anything on the brand perspective.

Moderator : The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor : Congrats on a good set of results. So, my first question was really on the increase in duties. Just wanted to understand how this is going to play out in the market and how it is going to play out from an inventory perspective for you also going into Q3. I understand that there is a certain amount of inventory, probably 30, 40 days of inventory that you always have in -house. So, with this duty increase, just 2 or 3 factors, one is, is there a positive kind of mark -to-market benefit on inventory gains coming in, in Q3? Secondly, how has it landed in the market? Have all the prices now been adjusted upwards? And thirdly, do you expect any kind of demand impact on account of the price increase? Those are my questions on the duty.

Angshu Mallick : Okay. First is that the duty hike was due for a long time, and there has been a lot of requests

from the trade association, farmers' lobby, everybody that local oilseed prices were selling lower than MSP and that government should help increase the prices of edible oil, which were surely lower level. And the government did intervene on 14th of September. That is one. As per our risk management policy, we have certain policy guidelines under which we manage our inventory. So, we don't overdo or we don't play down. We have already seen how we were affected in Q1 and Q2 last year. So, there has been certain changes in our risk management policy, so which we have adhered to.

In Edible Oil, historically, whenever there is an increase in price, whether because of duty or any other reason, that is normally passed on. And there is always a lag of 10, 15 days because inventory pipeline, inventory at distributor level, retail level, even at Company warehouses, are there to take care of 15, 20 days. So, that normally keeps the Edible Oil stable for some time, and then slowly, the market starts reacting towards the new price. And historically, that is how it has been always passed on by the manufacturer because our job is to buy at Rs. 100, make a margin and sell it. That is how everybody does, and we always do weighted average. So, when the duty hike was there, obviously, we had our incoming stocks at a higher duty, so averaging out and then pricing it and selling. That is how the entire industry does, and we have also done it like that.

Harit Kapoor : And sir, just to follow up on that, has that process now been completed in the market because it's been about, say, 40 days since the import duty increase happened? So, has that now largely been passed through? And I know you have risk management processes in place, but given that you would have had some older stock at lower prices, would this result in some kind of a gain adani wilmar

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coming in into Q3, at least on the inventory side, while not structural, but could it be a onetime gain?

Angshu Mallick : See, one is that the pass-on of the hike in duty has already been done, and that most of the Edible Oil manufacturers have been selling at the duty

. What more has happened is that the international has gone up more, which we expected that it might come down. So, that has added to the pricing pressure. So, everybody has passed on whatever they had, and there can be some gain, but not something great windfall gain. Small gains can be there, only to the extent of the risk management policy, what it allows. So, we are not looking at that as a great anything. We are more optimistic on the next quarter's marriage season demand and how that spans out. So, hopefully, next quarter should be better.

Harit Kapoor : Just on the Edible Oil piece again, obviously, the first half has been excellent. It seems like a significant amount of market share gain, which has continued to come through driven by your distribution expansion as well as merging of distribution as well as regionalization. I just wanted to get a sense of the B2B business, which has also done very well, on the B2C part, last 5 years, the Edible Oil volume growths is almost like 7% CAGR. And this year, obviously, things have been even better. Do you expect that this above-average kind of performance holds on for going forward for the next few quarters, given that your own initiatives have been kind of fast tracked over the last 12 months or so?

Angshu Mallick : See, our initiative has always been to create more and more reach to the consumer. We are an essential commodity. Consumers don't wait for a brand. They just go and buy the brand, whatever is available. And top of the mind if it is Fortune, then Fortune must be available. So, the key to grow sales has always been distribution. That is one. Two, historically, we have been poor in South, and we have always said that South is somewhere we can do well. Let me tell you, 34% of branded edible oil is sold in South, which is the largest branded oil market, and our penetration is surely poor. So, we know that if we do well there, we will continue to grow for years to come, not one quarter. So, our focus is there, and we are putting our good team there, and we are working hard on it.

So, going forward, I think distribution-led growth will continue. That is one. We are also looking at out-of-home consumption because out-of-home consumption is going to grow in days to come. And we have a team, HoReCa team, which is working on it. There also, we have some option of selling higher quantity, mainly 15-kilo tins because the hotels buy 15-kilo tins branded, of course. So, there, we are pushing.

So, looking forward, if not 17% or like this, because these are not always a regular thing, but yes, double-digit growth is what we expect. adani wilmar

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Harit Kapoor : Great to hear. Sir, last question was on Food and FMCG. So, this year, you also had first half, there has been the government order-led growth, which I think would continue probably this year, but may not be a phenomenon going forward. And also, I think you've seen some inflation in prices. Also, competitive intensity in wheat flour would have been pretty high. I just wanted to get your sense on how do you see the margin kind of claw back starting again. And when do you see that kind of playing out? Because this first half of the year, the margins have been a little bit lower on this segment. So, when do you see that buildup kind of happening again, just wanted a timeline from your perspective?

Angshu Mallick : You are right. There has been stress on the Food business, both rural and urban, because of the high inflation. And you can't pass on the way you can pass on the edible oil prices to the consumer. It is faster. But in case of wheat, rice, besan, sugar, very difficult to pass on the full hike immediately. It takes a little time. That is one.

And second, consumers are relatively a little more conscious on these products. Edible Oil is still much more branded,

80% is branded. So, consumers either way buy branded. But when it comes to wheat flour, rice and all that, consumers always have the option to buy those where they get it cheap because 5% GST is not there, Rs. 3 or Rs. 4 packing cost is not there, retailer's margin is lower. So, all this gives a lot of support to the consumers. So, we can't increase the price so much. That pressure always remains in this type of product.

But going forward, I think the inflation might be better off. Wheat production next year is going to be reasonably better because of the good monsoon this year. And dal, pulses, also, will be good. Rice, already it is 10% down. So, I think overall, food inflation will normalize, and we will see good growth in Food business as well as a little bit increased margin.

Moderator : The next question is from the line of Megh Shah from Prospero Tree Financial Services. Please go ahead.

Megh Shah : Congrats on a good set of numbers. I just have a one simple question. The Edible Oil segment has been making profit since the last 3 to 4 quarters. So, are these profits sustainable? And what are our sustainable margin range EBITDA or PBT, anything is fine, for this segment?

Shrikant Kanhere : See, the Edible Oil business, of course, is a flagship business of the Company. We have been in this business for last more than now 24 years. And we have been number 1 market player in the country with a strong market share. I think this business will continue the way it is performing today. I think we get a little bit drawn by the last year's Quarter 1 and Quarter 2 numbers, but the numbers we have been able to focus on last 4 quarters for Edible Oil are the sustainable numbers. There might be plus/minus a little bit because, as I said in my commentary, I think last 2 quarters the demand, the brand equity, and of course, the stability in prices all work for us. And any one of it not going well sometimes have got an impact on the margins. But more or adani wilmar

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less, this is the range which we should be able to deliver on Edible Oil, which we have been delivering for last trailing 4 quarters.

Moderator : The next question is from Utkarsh from DSP Broking.

Utkarsh : Sir, I also belong from the edible oil industry. So, I would like to point out some issues which happened from Adani's side. Sir, for example, like when we sell mustard seeds like in mandis, even if we sell bad quality mustard seeds, it gets passed by Adani. It should be rejected. So, the managers who are there, they are corrupt, sir. They get some money and even bad quality seeds they pass it. So, sir, as a shareholder of AWL, I don't like these things. Sir, I would like you should monitor what's happening at the warehouse level.

Shrikant Kanhere : No, sir, your point is well taken. We will certainly look into it. I think this call is more to discuss on the performance of the Company for the Q2 and H1. But having said that, you are trying to raise an operational issue, I think well noted, and we will certainly look into it.

Moderator : Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Shrikant Kanhere : Yes. So, thank you, everyone, for joining the call. And it's our pleasure to present before you one of the best set of numbers for Q1 and Q2 and for the H1. And we are quite hopeful that we will continue this stride as we go forward. Thank you very much, and keep tracking us and keep writing to us in case you have any queries. Thank you.

Angshu Mallick : Thank you from my side also to everyone. I'm sorry for little delay in start. Thank you.

Moderator : Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. We thank you for joining

us, and you may now disconnect your
lines. Thank you. adani
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Call: Feb 2025

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1st February, 2025

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Exchange Plaza,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

Scrip Code: 543458 Scrip Code: AWL

Dear Sir/ Madam,

Sub: Transcript of Earnings Call of Q3FY25 of Adani Wilmar Limited ("the Company")

This is in continuation to our earlier letter dated January 27, 2025 regarding audio recording of Q3FY25 earnings call held on January 27, 2025. Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You Yours Faithfully,

For, Adani Wilmar Limited

Darshil Lakhia

Company Secretary

Memb. No. – ACS 20217

Encl.: As above

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"Adani Wilmar Limited

Q3 FY '25 Earnings Conference Call"

January 27, 2025

MANAGEMENT : M R. ANGSU MALICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ADANI WILMAR
LIMITED

MR. SHRIKANT KANHERE – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– ADANI WILMAR LIMITED

MR. SAUMIN SHETH – CHIEF OPERATING OFFICER –
ADANI WILMAR LIMITED

MODERATOR : M R. MANOJ MENON – ICICI SECURITIES

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Adani Wilmar Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Adani Wilmar Q3 FY '25 Results Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. It's wonderful. Good morning, good afternoon, good evening, depending on the part of the world you are joining this call from. Representing ICICI Securities, it's our absolute pleasure once again to post the results conference call of the company. This time it's Q3 FY

'25. The company is represented today by Angshu Mallick, Chief Executive Officer and Managing Director; Mr. Shrikant Kanhere, Deputy CEO and CFO; Mr. Saumin Sheth, Chief Operating Officer; and the team. Over to the management for the opening remarks, post which, we'll open the floor for Q&A.

Thank you, and over to you, sir.

Management: Thank you, Manoj, and very warm welcome and good afternoon to everyone who has joined this call. As a ritual, what we will do is we'll take you through a brief presentation on the performance of the company for the quarter 3. The presentation is separately uploaded on the exchange, so you can also take your copies separately and go through the presentation. For the time being, we will take you through the presentation.

We saw one of the best quarter since inception of the company, posting consolidated revenue for the quarter at INR16,859 crores, with an underlying volume growth of 5%, EBITDA of INR792 crores and resultant PAT of INR411 crores. This translates into 31% year-on-year growth in revenue, 57% EBITDA growth and more than 105% growth in PAT as compared to the same quarter last year.

On the 9 months ended 31st December '24, revenue at INR45,488 crores, EBITDA of INR2,033 crores and PAT of INR1,035 crores grew by 20% and 161% in terms of revenue and EBITDA. Whereas on the PAT, it is complete turnaround from a loss of INR9 crores to the profit of INR1,035 crores as compared to the same period last year.

We are also been able to demonstrate improvement in quarter metrics in the case of gross margins and EBITDA over the past quarters, primarily led by edible oil business, as the food business continues to remain in investment phase and more or less an EBITDA neutral given that it is still at a growth stage.

Stand-alone numbers are no different from consolidated ones, with revenue for the quarter at INR16,491 crores, EBITDA at INR782 crores and PAT at INR409 crores remains the best performance for the company since inception. Similarly, for the 9 months ended 31st December '24, we delivered revenue of INR44,235 crores, with an EBITDA of INR2,022

crores, PAT of INR1,059 crores, translating into growth similar to consolidated numbers. adani
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Per ton metrics on gross margin and EBITDA also remained similar to the trend, we witnessed at the consolidated numbers. Normalized gross margins and EBITDA for the past five quarters are consistently improving. Q1 and Q2 of the last year, as we said earlier also, was an aberration due to hedge disalignment that edible industry witnessed last year. Barring these two quarters and, in particular, last five quarters margin structure have shown consistent improvement.

Quarterly trend on per ton metrics for the gross margins and EBITDA are more or less range bound, except Q1 and Q2 of last year. EBITDA margins have -- EBITDA margins about 3,500 level in any quarter are suggestive of a commodity cycle gain that company had been able to crystalize. EBITDA per tons of 4,956 for this quarter is also suggestive of the same fact. This quarter, we saw gains on account of favourable positions and bit of inventory gains.

On segment basis, edible oil, food and FMCG registered healthy volume growth, up 4% and 23% for the quarter, and 11% and 32% for the 9 months ended 31st December '24. Industry essential segment degrew on volumes by 3% and 9% for the quarter and 9 months period,

respectively. Degrowth in industry essential segment is primarily due to lower edible oil business, which is more of a parity-driven business. Major constituent of industry essential business, oleochemical, continues to grow volume in double digit and with a healthy margins.

On margin front, edible oil registered segment profit of INR571 crores and INR1,342 crores for the quarter and the 9 months ended, which is one of the best for the segment. Industry essentials delivered a profit of INR82 crores and INR165 crores for the quarter and 9 months, primarily driven by olee and castor business. Food and FMCG delivered a segment loss of

INR46 crores and INR23 crores for the quarter and 9 months ended 31st December '24. This is primarily on account of loss in the rice inventory due to downward correction in the market.

Any positive correction in the market from here will improve this number.

Other than rice, all other food business, such as wheat flour, besan, pulses, soya nuggets and soap business remained a bit positive. Overall food and FMCG business more or less remained

EBITDA neutral for the quarter and the 9 months ended December '24. The EBITDA performance on all business segments for last 4 years shows a consistent improvement. In edible oil, EBITDA has increased from INR1,532 in FY '22 to INR2,375 crores in the last 12 months.

In our mature business of edible oil, we are generating a return on capital employed of close to 22% on the back of high turn of fixed assets. Food business, which comprises several product categories, is currently in an investment phase and we ta

rged to have 20% to 25% of the same in this segment as well. Our soya nuggets and besan has already reached decent ROCE level.

On overall basis, the company is delivering an ROCE of close to 13% on trailing 12-month basis.

This is how the ROCE and the capital employed fares as far as the last 3-year trend is concerned, edible oil with 22% and industry essentials at 10% giving last 12-month ROCE of 13%. We are consistently investing in Food business. The fixed asset investment in the Food adani wilmar

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has gone up from INR482 crores in March '22 to INR1,328 crores as far as December '24 is concerned.

And similarly, the net working capital in the food business has also gone up from INR393 crores in March '22 to INR1,461 crores in December '24. And this is also reflective of the fact that the food business is close to INR6,000 crores plus when we look at a trailing 12-month of data.

On a market context, overall market sentiments in edible oil remain bullish during the quarter.

Prices of all major three oils; soya, sun and palm remain elevated as compared to the last quarter. Industry witnessed some downward correction in the prices in the later part of December, but still prices remained higher as compared to the past quarters, primarily due to high duty imposed by the government in the month of September '24.

Throughout the quarter, palm remained costlier than sun and soya, which is a complete departure from earlier trends. We have sun and soya always used to command a premium over palm oil. This is quite concerning as palm remains one of the highest consumer oil in India, and therefore, any such trend will have a risk of inflation and trajectory on the food items, including the demand for the edible oil.

In both edible oils and wheat flour industry has been showing subdued growth in low single digit for last five quarters. In wheat flour, rural had been growing in strong double digits due to consumer shift in packaged wheat flour. Whereas in edible oil for the quarter 3, the industry grew by 5%, whereas rural grew by 8%. So overall, what we see is not a very encouraging demand from an industry perspective, whether in the case of edible oil as well as wheat flour. The company has been able to register a handsome growth on the revenue and margins for the quarter as well as the 9 months ended December '24. One of the highlight of course in this entire performance in the alternate channel comprising of MFS, e-comm and q-comm that is growing faster than the general trade and now contributes, a sizable business with a trailing 12

months revenue in excess of INR3,000 crores. Similarly, HoReCa channel, which we started a couple of years back, continues to grow for us and is now contributing close to INR600 crores of business basis 12 months.

In edible oil business, in spite of high prices, we could register a single-digit volume growth led by soya, sun and mustard oil. This volume growth would have been in single-digit had the palm -- could have been high single-digit had palm prices remained below the soya and sun. We witnessed cutting consumption by consumer due to high pricing. As a result, consumer pack industry grew only by 5% as per the Nielsen source. Our regionalization strategy in edible oil continues as we launched region-specific SKUs to cater to the local demand.

In the food and FMCG business, we delivered yet another quarter of a sizable volume growth of 23%. The growth came on the back of all the food products showing sizably. On margins, the segment suffered loss due to inventory valuation loss in rice. We continue to consolidate our market share in most of the food categories. adani

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ESG continues to be integral part of our entire ecosystem. Our flagship CSR program, Fortune SuPosha

n, that aims to curb malnutrition and anemia among the children, adults and girls, and women in reproductive age, has won prestigious Indian CSR Award 2024 in the category of Best Rural Children's Healthcare Initiative of the Year 2024. AWL's Mundra and Hazira plant received gold medal, silver medal, respectively, at the 10th Edition of India Green Manufacturing Challenge organized International Research Institute for Manufacturing. Our Vidisha factory, which manufactures soya nuggets and soya value-added products earned a safety award for a global -- at the Global Safety Summit 2024.

On edible oil, I think we have been steadily contributing to the volume growth quarter after quarter, which is reflective on the stand-alone EBITDA, which is we are delivering in this segment. The capacity utilization in this segment continues to be reasonably well placed, which is suggestive of the fact that any future growth can be accommodated easily.

On the market share, we had a flattish market share. We actually dropped by 20 basis point on overall market share from 18.3% to 18.1%. But the encouraging part of this entire story on market share is that Fortune market share actually has gained. Similarly, we have gained market share in particularly in the case of soya bean and sunflower.

As far as the food is concerned, again, we have enough capacities in place. The utilization of capacities at 53%. Whereas, market story for wheat flour looks good. We have gained market share, gone up from 5.3% to 5.8% now. Basmati rice market share has come down from 7.4% to 6.1%. And clearly, there are work in progress, particularly in branded Basmati rice, which company is working on. And we have put in place a lot of interventions in this particular business. And as we go forward in a couple of quarters, we should be able to see improvement in market share as far as the Basmati rice is concerned.

On distribution front, we continue to work on growing it and now have a direct coverage of more than 8 lakh outlets and total reach of more than 2.1 million outlets. In terms of rural distribution expansion, we now reach more than 40,000 towns and have -- which have got a population of less than 100,000. And rural saliency in our business remains at a close to 30% of our overall business.

Alternate channel continues to -- continues to be a good story for the company. This channel grew healthy 16% during the quarter in which e-com and quick-com grew by 41% and 81%, which is very encouraging for us. We are working closely with all the e-com players to see that this growth and market share is sustained in future because as we go forward, this is the channel which is going to cater to most of the demand coming in from the consumers who are demanding packaged staple food. One of our IPO project at Gohana, Haryana, which is going to be one of the biggest integrated food facility for the company is more or less completed.

This is an aerial view of the facility, which shows how big this facility is. We have commenced the production at rice to rice and mustard oil facility and have achieved first commercial dispatch from this factory in January '25. This integrated facility is expected to be fully operational by end of first quarter of next financial year. The integrated facility houses adani

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production lines of paddy to rice, rice to rice, wheat flour, refined wheat flour, rice bran oil, mustard oil and cotton seed oil.

This will be built with an overall capital outlay of close to INR1,300 crores, which is majorly funded through an IPO funding. We continue to do a lot of marketing campaigns, whether it is on social media or BTL activities or TV activities, and these are some of the glimpses of our engagement with the consumer on various mediums through which we connect to the consumers. So the key takeaways, finally, this is

the final slide from my side.

One of the best quarter, of course, for the company since inception. We have been delivering consistent performance for last several quarters and have delivered best ever operating EBITDA of INR2,390 crores on trailing 12-month basis. Food and FMCG revenue of INR6,000 plus in the last 12 months. And therefore, our target of reaching to INR10,000 crores by end of FY '27 seems to be very much achievable.

We have big lever for growth by increasing our distribution. And we remain very bullish on emerging channels like e-commerce, branded exports and HoReCa to fuel the kind of growth that company is looking at for coming years. And on ESG, as I said, ESG remains integral part of our culture. We participate in CDP and DJSI ratings during the year and are fully committed for a continuous improvement in the scores.

This concludes my presentation, and we can now open the floor for the questions, and we would be happy to answer the questions. Over to you.

Moderator: The first question comes from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on the profits. My first question is on the food business. So you have called out strong growth in soya nuggets apart from your other food segment. There, we have seen incremental competition also from Marico Saffola, and they also claim to be doing well. Could you talk about the competitive intensity here, pricing pressure, etcetera? And if you could also talk about Sattu because that clearly seems to be a focus area by customers in terms of more protein specific product. So long term, how do you see the organized market share within Sattu because it's largely unorganized currently?

Angshu Mallick: On soya nuggets, let me tell you that after COVID, we have seen higher sales of plant protein or veg protein. Now soya nuggets have 52% protein and doctors have recommended that for -- particularly for the vegetarian people. Plus I have seen that non-vegetarian people also once in a week, they have accepted nuggets as integral part of the food.

Now we have understood this business and in terms of technology, we first went ahead with putting Wenger technology. So all our plants are Wenger plant from U.S. They are the world's best manufacturers of such products, and we have that in Vidisha and Haldia and now we have started Nagpur. So we are possibly the only people to have three locations of nugget. And as you know, these are light products. So cost of freight is very, very important, and we have that logistic advantage because we have soya bean plant in Nagpur with Vidisha. And Haldia also, we have our own packing station. So that helps us. adani

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Logistically, we are better off. There is competition, but then that's okay. Everybody is trying to enlarge the market, and we see great opportunity. So very good to have healthy competition. No problem on that. Pricing front, we have -- this is a very stable product and doesn't need too much of pricing, except once in a while, you give some consumer scheme or trade promotion scheme. But by and large, it's a steady market. Sales, 60%, 65% sale comes from March to October and 30%, 35% comes in the winter. That is how it is very clearly demarcated.

On Sattu, let me tell you, Sattu is a product which normally goes during -- in Eastern India and Eastern UP onwards, Bihar, Jharkhand. So there, we have Sattu. We have our plant -- we supply from Delhi now. But going forward, we can surely make in Haldia also. We have a plant in Haldia. So Sattu is one product which also is seasonal a bit. In the summer, it does very well. Winter, it reduces. So we are pushing it along with our base line products.

Abneesh Roy: So from a competition perspective in soya chunks from Saffola, you're not seeing anything disruptive. Right?

Angshu Mallick: See, first of all, they don't have their own manu facturi

ng base. They are getting it produced at

some other factories. We see advantage for us that we have our own setup. We have ability to expand, if required, and that is what we have done. So we are the largest soya nugget producers now in India at 6,000 tons per month. So we have enough capacity to provide to the market.

Abneesh Roy: Sir. That's very useful. My second question is on the branded rice weak performance. So you mentioned

inventory losses there and supply chain issues. So if you could address here because post the acquisition of the number 3 brand there, it has been a bit challenging post that. So here, could you have done something different to prevent the inventory losses? Or that's part of the business, nothing much could have been done?

But from a structural perspective, my question is, how do you start getting back the market share? Because generally M&As in India, FMCG, I have seen, a lot of them ultimately turned out to be very challenging. So if you could talk about your Basmati market share, the journey in the next 2 to 3 years, how do you see that?

Angshu Mallick: See, in Basmati rice, unlike the big players, we did not have our own plant. We had only one plant in Ferozepur, Punjab at -- in Haryana, which is the main area for Basmati, we used to work under the toll arrangement. Now these toll arrangements have a limitation to the processing capabilities as well as capacities. Now we have been waiting for our Gohana plant. And because we were doing in the tolling, obviously, there was a lot of stocks to be moved from one place to another to consolidate dispatches.

But now that Gohana plant has just started operations. The most important part is that in Gohana, we have almost 600 tons paddy per day and 500 tons of rice per day capacity, which is very big enough for us to use it. And we have very large storage capacities there. So it will be useful for us to have a consolidated production base as well as dispatch base.

Once that happens, the logistic issues, the fill rate and the challenges of yield or quality, all that gets to a large extent, settled and then we can concentrate in building the brand and adani wilmar

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distribution. And you will agree with me that e-commerce, modern trade alternate channel is 50% of the branded basmati rice consumption. So unless you are good in fill rate, unless you are good in supply chain for these products, the alternate channel doesn't do well.

Now that with Gohana coming up, our supply chain will become much more stronger, and we are confident that we'll get back the share. I'm sure in next 2 quarters or 3 quarters, you will find that our basmati shares have gone up.

Abneesh Roy: Sir, last quick question. That's my last question. On the palm oil, what will be your understanding in terms of pricing because it went up sharply by almost 30% and from top, it has corrected 10%, 15%. So what will be your understanding of pricing? No one can call it out. I understand it's a commodity. But what will be your understanding? And on the 20% duty which government had put, is there any expectation that in the near term, this could get corrected? Any discussions on that?

Saumin Sheth: Saumin here. See on the pricing, it has become a very political product, both for Indonesia and Malaysia. The biodiesel program is important and the food demand. Yes. So as you rightly mentioned, the prices actually were higher by 15% to 20% compared to the other soft oil -- now market is correcting, the spread is reducing and this biodiesel program of Indonesia, whether it is B40 or eventually, it will only remain to B35, B40, prices will also fluctuate in line with the policies.

On the duty, it's anybody's guess, government after a long wait increased the duty to support the Indian farmers. Unfortunately, today also these are trading way below the MSP. So I mean, you can

call it 50-50, whether they can reduce the duty or not. Their priority probably is the farmers and the consumers.

Moderator: The next question comes from the line of Harit Kapoor from Investec.

Harit Kapoor: Just a few questions on...

Moderator: Sorry to interrupt, sir. May I request you to use your handset, sir? Your audio is slightly muffled.

Harit Kapoor: Yes, is this better?

Moderator: Yes, sir. Please go ahead.

Harit Kapoor: Yes. So just a few questions on the numbers. I just wanted to -- if you could just quantify the employee cost impact on account of the ESOP for the quarter? And just a sense of how this works, is it a one-time in this quarter? And what is the future impact on the employee expense, if you could just give some sense on that?

Angshu Mallick: Yes. So I can understand from where you're coming from because the employee cost has gone up quite substantially in this quarter. But this impact is not exactly on the ESOP because ESOP we declared only in the month of December. So the real impact of ESOP may start coming in from the next year, not from this year. So right now, the employee cost, which you see, which adani wilmar

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has gone up as compared to the last year and of course, on the 9-month basis also is basically because of the onetime incentive provision that we have made, given the fact that company this year is going to be going to declare one of the best results.

And therefore, our policy provides for additional incentive, which has been provided on a proportionate basis for this 9 months. So that's the reason why the employee cost has gone up.

And this is, of course, only a onetime and then for the modelling, I don't think you can consider it for the next year and next quarters.

Harit Kapoor: Got it. Got it. And secondly, even on the other expenses, if you look at sequential numbers are quite high. I understand that there's INR70-odd crores MTM there on the derivative side. But even adjusting for that, it looks slightly on the higher side. So I just wanted to get your sense, is it more to do with Gohana operationalization? Or what would explain that kind of sharp 30-plus percent growth?

Angshu Mallick: No, it's not basically anything to do with the Gohana operationalization because Gohana, as I said, we just dispatch commercial cargo from the complex. I think the entire complex will get commissioned only in the next quarter -- sorry, first quarter of the next financial year. So this other expenses hike is, again, it's kind of onetime where the hike is due to one is, of course, derivative impact and the ERD impact.

And both these impacts actually somehow get recovered from the -- either from the revenue or either sitting in the inventory gain. So there's a nullifying impact of this spend which you are seeing more. Besides that, there is onetime some marketing provisions have been taken. So if you normalize those, these expenses have actually gone up in tandem with the volume growth.

Harit Kapoor: Okay. Understood. And sir, how do I look at the inventory gain, which sits out of your -- in your gross profit, either for the full -- for the 9 months or for the quarter? What do you think

would be a more normalized level? And the second point is with the prices having corrected a little bit in Jan, do we expect some of these inventory-led gains slightly to reverse, not reverse,

but a little bit of a reduction there in quarter 4? How do I kind of read this and build it out?

Angshu Mallick: Yes, I would not call it an inventory gain, rather, I would say this quarter numbers do have onetime impact of the commodity cycle, rather, I would say. When I say commodity cycle

gain, it includes both inventory as well as better positions which have turned positive for us.

And therefore, numbers for this quarter are more or less consistent with what we have been declaring for last c

ouple of quarters, except of this one-off inventory -- one-off commodity cycle gain.

So, our normalized EBITDA, as we are saying earlier also, is anywhere in the range of INR3,500 crores to INR3,600 crores. Anything above that is suggestive of the fact that we have witnessed a commodity cycle gain in that particular quarter or period, which may be 6 months or 9 months.

Harit Kapoor: Very clear. Very clear. And just on the direct reach side, if you look at -- if I just look at a period of time or a quarter where you've seen the highest kind of move from quarter-to-quarter in direct reach, I think Q3 or December quarter is one of the -- addition is almost 50,000, adani wilmar

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which is a pretty substantial number. Just wanted to get your thoughts on what is the kind of 3-year, 2-year, 3-year target here? We're already at 8.2 lakh outlets. How do we think about a 2-year, 3-year kind of target on direct reach expansion?

Angshu Mallick: We have taken a target to exit FY '27 at 1 million direct coverage.

Harit Kapoor: Got it. Got it.

Angshu Mallick: So we have that much distance to travel. And some of the quarters, it is fast. Some of the quarters, it will be too slow. Say Q1, we will find it is a little slower because of the summer time and heat and all that. But then winter time, generally, the work timings are much bigger and the people travel more, people work more, so we get more outlets on it.

Harit Kapoor: Got it. Got it, sir. And from a portfolio level on the edible oil side, if you could just give us a sense of what has done well, what has been weak? I mean mix between, say, palm, soya, the key oils for you, where have you seen strength in growth, where have you seen a little bit of weakness? Branded versus unbranded, a little bit more color on that in this quarter, given that the price fluctuation has been quite material.

Angshu Mallick: Okay. To sum up the edible oil business, you see in-home and out-of-home consumption. So look at in-home consumption, it is, by and large, driven by two main oil, that is sunflower oil and soybean oil and the domestic

oil is mustard. These three oil forms actually the core of the household consumption. Every house will have one refined oil and one unrefined oil or taste oil. So mustard is normally consumed in East, North and part of Central India and groundnut will be in a little bit of Western India and Southern India.

Now cotton seed oil is also a good oil, 1 million ton, 1.5 million tons, but consumer packs are in the 0.5 ton. That is in the western part of India that is Gujarat, a little bit of Maharashtra and a little bit of Madhya Pradesh. These oils form the main core household consumption. Now when you go to out-of-home consumption, palm is a big out-of-home consumption because normally the restaurants and dhabas and all that, they prefer palm.

Baking industry, frying industry and snack food industries prefer palm because that gives them a better shelf life and neutral taste. So palm price is going up, obviously, they -- some of them shifted to rice bran oil, some of them shifted to cotton seed oil because these oils were as competitive as palm or cheaper than palm. But then once the palm becomes cheaper, they will always switch over to palm.

Out-of-home consumption is 30%, 35% and 65% is in-home consumption. So that is how it is actually divided. Since we have a basket of oil that is we have groundnut oil, we have cotton seed oil. So we have that advantage of seasonality, location advantage and price advantage that anything that is cheaper, we are always there. So we are there in rice blend oil also. So that is our advantage. So that is how the business of edible oil is.

Harit Kapoor: Okay. Okay. And on the last question, I will come back for what was on the food and FMCG side. So say, if I had to strip out the losses from the rice inventory,

what do you think would

have been more a normalized number for food and FMCG, if I had to hazard a guess? adani wilmar

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Angshu Mallick: So the inventory loss right now sitting in this number which is, again, this time we have taken given the fact that market has corrected downward is close to INR50 crores. So if we normalize this, I think we have been consistently declaring the EBIT of food positive. So it

would have been in that range more or less with what we have been showing the past couple of quarters.

Harit Kapoor: And last question was on rural. So it's a very interesting slide on industry growth trends, retail consumption, and rural volumes in the last three quarters in edible oil actually have accelerated. And even wheat flour, you've seen a sharp increase. As you mentioned, this is all conversion led. What's your view on what's happening in rural markets? Is it slightly better

incomes over the last three quarters, which are driving this conversion to an organized category growth? Just your own kind of hypothesis of what's happening here.

Angshu Mallick: Rural was almost stagnant between last year, say, December to this year, June, July. Only after good monsoons this year, we saw the rural consumption pick up. And good consumption, good response we saw only after September. So September onwards until now also we are finding. Rural is -- to a lot extent, it is back in action. Urban stress continues, and we can see that urban consumption is stretched.

And second, inflation is hitting somewhere both the rural and the urban. In rural, it has not been to that extent, but in urban we can see that very, very clearly? So if you ask me, rural has started coming back in terms of demand and all that.

That food is doing well, and we see small pack demand is increasing 1 kilo, 2-kilo packs, 0.5 kilo besan. Nuggets also doing well in rural market. Sugar is doing well, 5 kilo, 1 kilo. So rural, overall, has started giving that indication of coming back to action. More will depend on how government intensifies the rural.

Moderator: The next question comes from the line of Latika Chopra with JPMorgan.

Latika Chopra: A couple of questions. Let me start with edible oil. You had a volume growth of 4%. You called out that the branded sales declined low single digits. And it seems the demand environment, as we explained, and the price differential, palm overtaking the other oils, sounded a bit cautious.

Now with the palm oil price index kind of moderating, how should one think about overall volume growth for edible oils? And also, how do you think about the profitability of volume growth sustaining at mid-high single-digit levels over the next couple of years, given your distribution initiatives?

Angshu Mallick: See the edible oil demand, so the industry always used to grow in a range of 5%, 6%. And so while palm remains one of the highest usage oil in India, and therefore, correction in palm oil downward, of course, will give some boost to the demand in quarters. Our expectation, to answer your question straight, the demand for the packaged edible oil should -- I mean, the industry should keep growing within the range of 6% to 7%. And our growth, of course, we feel that we should be able to grow at 8%, 9% kind of number. So that market share keeps

consolidating from here. adani
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Latika Chopra: All right. And the second thing was on realizations. This quarter, there was a massive increase because of the increase in palm oil prices. Do you -- just trying to think in terms of the pace at which you change prices depending on your raw material sources. Do you anticipate these firm levels to stay, at least in the current quarter, before probably coming in line with the market price in the next quarter? Just tryi

ng to think through what is the lag with which the pricing
will follow in your numbers?

Angshu Mallick: See the palm prices have moderated in the last week of September, but it keeps fluctuating. So like today, the complex was again up because of some geopolitical factors, and then tomorrow, it may go down. But what our expectation is that the level which we have seen in the month of January will continue to play, at least for this quarter.

Having said that, it's very difficult to comment how it will fare in first quarter of this year. But at least for this quarter, the prices should remain at what level which we are looking at. So from a realization perspective, more or less, same as what we have seen in January.

Latika Chopra: All right. And can I check on profitability metrics, EBIT per metric ton because considering the pricing fluctuates, and I'm sure you want to maintain a certain threshold of profitability on a per unit basis. This quarter, it is coming to about INR5,800 -odd levels per metric. I'm just talking about edible oil. And on a 9-month basis, this number is roughly INR4,500. When you gave a number of INR3,500 to INR3,700, is this the number you were referencing to? I'm just a little confused, so I thought I'll just clarify. Is that the more nominal range of profit per metric ton for edible oil?

Angshu Mallick: No, no, no. So when I give you a range of 3,500, 3,600, this is blended at a company level, which includes all the business segments particularly. And therefore, edible oil, it could be certainly different than 3,500, 3,600.

Latika Chopra: And what would that range be, sir, for edible oil? Because even in this quarter, you had about 3,760?

Angshu Mallick: See, for edible oil, of course, it would be a little bit higher than because, as we said, Food remains EBITDA neutral for us and EBIT neutral for us. As well as with the industry essentials, it's more of a downstream of edible oil only.

So of course, the edible oil EBITDA would be a little more than 3,500. It would be in the range of 3,750 to 3,800, because that's how, when you look at a blended level, you get an EBITDA of 3,000 -- normalized EBITDA of 3,500 level at a company level.

Latika Chopra: So this is EBITDA you're talking about? I was referring to EBIT.

Angshu Mallick: Yes, it's on EBITDA.

Latika Chopra: Okay. EBITDA. Fair enough. The other question I had was on food and FMCG. Any broad thoughts on -- with this new capacity coming up, how should one think about your volume adani
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growth aspiration? And also, any flavour on medium-term margin outlook or aspirations that you have?

Angshu Mallick: See, we have said earlier that food and FMCG, we wish to continue at an average growth rate of 20% plus. Now looking at that goal, we need to add capacities which are surely world-class and can give best products at the most efficient processing cost. So we are investing and these are integrated plants where we have multiple products. So that helps us in buying, processing and supplying. That is one. Two is that these capacities will surely add Gohana at its full stream when it runs full -- and even at we take 80%, 85% capacity, it should give us a volume of around 625,000 tons per annum, food and oil put together, where food will be made, oil will be around 200,000 tons. So we expect Gohana to add help us in enhancing volume, reduce our cost as efficiencies will pour in with the integrated operations. Third is that because we will have integrated plant, our dispatch delivery all the cost to our distributors will become cheaper. And all those benefits will surely be seen in our performance.

Latika Chopra: Sure. And can I just check one thing. When you look at the pricing for your food and FMCG products and you benchmark it to whoever the competitor is in each of the categories, and I'm sure there will be v

ariations on a state-wise basis, SKU-wise basis. Has the differential reduced over time as you've built in more efficiency?

Angshu Mallick: Yes, I would say. You take an example of nuggets that is one of the earlier FMCG food products that we started. And we had only one national competitor, which you are aware of.

Now obviously, when you compare with that competition, you keep the prices lower and you start seeing your main competitor and then work around. Slowly, that happened. But as we progressed, our products were surely better in terms of technology, and we knew that we can give a better product with better distribution. We were slowly getting into higher pricing. And today, we are surely priced equal or many places, we price it higher than the nearest competitor.

So that happens. Second, you take besan. Besan, you don't have a national player. So obviously, when you look at Delhi, you have a competitor, so you price it with that competitor or in Bengal, you have a competitor, you look for. But rest of the place where there is nobody to compete with, we go all out and we price better and because we are the leader there. So whether it is Bihar, Jharkhand, Eastern UP, all these markets, we are the leaders, and we price it basis the brand premium.

Latika Chopra: Sure. And last one on this, Mr. Mallick, was when you look at food and FMCG, how do you think about further additions to your portfolio? Would you want to do pulses at scale or not?

Or you would like to focus on scaling up market shares and wheat, rice, besan and some of the other broader big category segments that you're already in?

Angshu Mallick: See, where you talk of pulses. We have -- we know that chana dal or chana is almost 50% of India's consumption, almost 10 million tons is the normal domestic production. So we have put three new plants, 240 metric tons per day in Nagpur, Neemuch and Kadi in Ahmedabad, adani wilmar

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outskirts of Ahmedabad. These are state-of-the-art chana processing plants. And with that, we will possibly become the largest chana processors in the country.

And we have matching based on with that 150 tons per day in each of the units. So today, we have four such units in the country. So dal becomes important for us because whatever dal is coming out, almost 5,000 tons we have extra for selling per month. So we will have to sell chana dal in brand or in consumer pack. So that way, we are progressing.

Rice, we are putting up such a large unit. Obviously, we are thinking of improving and increasing our base, both domestic and exports. Atta, we are putting big plants. And next year also, we plan to have bigger capex. So wheat flour, we want to be reasonably large player in this category. So in each of the categories that we are going, we want to be in the top 3 surely and maybe 1 and 2 position for each of these.

Latika Chopra: Understood. And I think I asked this earlier, but any margin aspirations in food and FMCG, EBIT margin aspiration or anything you would like to share over the medium term?

Angshu Mallick: No, I think this is what we have been saying for some time. I think food will remain in the investment or a growth stage, rather, I would say, till FY '28. And therefore, the EBITDA margins for the food ideally should only start growing after FY '28. But having said that, it's not that we would certainly not want this to grow. But yes, until and unless we get to the level of market share and the volume share that we are -- we have envisaged, I think this will remain an EBITDA neutral.

But as we go forward, for post FY '28, certainly, we have a market discovered benchmark available for rice and wheat flour and basin. I think we would certainly want to go to those levels. For example, in rice, we have -- we have market players who have been able to showcase a gross margins of close to 25%, EBITDA of

10%.

Similarly, in wheat flour, we have the biggest player in the country as per our estimate, making an EBITDA margins of close to 6% to 7%. But for us, it is a story of next 3 to 4 years to reach to that level.

Moderator: The next question is from the line of Ashok Shah from Eklavya Invesco Family Office.

Ashok Shah: Sir, do we have any thoughts to tie up with the farmers to grow palm tree in India as the Wilmar is a leader in Gulf?

Angshu Mallick: Yes, Mr. Ashok.

Saumin Sheth: No, as of now, we do not have any palm plantation in India.

Ashok Shah: So we majorly procure palm from our sister concern or the international where we grow the palm tree?

Angshu Mallick: We are procuring all the palm from Malaysia, Indonesia and other Southeast Asian countries, mainly from sister concern and also from other ABCD of these palm players. adani wilmar

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Ashok Shah: And how much we consume palm oil to make nuggets and any other products?

Angshu Mallick: Nuggets, see, these are different raw materials, all together. Nuggets is actually non-GM soya beans and its derivative. And palm is mainly for the edible oil and the other value-added specialty fats.

Moderator: Ladies and gentlemen, that was the last question for today. I will now hand the conference over to the management for closing comments.

Angshu Mallick: Yes. So thank you very much, everyone, for joining the call, taking out time and listening to our story. Keep connected with us. And thank you again. We wish everyone a very good evening, and thank you.

Shrikant Kanhere: Thank you all for attending. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. adani

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Call: May 2025

AWL Agri Business Ltd.

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6th May 2025

BSE Limited

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Exchange Plaza,

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Scrip Code: 543458 Scrip Code: AWL

Dear Sir/ Ma'am,

Sub: Transcript of Earnings Call of Q4FY25 of AWL Agri Business Limited
(formerly known as Adani Wilmar Limited - "the Company")

This is in continuation to our earlier letter dated 29th April, 2025 regarding audio recording of Q4FY25 earnings call held on 29th April, 2025. Please find attached transcript of the said Earnings Call.

You are requested to take the same on your record. Thanking You Yours faithfully,
For AWL Agri Business Limited
(formerly known as Adani Wilmar Limited)

Darshil Lakhia

Company Secretary Memb. No:A20217 AWL

Agri business

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"AWL Agri Business Limited

Q4 FY25 Earnings Conference Call"

April 29 , 2025

MANAGEMENT : M R. ANGSU MALICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – AWL AGRI BUSINESS
LIMITED

MR. SHRIKANT KANHERE – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– AWL AGRI BUSINESS LIMITED

MR. SAUMIN SHETH – CHIEF OPERATING OFFICER –
AWL AGRI BUSINESS LIMITED

AWL

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AWL Agri Business Limited

April 29, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY25 Earnings Conference Call of AWL Agri Business hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you. And over to you, Mr. Bhuwania.

Karan Bhuwania: Thank you, Michelle. Good morning, everyone. It's our pleasure at ICICI Securities to host Q4 FY25 Results Conference Call of AWL Agri Business Limited. From the management, we have Mr. Angshu Mallick, Chief Executive Officer and Managing Director; Mr. Shrikant Kanhere, Deputy CEO and CFO; Mr. Saumin Sheth, Chief Operating Officer.

I'll now hand over the call to the management for their opening remarks. Over to you, sir. Thank you.

Shrikant Kanhere: Yes. Thank you, everyone, for joining the call. As a customary process, we will take you through a presentation to run through the quarter 4 performance of the company and also the full-year performance. And after the presentation, we'll open the floor for question-and-answers. We'll be happy to take over any questions from the investors. So when we look at the numbers for the quarter 4, the revenue -- the volume grew by 8% for the quarter as well as for the year, it grew by 9%.

Revenue grew by 38% and 24% respectively for the quarter 4 and full year. We had one of the best year for the AWL Agri Business since our inception, closed the EBITDA at plus of INR2,700 crores and a PAT of INR 1,200 crores. Overall, a good score in terms of all the business parameters of the company, whether it is a volume growth, whether it is a revenue growth, whether it is absolute EBITDA and PAT. We have been able to deliver a great set of number for this financial year.

When we look at the

return metrics for all the three segments; edible oil, food & FMCG and industry essentials. Edible oil continued to give better numbers in terms of volume as well as return on capital employed at 23%. Industry essentials delivered an ROCE of 17% and at an overall company level, we delivered an ROCE of 15%, which is quite reasonably healthy. Given the fact that our food business is still margin neutral, it's not something which is -- something which is by design that since we are already into an investment and growth phase as far as food is concerned. It will continue like this for another 2 years or so. Once it starts generating margins, I think this ROCE of 15% will certainly look better as we go forward. On a segment basis, of course, as I said earlier, edible oil at 23% and industry essentials at 17% is far better than what we had delivered in last couple of years, whether FY '22, '23 and '24. FY '22, we had an overall ROCE of 12%, whereas now we are sitting at 15%. And once the food starts delivering on the bottom line, this 15% should improve from here. AWL

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On a market context, this quarter also saw palm oil sitting on the top. The prices of palm remained high as compared to soya and sunflower, impacting, of course, the demand on palm and that's where also company had some bit of issues in terms of palm volumes, but this proposition as we go forward should change as we enter into quarter 1 of FY '26. The prices have already started stabilizing and we are hopeful that the palm prices should cool down as we go forward from here.

Just to give you an industry update on the retail sales, how does it look like for the full year and particularly for the quarter when we look at edible oil. In the Q4, the edible oil was -- the industry didn't grow actually. Industry was flattish without any growth. Similarly, when we look at wheat flour, which is one of the significant contributor to our food business also had got a mixed growth where it didn't grow in urban, but we did saw 12% growth in rural areas.

When we look at the Basmati rice, again it's a significant contributor to our food basket. Full-year growth was tepid at only 5.5%. So the crux of this slide or this message is basically we saw

a very tepid demand during throughout the year, particularly in quarter 4 when it comes to edible oil and rice.

On business update, happy to inform everyone that we got renamed from Adani Wilmar Limited to AWL Agri Business Limited. And the logic of our new logo, of course, is like river that nurtures the land and carry stories across the generation. It's basically a river flowing from A to L, which suggests that the company is actually into from a farm to folk kind of logic, which we have tried to build into this logo. And I'm very hopeful that with the new name and new logo, we will flourish more than what we have been able to do for last 25 years.

On an overall company level update, Q4 volume grew by 8%. Revenue at INR 18,230 crores grew by 38%. When it comes to full -year EBITDA, we clocked operational EBITDA of plus of INR2,400 crores, which is 119% up year -on-year. Food & FMCG business grew by 26% year -on-year for the FY '25. Now the alternate channel is reasonably big in our overall scheme of the things, contributing close to INR 3,600 crores of revenue to our portfolio.

Within this alternate channel, we are quite happy to see that quick commerce actually increased by 113% year -on-year in quarter 4. South being one of the focus region for us. And as we have said earlier also, it's also under -indexed market for us. All the work done by us in South for last couple of years have now started showing the results. South sales volume grew by 25% year -on-year and now it is contributing plus of 10% in our overall scheme of the things as far as the branded sales is concerned.

Particularly for

the edible oil, Q4 we could record a volume growth of 7%, healthy volume growth rather I would say. Highest ever profit in edible oil in FY '25. We also saw high palm oil prices, which led to market share loss in value-for -money segment. Excluding palm, however, our branded oil grew by 6% year -on-year as far as FY '25 is concerned. Our strategy to continue an improving penetration for the under -indexed market is working well and we will continue to work in that market with the help of our food basket. AWL

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And we'll be investing in our flanker brands to gain market share from the regional players as we go forward from here. Edible oil quarterly sales trend is healthy, 6% growing in volume terms. We did 1.04 million tons in Q4 '25. Full year, the CAGR of 7%. We closed at a little over 4 million tons for the edible oil in FY '25. Capacity utilization for all our edible oil capacities is decently placed, plus of 60%. So, we still have a lot of capacities with us to absorb any kind of growth that we will see in coming years.

When we talk about the food & FMCG as a segment, the segment revenue grew by 9% year -on-year in quarter 4 '25 to INR1,400 crores plus. For the full year, it crossed INR6,000 crores mark for the first time. Profitability of the food as we are suggesting earlier also remain at a breakeven or EBITDA neutral by design. We had some issues this year in the rice because of the paddy prices, which crashed this year leading us to a high- price inventory in our hand. So, that also has got some impact on the food profitability that we saw this year.

Wheat flour business continues very well to grow and gain market share. We are now close to 6% of market share and distant number two player in the country. Branded Basmati rice business

also has got some impact other than the price movement in paddy due to the modern trade supply chain issues, which we had. We have been able to fix these issues in Q4 and I think we should be able to see the result of all these pictures in quarter 1 and quarter 2 as we go forward from here.

On highlights of the food & FMCG continuing on pulses, besan as a category continue to grow strong. All our other products in food & FMCG such like soya nugget, sugar, poha kept growing in double digits. Soya nuggets and poha are the two categories with a very high -margin profile with a gross margin of plus of 30% and EBITDA of plus of 15% kind of numbers, which we have been able to clock. And this is one of the star product in our food segment and continue to grow. We will continue to invest more on in these food products.

We have also now launched a Fortune Cake Mix. Basically, it's more of a B2B kind of a product where we would be supplying it to bakeries and even to the retail consumer as well. On soap, again we are very -- it's a very encouraging story. The soap grew by 19% year -on-year in FY

'25. It's now INR 130 crores brand for us.

We recently acquired GD Foods. We achieved the closing of the transaction in the quarter 1. We signed the agreement -- definitive agreement in last quarter, that is on 4th of March. GD Foods manufacturer of soya sauce, pickles, condiments, jams. It's a very adjacent category for us. It's one of the kitchen essential today in Indian kitchen. We have acquired this company with an intention to grow the business currently at INR 400 crores of top line with a gross margin of plus of 50%.

This is one product line which will add into our food business, which is a high-margin product and also one of the kitchen

essential, which we were looking at. This company was launched in '84, 40 years old company have been very strong in Northern India, 7 states of North India and are currently number three player in these markets after Kissan and Maggi. AWL Agribusiness
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We acquired this company at an enterprise value of INR 603 crores, which is close to 1.5x of their revenue. And we are hopeful that basis our distribution strength, we should be able to multiply the business model of this company. There are lot of low -hanging fruits that are there besides being distribution sourcing capability is also one thing where we will add in this company and will improve the sales as well as the margin structure of the company. On distribution front, we are aggressively growing. End of March '25, we are now 8.6 million retail outlets where we reach directly, up by close to 20% from last year. Last year, March '24 we were at 7.2 million outlets – 7, 20,000 outlets, sorry to 860,000 outlets now. On the rural side, we have -- as we were saying in quite a few calls earlier that we would want to reach target 50,000 rural towns by March '25 and we are happy to announce that we have been able to do that. Now, we reached more than 50,000 towns. These all distribution updates or a distribution improvement that we have been able to showcase should start reflecting in coming quarters and we should see the impact -- positive impact of all these developments in Q1 and Q2. Alternate channel, quick commerce is quite encouraging for us, grown at 113%. We are investing in this channel more on an AI side, just to understand the customer requirements and how can we ensure that we remain with 100% kind of fill rate. So, we are doing a lot of intervention in this channel just to ensure that the growth, which we have seen in this channel continues as we -- from here onwards. Our Gohana food complex, which is one of the big capex that we spent out of IPO funding is now more or less ready. We are hopeful that we should be able to commission the entire food park sometime in August '25. So that for the next full half year, half year of FY '26 we should be able to get the business coming up from this plant and should reflect in our top line as well as bottom line. Besides Gohana, we have been able to commission a lot of IPO projects, which includes pulses besan and wheat flour units across all the locations. The c astor derivative plant is right now ongoing and should be completed by end of this financial year. We have been doing a lot of intervention in rural for rural penetration by doing a lot of digital activities, by doing a lot of branding in terms of bus branding, dhaba branding or a building branding. So that activities continues. And we will continue to do all these interventions to see that the brand goes to all the consumers quite aggressively. In the Kumbh also, we did a lot of intervention by doing some promotional activity inside the Kumbh Mela. On ESG front, I'll not spend much time, but it's a very important aspect for us. We continue to do all the interventions required for ESG, whether it is a resource, which is a tree plantation or solar implementation. Now, we have close to 10 megawatt of solar capacity available, which is around 10% of our total requirement. We continue to work in the areas of rain water harvesting and zero liquid discharge plants at our various locations. On logistics front, we continue to work on the multimodal concept where we are trying to dispatch more and more of our product through a AWL Agribusiness
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rail, which is a green energy. We have been recognized by a lot of appreciation from Indian Railways as well as inclusion of AWL in FTSE4Good Index Series . On CSR front, we continue to work on the Fortune SuPoshan. This is it from my side as far as the presentation is concerned, just to give you a quick update on Q4 and FY '25 numbers and performance. Now, I would request moderator to open the floor for question and answers, and Mr. Mallick and myself are here to address any questions. Moderator: Thank you very much, sir. We will now begin with the question a nd answer session. The f irst question is from the line of Abneesh Roy from Nuvama. Please go ahead. Abneesh Roy: I have two questions. My first question is on the recent e dible oil industry demand that import duty on the refined palm oil has to be increased. What is your view on likelihood of this? And how does this impact your overall margins because margins this quarter was disappointing. Do you see that this could impact margin s if this happens? Angshu Mallick: See, on differential duty what we call it between crude palm oil and refined palmolein, the differential duty is only 7.5%. Now it is cheaper to import olein and sell rather than to buy CPO process and sell. Now the industry has put in a

lot of capacity and most of the players are running at around 40%, 45% capacity utilization.

Now, we have been requesting the government that Make in India is something that is being talked about, but it needs a differential duty of at least 15%. And in that case, only we can import more CPO and process and make olein in India. Government has accepted it as a positive sign. And I think things will happen sooner or later because government has understood that helping the Indonesian industry is of no use. And I hope it happens fast.

On margin front, let me answer that. Possibly, we had the best year in last 25 years in terms of EBITDA. And margins in edible oil has been good and has been steady. We have delivered what has been said in the last 12 quarters, if you see. Quarter-on-quarter, if you see, edible oil have done well, except for last year when we had a different issue. But otherwise, margins are stable. Outlook is also stable. And going forward, I think edible oil will continue to deliver what it has been promising.

Abneesh Roy: Sir, one follow-up on the margin. So it was a good year -- but it was a good year. First 9 months was good with almost 4%, 4% plus margins in most of the quarters. But this quarter, was there any inventory loss because quarter-on-quarter margin has become almost half EBITDA margin.

And how do you see Q1 and Q2? Any sense you have on coming back to a decent margin of 4%?

Shrikant Kanhere: Yes. Sorry, yes -- so, Abneesh, I'll take this question. So, I just want to clarify one thing that whether we agree, whether we like it or not like it, I think one thing we must accept that at the back of overall scheme of the things, which we are working on, there is a commodity. Now, AWL

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commodity not necessarily will behave quarter-on-quarter because commodity cycle behaves in its own way.

So a lot many times, what happens is that a cycle which you are running may -- some ends of the cycle may get completed in 1 quarter and the remaining ends may get completed in the next quarter. And therefore, there is always an overlap between 1 quarter and 2 quarters. And therefore, when we try to look at numbers only for the quarter may not be a right thing.

And therefore, I always say that look at the number at least for a half and if not a half, at least for a full year because that's where it is a sizably reasonably good period where the cycle gets completed.

When I say cycle gets completed because when you are operating in a commodity world, you always try to operate in a hedge mechanism where one leg of hedge gets completed in one quarter, another hedge leg gets completed in another quarter. And that's where it's better to look at half, number one. Number two, let's not look at margin for us in terms of the percentage. I think we should be looking at margin in terms of the per ton. This year, we have been saying in our previous calls also that we had a favorable cycle. We had a favorable inventory gains also in this particular year, which may not necessarily be in the next year. However, having said that, as you ask, what is the outlook for the next full year.

I think we should be

able to deliver the margin structure in per ton terms, which we have been delivering earlier, except for the last year. I think last year, we have to take out because it was an exceptional year. So just to spell out very clearly, INR 3,500 to INR 3,600 a ton of EBITDA for edible oil should be -- should be -- on an overall basis, we should be able to deliver.

Abneesh Roy: And sir, last quick follow-up. Essentially, if I see your broader numbers, you have taken around 37% price hike, but I also see that your Q4 edible oil volumes are higher than Q3, but profits are lower. So, have you gone for market share expansion? And so that's why you sacrificed on the margin side, but you would have gained some volumes. Is that correct?

Shrikant Kanhere: Yes. There is some kind of aggression, which we had to do that because as Mr. Mallick said earlier also that palm prices remained very high. And this is also a very important segment for us. So, some bit of aggression we had to do because we don't want to lose too much of market share or too much of volume on the palm. That is also one reason. But as I said earlier also, the cycle completion not necessarily happening in this quarter may be one of the reasons why you are looking the margins a little lower than otherwise.

Abneesh Roy: Sure. Any last thoughts on palm oil? What is your understanding of the outlook? Because conflicting news flow seems that crop seems okay, but then the local government of Malaysia, Indonesia might also be looking at mixing palm oil in rest of the fuel needs. So, any thoughts

you see for how you see India prices in FY '26? What will be your initial thoughts? AWL

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Angshu Mallick: See, one thing is there, Abneesh, that it has come up from the top, so that we can see. And going

forward, April, May, June, the prices will soften little bit further. But one doesn't know about any policy that Indonesia or Malaysia will bring on B40. Now, these are some things where things always remain uncertain. But going ahead, we feel that palm oil will not be as pricey as it used to be in the past, at least last 6 months and it's going to be reasonable. So overall stability in prices seems to be there.

Abneesh Roy: Thanks. That's all from my side. Thank you.

Moderator: Thank you. We'll take the next question from the line of Anuj Poddar from Futures First. Please go ahead.

Anuj Poddar: Hi, sir Thank you for giving me the opportunity. My question to you is, I mean, I'm an investor in AWL since last 3 years, and we have seen underperformance since last 3 years, and there is no sign of improving. So, my question to the management is does management have any concern for the shareholder? I mean, what steps you are taking for the prices to settle down?

Shrikant Kanhere: So thanks, Anuj, for your question. I think, see, prices is something, which is not in our hand. What we can do is just to improve the business and that I think we are doing it. I think the numbers of FY '25 is there. So, we had a one of -- we have one of the best year since inception with a profit of INR 1,200 crores of PAT.

Now price is a very dynamic, which has been -- which is something which is a market-driven discovery on which, unfortunately, management doesn't have any control. What we can do, we are doing it by ensuring that we keep on adding good businesses in the overall scheme of the things like we did the GD Foods acquisition. We did Kohinoor acquisition. And as we go forward, we are quite optimistic that we should be able to repeat the similar performance as we go forward in next FY '26 and let the market then discover the price.

Anuj Poddar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Sanjay Shah from KSA Securities Private Limited. Please go ahead.

Sanjay Shah: Good morning, gentlemen and thanks for opportunity. Sir, my qu

estion was, as you well

explained about our acquisition of -- c apex done at Haryana, acquisition of GD Foods. So now taking forward from here, how much revenue do we expect from Food & FMCG business in next 2 years? And any color on margins? What all the investments are planned through the organic and inorganic? Any new investment plan for organic and inorganic growth from here on?

Shrikant Kanhere: Okay. So as far as the food & FMCG is concerned, as we have been saying earlier also that it is a focused area for us. This year, we clocked a volume of 1.2 million tons out of total 6.5 million tons, which is close to 18%, 19% of overall things. This basket is growing at decent growth with a 20% kind of growth, which we have been able to clock year after year. And with a INR 6,000 AWL Agribusiness

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crores plus of revenue this year, I think we have taken internal target that by end of FY '27, that is after 2 years, we should be able to clock INR 10,000 crores of revenue for the food.

On margin front, I think we have been saying this for quite some time that food will remain into an investment phase or a growth phase for next 2 years to 3 years and we'll continue to operate at an EBITDA neutral. That's where we will reach to a level where we have a decent market share and decent market penetration for all the products and from where you should start looking at the margins reflecting on the bottom line.

As far as organic and inorganic growth is concerned, of course, we will now -- given the fact that now Gohana has been delivered to us, from here, we should see our organic growth only. But we are not worried to the fact that any M&A opportunity coming in our way, we will certainly explore and try to grab it because that helps you to have a quick growth on the basket. So, that we will continue to explore and take it forward.

Sanjay Shah: Great. Sir, any comment on promoter support. Now, Wilmar is on the front foot. And after rebranding, how do you see the global expansion, sourcing advantage and promoter support from here on?

Shrikant Kanhere: Yes. So, promoter support will always be there. In fact, Wilmar is quite bullish on India. And if you look at the business in which Wilmar today is, is more or less similar to what we are today in AWL Agri business in India. So, we have all the support from Wilmar Singapore. And we do expect that from here, given the fact that Wilmar would be at a driving seat as far as the overall business operations are concerned, we do look at -- explore the opportunity of going even operations out of India.

So, that's something which is at a very initial stage. Right now, I can't be able to comment anything on that. But yes, the promoter support will always be there. In fact, it will be with a more force now given the fact that Wilmar has got a more say in their operations in India now.

Sanjay Shah: Right. Sir, my last question was regarding...

Moderator: I'm sorry to interrupt you, Mr. Shah. I would request you to kindly rejoin the queue for follow-up questions, please. Thank you. We'll take the next question from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes. Good morning. Just had a couple of questions. Firstly, on market share. So, you mentioned there was a little bit of a dip in palm oil and you mentioned it in the presentation as well. So, just wanted to understand what's happened there? Is it that regional players have gotten more competitive? And what are some of the things that we are doing to -- what are the actions that we've taken to mitigate this? And when do we see an improvement as far as shares are concerned? That's my first question?

Angshu Mallick: Okay. As you are aware that the palm oil prices being high, in fact, higher than sunflower oil, consumption shifted from olein to soybean in North and East and to sunflower in

West and

South. We lost almost 1.3% market share in palm oil. We are number 2 player. And obviously, AWL Agribusiness

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we have big share in olein and that we dropped because the high prices, obviously, consumption dropped.

We got incremental 10 bps in soybean oil. Sunflower oil grew by 20 basis points and mustard oil grew by 30 basis points. Overall, overall, our market share dropped by 30 basis points only because of olein. That is the story so far. Now going forward two, three things that we are doing.

One, palm has now started coming back into the pricing game, and it is today, if you ask me, it is cheaper than soybean oil, obviously, cheaper than sunflower oil.

So, traction has started coming and summer generally, palm oil is consumed more than winter.

So, we have started seeing the growth in palm oil, the consumption. So it is possible that we may recover our lost market share, one. Two is that rural market still consumes lower quantity, and we see great opportunity if we have a better reach. So last year, we increased our retail reach.

This year also, we will increase this 50,000 towns to possibly 60,000 towns. So, that direct coverage gives us the advantage of being present in smaller towns. Third is that we have flanker

brands, Kings and Aadhar, which we are going to promote aggressively. Already new

advertising has been done and we are going to shoot them both in digital as well as in television.

Some of the work has already started. We are sure we will catch the price-conscious consumers there. So put together A, B and C, I see we will regain our market share. Maybe we'll grow by

20 basis points, 30 basis points over last year. So, we will surely regain the lost market share.

Harit Kapoor: The second thing was on the food & FMCG side. So, how do we look at this segment going into

next year? So, I know you have a target of INR 1,000 crores, that's a 25% CAGR in revenue. But

just into next year, should we assume that first half growth should be a little lower given the high base, given the fact that you had some export of -- additional exports of rice last year as

well in the first half and a pickup in the second half of the year to get to that 20%, 25% growth

number? Is that the way to think about the trajectory of growth through the year?

Angshu Mallick: Okay. To start with the biggest segment of brand in staples is wheat flour. Wheat flour actually

was historically growing at 18% to 20% as per Nielsen. We were also doing very well. It's only last year when the wheat prices went up abnormally high, consumers shifted to Loose Atta or

buying wheat and making Atta themselves. So, branded share came down. And in fact, negative, minus 2% was the overall growth in terms of branded wheat, as per Nielsen. We did grow, but not that much.

This year, I think the wheat prices are much lower, already INR 4, INR5 cheaper than last year.

So, I think consumption story will be better, number one. Number two, rice prices are very low.

It is possibly the lowest in the last 3 years, 4 years, Basmati Rice and non-Basmati Rice. So, we

are seeing good traction, and I'm sure Basmati Rice and non-Basmati both will grow this year.

Besan prices are low and we have added two factories, one in Ahmadabad Kadi, which is a new

plant come up in March. That will add volume, as well as our Gohana plant will also start making wheat flour maida from

August, that will add volume. So overall, overall capacity increase will help us, lower prices. Lower inflation will help us. Third, overall government incentive in AWL

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income tax relief and their investments in capex will add to the consumption. So, I think overall, food basket should do better.

Harit Kapoor: Got it. Got it. And last question was on the modern trade side. So, you did mention some issue

s

there. If you could just talk about what were the problems and what have you done to kind of solve it?

Angshu Mallick: See, modern trade -- between alternate channel, modern trade and e-commerce, e-commerce is growing faster. There is no doubt about it, and almost 100% quarter-on-quarter growth. Annual growth will be more than 60%. Now, modern trade is left with two big players, Reliance and DMart and their rationalization of outlet or their reduction of inventory and all that has been slowing down the growth, the way we were growing earlier. Private labels have also come in, in these things.

So these are some of the challenges, but strong brand, obviously, we have an edge over others. But the growth-wise, e-commerce is any time growing much faster. So, these are the things in alternate channel.

Harit Kapoor: Got it. I will come back for more. Thank you.

Moderator: Thank you. We'll take the next question from the line of Adithya P from JP Morgan. Please go ahead.

Adithya P : My first question is on the edible oil business. If you look at FY '26, under the normalized operating scenario, what is the kind of volume growth that you will be aspiring for? And as an extension to your point on palm oil prices having corrected significantly over the last month, will there be any transient impact on your margins as a result of this or are there any hedging related impact that could come, which we should be aware of?

Angshu Mallick: See, on growth front, edible oil consumption we are hopeful of anything between 7% to 8% growth, although the country consumption is growing by only 3%, but we expect to do better than average industry, and we will continue to do, one. Two, palm oil prices coming down will help us because we are a big player in palm oil.

Possibly, we are the largest importers of crude palm oil and refined palm oil. And we have very good network of distribution of branded palm oil, plus we have a lot of institutional sales where we score over others in terms of supply chain management. So, palm coming down will help us to improve our volumes, reduce our plant cost and improve efficiency. So overall, overall, it's a benefit for AWL.

Adithya P : My second question is on capex. What will be the outlay that we can forecast maybe for the next couple of years?

Shrikant Kanhere: So on capex, I think we have done the IPO, capex just finished. So, we have enough capacities now available, whether it is a food or oil. We are already building 1 -- we are already running 1 capex of INR 1,000 crores which includes the wholly-owned complex in Krishnapatnam down South and a couple of small facilities for the Castor. AWL

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Besides that, I don't see a big capex as such coming up for the next couple of years, except for the fact that we may end up running some maintenance capex of close to INR100 crores, INR 120 crores, INR150 crores, plus any plant where we need to do a debottlenecking or anything. So maybe for a purpose of taking any number, I think for next couple of years, I don't think we would be spending more than INR 500 crores, INR 600 crores of capex for a year.

Adithya P : Just if I can squeeze in one more question. Can you just give us a bit more color on what will your margin profile look like across the different channels, say, quick commerce, modern trade and general trade? Will one of the channels be significantly more margin accretive versus the rest? It would be great if you could give us some color?

Angshu Mallick: See, margin-wise, normally, modern trade and e-commerce gives us little better margin than general trade. But you also need to spend more in modern trade and e-commerce to keep the products, particularly some of the slow-moving products or your focused products coming up the screen for buying purpose. So, we have to promote more than competition. In Basm

mati Rice, we have to promote more than competition.

So here, you have to spend money to do that. So on one side, there is improved margin because sales people cost reduces or something, but then you have to do more promotion within the channel to push your volumes. Overall, volume-wise that is how we have to play.

Adithya P : Thank you. Thanks for the opportunity.

Moderator: Thank you. The next question is from the line of Kunal Shah from Jefferies. Please go ahead.

Kunal Shah: Sir, my first question is regarding your guidance of this INR3,500, INR3,600 EBITDA per ton. Just to confirm, this is on an overall basis and does this include other income also or is it excluding other income?

Shrikant Kanhere: Sorry, your voice was breaking. Can you just come back maybe the full question again?

Kunal Shah: Yes. So, my question is regarding this EBITDA guidance of INR 3,500, INR3,600 per ton. Is this on an overall basis for the full business and does this include other income or is it excluding that piece?

Shrikant Kanhere: Yes, this INR3,500 crores INR3,600 crores which we are saying is for the full business, which includes all edible oil, food & FMCG, industry essentials. And it does include the other income also because for us, other income is also very much part of the business only because it's not

something which is -- you can't separate it with the business otherwise.

Kunal Shah: Understood. Understood. So then in that case, it's fair to say that this year was a one-off from a profitability standpoint for the full year as well despite a lower 4Q. And then Y-o-Y, we'll see some dip in profitability next year? That would be a fair understanding?

Shrikant Kanhere: Yes, yes, absolutely fair understanding. That is what we have been saying. For the quarter 2, quarter 3, we did see a favorable commodity cycle gain, one-off kind of cycle gain, which actually resulted into a better number for us in Q4 -- in Q3, particularly and to some extent, Q1 AWL

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and Q2 also. And therefore, when you look at the next year, the numbers would look not exactly the way we have been able to deliver this year, would be a little less than that.

I mean, to some extent, this will get compensated by the kind of volume growth that we will be able to get next year, but not the full commodity cycle one-off kind of gain, which we have seen this year will be there next year.

Kunal Shah: Understood. And on the volume growth front, if I recollect, there was some unbranded sales -- bunch of unbranded sales even in edible oils in the first half of this year. So, this 7%, 8% volume growth guidance, which you have just shared takes into account that, right? And it will be on -- despite that -- I mean, on that base, you should be able to grow 7%, 8% this year is the thought process as on today?

Shrikant Kanhere: Yes, absolutely. So when we say edible oil, it takes into account everything, everything which we have in edible oil, whether it is institutional or whether it is branded. So when we say we are targeting 7%, 8%, it includes everything, all kind of sales.

Kunal Shah: Understood. Understood. My second bit was on this GD Foods acquisition. Any thought process on the type of sales growth or scale up that you're looking at in this business, let's say, in the next 1, 2 years? And what are the kind of margins that you're looking at? Any synergies that you can gain out of it? If you can share some thoughts over there?

Shrikant Kanhere: Yes, there is quite a significant improvement that we should be able to do in this business. Typically, there are low-hanging fruits like we can just leverage our distribution. We are very strong in North. And this company is also more or less predominantly present in northern markets. So, leveraging our distribution itself can deliver into saving in the cost and improving

the volumes of the business, number one.

Number two, there is a lot of sourcing synergy that we can bring in because this company -- also company requires sugar. This company requires oil. This company requires Atta and maida and RFM, which we already have. So, we can leverage on that as well. Besides that, there are lot of channels where we will add in terms of distribution. This company is not very quite significantly active on e-com and modern format store where we are.

So, we can just bring in that also aspect into this business. So, we have absolutely no doubt that why we should not be able to take this company higher than what it is today. And I mean, we are hopeful that in the next couple of years itself, we can make the top line 2x of what it is today.

Kunal Shah: Understood. And my last bit is on -- can you just let us know what's the branded share of business for both foods and edible oil for the year and what should be the tax rate next year, just these 2 bit?

Shrikant Kanhere: So, branded share in food is quite high. So food is, in fact, more than 75% is branded because food is more of a consumer business. Edible oil, we do have a good chunk of institutional clients also. But in edible oil, it's close to plus of 60% is brand. In food, it is more than 70%, 75%. So AWL

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when you look at the overall scheme of the things, we have good 70% of business coming from the brand.

Kunal Shah: Understood. And then the tax rate that we should build for the next year, any changes that we should expect?

Shrikant Kanhere: Tax rate?

Kunal Shah: Yes, tax rate.

Shrikant Kanhere: Yes. So today, the effective tax rate of company is 25.8%. I think you can continue to assume 25% tax rate effectively.

Kunal Shah: Understood. That's all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Yes. So, I had just a follow-up on the opex side. We've seen the sharp increase in people cost over the last two quarters or so. I just wanted to understand what's driving it? Is it also the capex, Gohana, etcetera? Because we've seen two quarters of like pretty high people cost growth. So, just some outlook on that, employee cost?

Shrikant Kanhere: Yes. Absolutely fair observation, Har it. On people cost, there are two reasons. One reason you already mentioned that quite a few new projects, which have got delivered to us will require new man force, manpower to run the plant, number one. Number two, business as such is also growing. So therefore, with the growth of the business, you also have to add the manpower. So, this is the one. The second aspect, of course, given the fact that we had a superlative year in terms of the performance of the business, so we do have provided some kind of additional incentive in the people cost in the quarter 4 number. And that's why the quarter 4 number is looking a little more than the last quarter. And also for the full year, it is looking -- the cost is looking more. So it's a one-time kind of number. Otherwise, our people costs usually grow in the range of 10% to 11%.

Harit Kapoor: Great. Thank you.

Moderator: Thank you. We will take the next question from the line of Karan Bhuwania from ICICI Securities. Please go ahead.

Karan Bhuwania: Just one question. If you look at the growth of FMCG, right, it has decelerated over last 3, 4 quarters, right, from growing somewhere around 20%, 25%, we have come to like 9% to 10%. So, can you just help us understand what are the different growth rates within the subsegments, for example, wheat, rice that you're witnessing within that?

And given that we have a target of INR 10,000 crores revenue by FY '27, how should we look at this trajectory going forward, right? Because we asked for the CAGR would be somewhere around 20% to achieve that number, right? And the last question on that would be, you also AWL

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mentioned some supply chain issues regarding -- impacting your growth, right? So if you can explain what that issue was and what's the current update on that?

Angshu Mallick: Okay. So let's start with wheat flour. Wheat flour business is almost 0.5 million ton business for us and has been growing steadily for 25% over the last 3 years, 4 years. This year, it has slowed down for one big reason is that the wheat prices went up from almost INR 26, INR 27 in April, May, June to INR 32, INR 33, INR 34 in Delhi and maybe INR 40 in down South.

Now, what has happened is that the wheat prices going up so much impacted our branded consumption. And the consumption story dropped drastically because one, prices went up and consumption became more from loose than packed. So, we lost volume on that. Everybody in the industry lost volume on that. So, one reason is that.

Second is that when the commodity prices goes up, players like us get impacted immediately because the local players can manage with even lesser quality wheat and maida. They can make and they manage the situation. We can't because we have very strict quality control norms that

we have to manage. Otherwise, we can't pack it in our brand. That is one.

Now when it comes to supply chain, we have said rice is our second business, which is almost 400,000 tons per annum.

Here, our Gohana plant was supposed to get operational by October

when the paddy arrives, and we were almost getting ready. But what happened was that new

norm of getting pollution control came up for units located in NCR. And our Gohana unit is located in NCR.

So one, it has to work on biofuel. So, that is not an issue. Issue was that the government said that as per the law, the unit can only start after the Central Pollution Control Board gives us clearance

certificate. Now earlier, the clearance certificate was very simple to get. But with some High

Court order, I think they said there has to be a meeting, there has to be a presentation, and it took

1.5 months and then it got extended and then the permission came only end of December, January.

So, our 3 months, we lost on that processing of rice when paddy is processed and the supply chain become a little tight. Otherwise, rice would have done even better than what it has done.

These 2 are major players.

Then came our pulses and all that, where we don't think we have lost on anything, except that the growth subsided because matar was imported a lot and matar, as you know, Yellow Peas was priced half of Chana. So, people shifted to lower-cost matar besan, what they call, and we are in Chana besan. So obviously, that sales impacted. So, all these things put together reduced our growth 10%. Otherwise, 20%, 22% growth has been a steady performance.

Coming forward -- going forward, this quarter onwards, wheat prices have come off. We have reduced the prices and markets are getting back into action. Rice is steady. Gohana plant has started producing. So, things are much better than normal. I think going forward, we should continue to deliver 18%, 20% growth in food. AWL

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Karan Bhuwania: Thank you, sir. Best of luck.

Moderator: Thank you. Ladies and gentlemen, we'll take the last question for today which is from the line of Shirish Pardeshi from Motilal Oswal. Please go ahead.

Shirish Pardeshi : Thanks for the opportunity and good afternoon. I have three questions, Mr. Mallick. Starting with Gohana plant, which is operational and you say that about 95%, it is operational. I was more curious in FY '26, what kind of internal sourcing for rice and wheat milling will happen from this plant to our overall sales contribution?

Angshu Mallick: See, this plant can process roughly a

round 150,000 tons of paddy annually and roughly around over 150,000 tons, 200,000 tons of rice. So, that part is ready for use and going on. Mustard oil crushing is 600 tons per day. So, that has also started. Only solvent extraction, we are putting up this month possibly. So, solvent extraction will start. And then there is a refinery attached to it and packing. All these things will get ready by maybe May end, June early.

Only project that will come by August is the wheat flour project, which is a good, big project and that we will get only 6 months. I think that is around 15,000 tons per month capacity. So, that we'll get for 6 months. So, 100,000 tons, maybe maximum 100,000 tons, we can process wheat. All put together, this should be the Gohana's contribution to this year.

Shirish Pardeshi : So how Gohana to the overall, our sourcing capacity will add?

Angshu Mallick: That is what I said, around 150,000 tons of paddy we can source and process. 100,000 tons or little more rice we can process from the market. We can buy and process in the plant, which is rice-to-rice units that we have. And wheat, we have already started buying for Gohana, but we can use only from August onwards.

Shirish Pardeshi : Yes. So, can you spell out what is the wheat capacity we are looking with milling?

Angshu Mallick: It is 15,000 tons per month. 180,000 tons on the lower side, higher side [inaudible 59:51].

Shirish Pardeshi : Okay. Got it. My second and last question on the GD Foods. Is this integration will take some time or you're already done? Just tell us next 12 months plan because you have focused more on the integration and the synergies in terms of distribution and getting the leverage. But I'm more curious because this company also has some biscuits part.

And at this point of time, biscuits also looks very, very competitive, though they have very good full scale of pantry items and other things. But then just I'm more curious how next 6 months we should be monitoring the progress of GD Foods acquisition?

Shrikant Kanhere: So, you rightly said, I think GD Foods, we have already started interventions in distribution and on the sourcing side. But as far as our understanding is concerned, this company is not into the biscuits. They do have a long tail of products in terms of cake mix, in terms of ready-to-cook kind of -- ready-to-eat kind of products, but not exactly into the biscuit. And we, to be very frank with you, we have no intention to get into this field also. AWL

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But on intervention side, yes, we are very aggressive. We have already started intervention. In fact, it's only 20 days, 25 days since we actually achieved the closing. But our team is already there sitting in the GD Foods, trying to work out different models on distribution, how we can leverage our C&F, how we can leverage our distributors because more or less, the general trade segment is more or less similar to what we are today addressing. One is that.

And second, of course, sourcing, we have already started intervention because lot of their raw material, which is there -- already there in our scheme of the things, whether it's sugar or oil or maida or anything or a besan. So, that has already started. We would be doing a lot of other interventions also in terms of putting more money for the working capital, putting more money for expansion wherever is required.

So, that will continue to, I mean, do. And I think in every quarterly call, we do certainly give update to investors that what we have done in this company and where we are today.

Shirish Pardeshi : Okay. All right. Thank you and all the best.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Shrikant Kanhere: Yes. Thank you, everyone

ne for attending our call to track our company and do attend our future calls also to understand the business. Thank you again and good luck. Thanks.

Angshu Mallick: Thank you so much to everyone.

Moderator: Thank you, members of the management. On behalf of ICICI Securities, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you. AWL

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Call: Jul 2025

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July 18 , 2025

BSE Limited

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Scrip Code: 543458 National Stock Exchange of India Limited

Exchange Plaza

Bandra -Kurla -Complex, Bandra (East)

Mumbai – 400 051

Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call of Q 1 of F.Y. 2 6 of AWL Agri Business Limited

(Formerly known as Adani Wilmar Limited) ("the Company")

This is in continuation to our earlier letter dated July 15 , 202 5 regarding audio recording of Q 1 F.Y.2 6 Earnings call held on July 15, 2025 . Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You,

Yours faithfully,

For AWL Agri Business Limited

(formerly known as Adani Wilmar Limited)

Darshil Lakhia

Company Secretary

M. No: A20217

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"AWL Agri Business Limited

Q1 FY '2 6 Earnings Conference Call"

July 15, 2025

M

MANAGEMENT : MR. ANGSU MALICK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – AWL AGRI BUSINESS
LIMITED

MR. SHRIKANT KANHERE – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– AWL AGRI BUSINESS LIMITED

MR. SAUMIN SHETH – CHIEF OPERATING OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Conference Call of AWL Agri Business Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this call is being recorded. I now hand the conference over to Mr. Dhiraj Mistry, analyst from ICICI Securities. Thank you, and over to you.

Dhiraj Mistry : Thank you, and welcome, everyone. I would like to welcome all for Q1 FY '26 AWL Agri Business Earnings Call. We have with us Mr. Angshu Mallick, CEO and MD; Mr. Shrikant, Deputy CEO and CFO; and Mr. Saumin COO. I would like to hand over the call to the management for their opening remarks. Thank you. Over to you, sir.

Shrikant Kanhere : Yes. Thank you, and very warm welcome to everyone who is participating in this call of AWL Agri Business for the Q1 FY '26. As a ritual, we will take you through a brief presentation. And after the presentation, we will open the floor for questions and answers. We'll be happy to answer the questions from all of you.

We'll start with the results summary. Q1 '26, we closed at a volume of 1.58 with a revenue of plus of INR17,000 crores. We have 21% upside in revenue. However, the volumes were down by 5%, predominantly on account of G2G business of Rice, which we had last year, which was not there this time. If we normalize with that, this volume degrowth would be close to 2% instead of 5%, EBITDA at INR572 crores and PAT at INR 238 crores.

This margin, of course, has seen a drop as compared to Q1 '25, predominantly because of high base year. When I say high base year, it's basically because of the favorable commodity cycle that we had entirely last year in FY '25, which also made FY '25 one of our exceptional years. For Q1 '26, when we look at per ton gross margins and EBITDA, we have been able to deliver these numbers in line with the expectation in line with what we have been delivering over the last couple of years, EBITDA of INR3,600 crores plus per ton and gross margin of INR11,121 per ton.

When we look at a quarterly profit trend, so it's growing healthily. Stand-alone EBITDA normalized at a quarter trend at INR 484 crores as against INR 465 crores of the last quarter. So it's been within the trend. When we look at a consolidated EBITDA normalized for last 12 months, I think it's been it's consistently recording INR 2,000 crores plus for last 4 quarters.

Similarly, when we look at a quarterly trend on a gross profit margins per ton, it's consistently showing INR10,500 kind of level, which we have been saying for quite some time that this is what a normalized level of gross margin that we would be delivering. Average EBITDA per metric ton close to INR 3,500 per ton this quarter, and this is in line with our expected numbers.

The market contains the edible oil prices where we have seen finally that palm oil prices coming down and finally been going below soya bean and sunflower, the last year throughout the year,

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what we saw was the palm oil remaining quite expensive. But by end of this quarter, finally, palm came down and now been priced below soya and sunflower.

Oil imports for the country for the oil year '24 and oil year '25, what we have seen since November '24 is that November '24 was the only month when India imported more than last year. However, since then, in December, January until March '25, what we have seen is total imports in India has come down predominantly, of course, because the palm remaining quite expensive oil as compared to soya and sun, which finally now been corrected. So

our expectation is that going forward, we should see a different trend of imports coming in into India.

On industrial trend, this is as per the Nielsen, the edible oil, including mustard, which is on refined consumer pack, the edible oil has not seen any encouraging number when it comes to industry for the Q1 '26. The rural grew by 3%, whereas urban grew only by 1%, but the overall industry, more or less remained flattish at 1%. Similarly, in the Wheat Flour, the overall industry grew only by 4%, with degrowth seen in urban areas, whereas rural area was growing at 19%.

When we look at Basmati, of course, for this, we don't have a rural and urban breakup, but overall, industry in Q1 '26 grew by 7.8% versus 5.5% that we saw full year last year. For the

business update: on Edible Oil, we did close to 960,000 tons of volume; Food and FMCG 260,000 tons; and Industry Essential, 360,000 tons, delivering an overall volume of 1.58 million

tons, which is down by 5% as compared to last year.

On revenue front, of course, the revenue grew by 20%, predominantly because of the prices of edible oil going up, staying high as compared to the last year. That's the reason why the revenue grew by 21%. But when we look at these numbers, excluding the government-to-government business of Rice that we had opportunity to do last year, if we exclude that, the degrowth in volume is flattish at 2% negative, whereas revenue grew by 21%.

On overall company highlights, alternate channel for us continues to grow. Now revenue at INR 3,900-plus crores maintains a strong growth momentum. Quick commerce continues to excite us and it's growing very fast, increased by 73% in Q1 and 79% on Y-on-Y basis last 12 months.

Branded export is another thing where we saw encouraging numbers. It grew by 22% and has now surpassed INR 300 crores of revenue. Q1 EBITDA at INR 520 crores, down by 60% due to a high base of last year. And when I said high base, it's more to do with the favorable commodity cycle that we saw last full year. Strong last 12-month EBITDA of INR 2,384 crores, which is quite close to one of the highest numbers which we have posted last year of INR 2,474 crores in FY '25.

Overall volumes declined by 4%. Excluding palm when we look at Edible Oil, revenue at INR 13,415 crores, up by 26%. Raw material prices in Q1 was around 30% higher as compared to base quarter, and that's why the revenue in Edible Oil grew by 26%. Q1 volumes were impacted by multiple headwinds, expanding -- so we do expect improvement in coming quarters. Palm oil prices have now dropped below the soya bean prices, as I said earlier, leading to normalization of our palm oil sales towards the end of the quarter.

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Also the recent reduction in custom duty has also curbed the imports of refined edible oils from some of the SAARC countries under the free trade agreement, and we expect that this will have some kind of favorable impact on the volumes that we will be able to post in the coming quarters.

Edible Oil portfolio, when we look at for the last 3 years, continues to grow at 11% CAGR. Quarterly trend sales grew at 5% CAGR and of course, we've been able to sustain the EBITDA trend also at plus INR 350 crores. The capacity utilization in Edible Oil is at a comfortable level of 59%, 60%. So we have enough capacities left to absorb any future growth that may come up. When we look at the Food & FMCG business, we clocked a volume of 260,000 tons, down 5%. However, the revenue at INR 1,400 crores plus is 4% plus. If we remove -- excluding G2G business, it grew by actually 4% year-on-year in the first quarter. The profitability for the Food business in Q1 has improved.

Of course, there are some interventions that company has done on rice, wheat flour and other wheat products has resulted into this profitability. Wheat Flour business in packaged atta gained market

share in last 12 months. So now, our market share has gone up to 5.5% against 5.3%.

Pulses and Besan continue to show a strong trajectory, both grew in a strong double-digit growth in Q1.

Soya Nuggets, one of our subsegments in the Food, continues to grow in double digits and also continues to grow on the margins as well. Sugar and Poha also, we have seen encouraging results where it grew by double digit. When we look at the Food & FMCG also in the last 3 years, the volumes grew by 11% whereas the revenue has grown by 18% in last 3 years when we look at the last 3 years' quarter. Stand-alone EBITDA is something consistently we have been able to grow is at INR 82 crores in Q1 '26. We are adding new capacities in the Food. And after this IPO project completion, we will have more capacities coming in, into the Wheat Flour as well as Rice business, which will help to grow these businesses.

Industry Essential, we did a volume of 360,000 tons with a 6% year-on-year growth with a revenue of INR 2,230 crores, which is again 12% plus, and our segment result of INR 100 crores. This is basically Oleochemical and Castor, where both these businesses are doing fine and are today at 100% capacity utilization.

When we look at the subsidiary, the recently acquired GD Foods, which is a manufacturer and also have a brand Tops, which is quite a strong brand in North India, manufacturer of sauces, pickles, jams and various condiments. The revenue for Q1 was at INR 96 crores, which is up 9% year-on-year. We have seen healthy profit also coming up from this acquisition. There are a lot of key interventions.

It's only 75 days since we actually took over this company. We have done a couple of interventions and initiatives post acquisition, which includes rationalization of manpower, setting up strong controls and process institutionalizations around the processes. Leveraging

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operational efficiency, operational synergies with AWL is one of the things which is under process right now.

So the plan, of course, is to leverage AWL's distribution as much as possible so that we can grow the basket of this -- market of this company from North to other territories in India. And of course, we would try and do some bundling with the Fortune products so that this product reaches to more and more consumers.

Automation is something, which we are looking at to see how can we automate the processes because currently, many of the processes are still on a manual. And of course, the objective of all these intervention is to bring in more and more operational efficiency into the entire process.

On Bangladesh, I think the situation or the current status of the business is stable. For last 2 quarters, we have seen no major hinderance in doing business. The liquidity is quite available, dollar availability is there in the country. And we have been able to do a business really without any intervention from the government. So while the Bangladesh, the World Bank has set GDP growth at 4% level for the '24-'25 calendar year, we hope that even with this kind of growth also, our business should be able to grow.

With a fresh liquidity from IMF should also further improve their foreign exchange reserve for the country. And therefore, our expectation is that at least for next 1 year, the things would remain stable in the country and our business should be able to do what we used to do before the turbulence.

On GTM and Q -com, now we reach close to 870,000 outlets directly. And the growth in urban outlets is 11%, whereas growth in rural outlet is 26%. Our rural town coverage now has gone up to 55,000. In March, we were reaching close to 50,000 tons . So this has actually added more infrastructure for us to grow in a rural area. We have been doing a lot of interventions to ensure that food and oil, that the entire distribution is used both for t

he oil as well as the food.

We are also doing a lot of intervention in technology side, 100% of sales now carries SFA software. Similarly, we are implementing auto replenishment system to reduce fill rate gaps for

e-com and other players, including MFS. And also, we are experimenting on the depot networking and delivery models for a limited product assortment in the rural depots.

Q-commerce continued to excite us. In Q1 '26, the overall alternate channel grew by 12%, whereas the e-com grew by 33% and Qcom grew by 73%. That's encouraging, I think, and it's continues to grow fast. We are sharpening capabilities to optimize sales in this fast -growing Q -com channel by doing a lot of things like improved product assortment, better availability. We are also trying to track the competition prices and their offers, which are available on the site and also the data -driven promotion that is something we are resorting to.

And we look at the return on capital employed. For the last 12 months ended June '25, Edible Oil delivered an ROCE of 18%, whereas Food & FMCG 2% since it's still under the growth or investment stage; Industry Essentials at 17%; and at the overall company level, we delivered ROCE of close to 11.5%, 12% kind of number. So -- while this ROCE will continue to improve

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as we go forward from here on a 12 -month basis. When we look at ROCE and capital employed for last 3 years trend, the Edible Oil is consistently improving from 14% to now going to 18% in last 12 months, June '25. Food & FMCG continues to stay within the range and similarly, Industry Essentials, consistently doing 15% plus kind of ROCE.

On marketing side, there are a lot of interventions that we did from rural penetration to high -impact rural branding and all that. These are some of the glimpses of all the events that we did to capture a lot of festivals, whether it's a Bihu or any other even including Rath Yatra, which has recently concluded.

The recently released Nielsen report now suggests that AWL is the eighth largest player in India's FMCG sector. This is by market share in -- which they have come out in Q4 '25. So now AWL is ranked two in value growth, and it is now ranked six in the volume growth among the top 10 players. So when we look at in value terms, after the Mondelez, AWL is second. And when we look at the volume growth, we are the sixth after Mondelez, Parle, HUL, Britannia and Nestle.

ESG, we continue to do our bit on all, environment and social and governance part. We have been trying to save -- doing a lot of projects to save the cost, whether it's a steam or power or water. We have been continuously planting trees. June '25, we plant ed 190,000 trees. We are consistently working on putting solar panels for our renewable energy into our plants. So now 16 locations have got renewable energy and close to 10-megawatt of energy is manufactured or supplied through renewable sources, which i s close to 11% of our overall requirement.

We continue to do a lot of work on rainwater harvesting, and we also continue to do how can we use or reuse the water. And in that direction, we have installed zero liquid discharge system in our 11 plants with a capacity of 3,100 kiloliters per day.

On logistics front, we are discussing more and more through multimodal. So close to 22% of our dispatches are through multimodal and dispatches through the green fuel, which is CNG, is close to 10%. We have been awarded green points by the Railway for dispatching goods through Railways, which is a green energy use for dispatches. And we do have inclusion of AWL in FTSE4Good Index also.

So this is all from my side, as far as the brief presentation on the performance of the company is concerned. Now I will request moderator to open the floor for question and answers. Besides me, I have Mr. Mallick and Mr. Saumin Sheth, and we'll try to

answer your questions. Thank you.

Moderator: We'll take our first question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: I have two questions. My first question is on Rice business. Since the time you acquired Kohinoor, what were the initial expectation and what will be the expectation in the next 1 to 2 years? And what could have been done differently? If I see performance of LT Foods and other listed players, we see their stock and their business doing far better.

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I do understand they have a big export business, which makes their business model very different. But given that constraint and given the kind of performance we have seen last 2 years, what is the way forward in this business? I know it's a challenging business, but what will be the way forward. Next 1 to 2 years, where do you see the Rice business?

Angshu Mallick: Okay. Abneesh, good question. First is that Kohinoor we have acquired in May '22 is for the domestic operations. Export rights still continue with the original owners. So our job was to expand Kohinoor in domestic market. When we took the brand, the volume was around 37,000, 38,000 tons per annum. And from there, we have now pushed it to around 45,000 tons. Not very big volume jump, one of the principal reasons that we did not have our own plant to support the large manufacturing.

So we had outsourced or hired four plants in Haryana to match the requirements for both Fortune and Kohinoor. But this year, with our Gohana plant now getting ready and has started operations, we are confident that the supply chain will become much more robust because when you want to go for expansion or -- both domestic and export, you need your own facilities, one, and buyers from abroad want to see our facility. So at least now that is ready.

As far as Fortune is concerned, we are already exporting to over 45 countries, and we have very good market share in Australia, New Zealand. We are doing well in Middle East, and we are looking for expansion in Europe, Saudi and U.S. Now obviously, when you look at the competition, they are formidable. They have been there in this business for over 40 years. So obviously, they have a first mover advantage.

We have slowly built it up. Now Basmati Rice is growing at double digit this year and our market share has grown. So going forward, we are confident that Fortune and Kohinoor put together will become a formidable third brand -- third big combined brands together to fight the first two, and that is one.

Abneesh Roy: Right. And what will be your current market share in rice in India?

Angshu Mallick: MAT, if you see 8.3%, MAT June. But quarter-on-quarter, we have been growing -- MAT is 7.3% -- 7.6%? Okay, MAT is 6%, but this quarter is 8.4%. So quarter ending June is 8.4%. So that we have done a little better. So it is slowly growing but I can tell you that we are on the track to get higher market share in days to come.

Abneesh Roy: Understood. Now my second question is on the Edible Oil business. So when I see the gross profit and EBITDA, both are down. This is from a P&L perspective in the rupee terms. So they both are down Y-o-Y and quarter-on-quarter. I do understand in Q1, the volatility was on the higher side. Now that duty cut has happened, if you could clarify, because of the duty cut or because of any other reason, was there any inventory loss you want to call out in the Edible Oil business because of these two?

And now assuming volatility is less and I did hear your interview in the media post results, how do you expect the gross profit and EBITDA from a rupee terms? I do understand you measure from a per liter or per ton perspective, but ultimately, from a listed company perspective, P&L

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in rupee terms is also equally important. So from that, how do you see t

he Edible Oil business?

If you could answer all of this.

And from an urban demand, when I see consumer update of other listed companies which have

come, they are saying urban, there is some bit of recovery. Some are saying good recovery, some are saying worst is behind. In your opening comments, I did not find that. So if you could comment from an outlook perspective, in your core business, how do you see the urban demand?

Angshu Mallick: So first, I will start with urban demand. If you see Nielsen report, they are saying -- last year, that is Jan, Feb, March '25, that is Q4 of last year, there was 0 growth. And this quarter, they are saying is 1% growth. Now in Edible Oil, we have seen country has imported less. The prices were on the higher side, and that is the reason possibly the government thought of cutting the import duty. And edible oil has not seen much growth both out-of-home consumption, institute consumption as well as in-home consumption. But going forward, what all has happened. One, duty cut has reduced the price by almost INR 8 a liter, that is one. Two, between CPO and olein, the differentiated duty, which used to be around 7.5%, 7.25% has now become 19.25%. That is one. That's a big jump that we have seen, which industry always wanted. And companies like us who have very large palm oil refining capacities will surely gain in terms of capacity utilization and reducing the cost.

And second, palm oil coming down is another big advantage for AWL because AWL is the largest importer of palm oil in the country. So when the prices are low, institutional business are good, household business will also be good because palm oil has a very large household base in South and parts of Eastern India. So we see, and AWL being the second largest brand, so obviously, we have all the advantages to capture. So I think going forward, AWL is well poised for growth in Edible Oil. Now as far as margin is concerned, Shrikant, you can talk.

Shrikant Kanhere: Yes. So Abneesh, on your margin question, I think very fair question to ask that at the end of the day, what is the absolute EBITDA that you see that Edible Oil will be delivering. I think assuming that we continue to deliver the per ton EBITDA margins of anywhere between INR3,600 to INR 4,000. That is what Edible Oil has been delivering for last couple of years. And the volume growth, which we have always been saying that in Edible Oil, we cannot grow more than single digit, which is 5%, 6% kind of number. With that -- keeping that in mind, I

think the range of EBITDA -- range for EBITDA in absolute terms for Edible Oil can be anywhere between INR 375 crores to INR 400 crores for the quarter, as we go forward.

Abneesh Roy: And any inventory loss you want to call out in Q1 either because of the duty cut or palm oil volatility?

Shrikant Kanhere: No. So duty cut whatever the -- I would not call it an inventory loss as such. But whatever hit has to be taken, we have already taken and that is reflected in these numbers. But as we go forward, if things stabilize and palm prices remain below soya and sunflower, I think we will --

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we should get better palm demand, and we should improve more margins and more margins should be able to help us getting better absolute EBITDA for the edible oil.

Angshu Mallick: On this Abneesh, I would say that -- see, the duty cut was quite steep, 10%. And at any point of time, there are packed oil inventory and some of duty paid stocks in the plant because you run the plant on a continuous basis. But the brand supports such kind of shocks, at least minimizes it to a large extent. So we have overcome that, I would say, well, and still continue to deliver as promised in our EBITDA terms.

Abneesh Roy: Sir, on the urban demand, one last follow-up question, and I did not get the clarity. Let's leave aside Nielsen numbers because

it may or may not be giving the true picture. My question is you did say because of palm oil price correction, you do expect both B2B volumes and B2C volumes to go up and that's a logical statement to make given the overall cost is down, food inflation and general inflation is at a multiyear low. So what is your personal expectation on volumes given all this? You'd be expecting a good recovery, right, the next 3 quarters on the Edible Oil volumes?

Angshu Mallick: See, Q1, we lost 1% in palm oil, as simple as that, and that is because of the high prices of palm oil. That reduced our market share as well as we didn't grow. Now going forward, these changes that has happened is adding benefit to us because we have the largest infrastructure for refining palm oil in the country. We have the largest capacity to refine crude palm oil to refined palm oil, and that gives us a lot of strength.

And with the differential duty now so good that importing olein will not be viable. So these are some of the advantages that we have. Second, with palm oil coming down, there are a lot of markets where palm does better, and we have an advantage. I think single-digit growth surely should be there.

Moderator: We'll take our next question from the line of Harit Kapoor from Investec.

Harit Kapoor: So my first question was on the FMCG side. This quarter, you have a clean kind of more branded base because there is not the government orders. And you've also reduced the share of the non-Basmati business, which is -- which seems to have resulted in like 5% kind of an EBIT margin for this business. I just wanted to get your sense on given that you've done this consolidation, how do you see the profitability for this business for the year?

Because the year has started off better than what you would have earlier expected or at least on

the margin side. So I just wanted to get your sense because this is the highest EBIT margin you have done in your quarter -- the highest absolute EBIT you've done in the quarter. So could you just help us understand the trajectory of this profitability for the balance year?

Angshu Mallick: See, all these days, we have been very clear that we want to drive volume. And we felt that is the most important thing. And we have been driving volume at the rate of almost 18%, 20% per annum, we were growing in food. Then we found that there are certain places where we can relook at the strategy where the brand share is not so high and ability to earn higher margin was not there.

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So we started consolidating the regional rice or what you say non-basmati rice. Now in non-basmati rice, there are a few pockets which are very good, like say, Sona Masoori in South or Miniket, Banshakathi. These are all brand-driven and we drive it through our brand where we have good margin. So we have concentrated in these markets and these type of rice and got out of U.P. and Bihar rice where we were not making any great money.

In Basmati, we found that there is great opportunity to increase volume and increase margin, and we have been pushing brand, both Kohinoor and Fortune. And you would see that in our market share, one, more retail penetration and visibility of the brands in terms of rice availability.

So we have done a lot of schemes and worked with Reliance and other retail outlets.

Within e-comm also, we have done a lot of work to create visibility of the brand. So in Food, we have been concentrating both on top line and bottom line together last one quarter. But going forward, once this is stabilized, we will surely push volume because that is what will give us advantage in years to come.

Harit Kapoor: So this margin number is, you would say, a little bit, not one-off, but it's not reflective of the fact that you want to drive up the volumes further. It's a kind of quarter of consolidation at the bottom end. And then ho

pefully, you will drive up the volumes again, which brings this number down a little bit, but still maybe a little bit ahead of what you were probably expecting. Is that the way to think of it?

I mean, is there a broad range that you think you can -- you can talk about for this year and where you will be on this side? Or is it still that kind of low single-digit number that you will go for, for this year and then can expand it over a period of time once the scale builds up?

Shrikant Kanhere: No, I think, Harit, what you understood is absolutely right. That's what Mr. Mallick said, that while in this quarter, we tried to consolidate some of the business, and therefore, the margins -- the resultant margin, that's what you are seeing. But as we go forward, I think this business will remain in investment and growth phase, for sure. It's not that we are now would be concentrating only on the margins. But of course, with a complete focus on the top line with an eye on the margin as well. And therefore, not necessary that we can replicate what we have been able to deliver in Q1. But yes, our commitment to grow the business volumes by double digit is something which we want to drive. However, having said that, the margin structure will surely be better than last year.

Harit Kapoor: Very clear. So just one question on the oil side as well. I know you spoke of this. Was that -- this quarter, it seems like there was any inventory loss in June, that would have, I would say, partially been offset by the derivative benefit that sits in your other income, but also shows up in your EBITDA plus other income segmental number?

Is that the right way to think of it because if I look at the EBITDA, it is still in that INR3,500 crores to INR4,000 range on the edible oil business. And if that's the case, then I would say this quarter also is broadly representative of what you should be doing going forward, maybe a little plus and minus?

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Shrikant Kanhere : Yes, absolutely right. I think what you have seen in this quarter, more or less plus minus we would be doing as we go forward from here. And therefore, when you look at -- because the entire scheme is like this. I mean that's where the hedging comes into the play. You have an inventory loss. It has to be compensated by hedging gains.

And therefore, one should look at putting everything together and your reading is absolutely right. So this is our normal run rate of EBITDA, otherwise also and we should be continuing to deliver in coming quarters.

Harit Kapoor: Great. And one last thing. Even on the industry essentials this time, the profitability looks a little bit on the higher side. Is that in your view also a little bit of -- in a way, a little bit of a one-off, INR100 crore s EBIT for the quarter and if so in which part of the business? Is it in oleo, is it castor, is it in the de-oiled cake side where the numbers are a little higher?

Shrikant Kanhere : Yes. So absolutely right there are three elements to it. One is castor, oleo and the other business, which is basically de-oiled cake of soya, castor and mustard. I think the EBITDA which you are looking for this quarter is actually on a higher side and not necessarily you may see in the coming quarters because there is one-off in our de-oiled cake business.

But our endeavor, of course, will remain to see that we continue to match this, but depending upon how the markets behave.

Harit Kapoor: Got it. I will come back. Thank you very much.

Moderator: Thank you. We'll take our next question from the line of Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed: Yes, sir. Good evening and thank you for giving me the opportunity. Sir, I have a couple of questions, first on the Food & FMCG margin side. So like with quarter 1 delivering INR75 crores PBT and 5.3% margin in Food &

FMCG business. So can we expect this segment to be positive EBITDA in every quarter going forward for FY '26 and especially after post Gohana ramp up? What was your view on this?

Shrikant Kanhere: Yes. I think what -- this is what we have been saying on the food, that food business today remains in investing in growth phase and our -- and we, by default are running it as a break even on the EBITDA kind of level. So whatever number you have, you are looking at for the first quarter.

And this is what we were explaining is something which came out of some consolidation that we did in rice business. But going forward, all the other quarters, I think you should see the food business doing -- giving better EBITDA than last year, that is what I can only say.

Rehan Saiyyed: Okay. On the next question regarding the geography expansion, like after achieving a strong margin in South India, which is under-penetrated region what are our next key focus for branded sales expansion in this segment in this area?

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Angshu Mallick: See, we have to see product-wise expansion. Now South India, still I think should continue to be in our focus because if we want to increase our palmolein packed oil business, sunflower oil business and atta business and basmati rice business, then South India is the largest market and the best paying market.

Let us be honest on that. So all these four products go together in South. So we will concentrate in South and work more hard so that we get into better markets and more shares. We are not having great share there and we have great opportunity to do that. Second is Maharashtra and Madhya Pradesh, these are some of the potential market for soya bean oil and we feel that we can do better.

And with our Hazira plant now having better stocks, both sunflower and soya bean, we will be able to supply better. Haldia also we have expanded our soya bean facility. So Chhattisgarh was always covered from Haldia, where we had shortage of oil. So now with the 1,500 ton plant new coming up there, which has already commenced operation, our supply chain is now much more robust.

And this year, coming July, August onwards when the festive season starts, we should do well.

So everywhere what we do is that each market, we are seeing which product does well and then we are going ahead.

Mustard oil also has a great potential in rural market of UP, Bihar, Bengal.

So we are putting a separate brand and separate teams to only work in the rural market. So product by product, market by market, we are segmenting and then moving ahead.

Rehan Saiyyed: Okay sir. Thank you for declared explanation regarding this. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Kunal Shah from Jefferies. Please go ahead.

Kunal Shah: Thank you for the opportunity. So my question is on this regional rice consolidation. Can you give us some sense of how big the business was, let's say, last year, full year? And by what percentage have you scaled it down to, if you can give some sense on that, in absolute crores terms would be helpful?

Angshu Mallick: See, last year, full year non-basmati rice, we were doing something in the range of around 50,000 tons, 60,000 tons, which were principally from Bihar, Uttar Pradesh. Then we had two plants in Raichur, one in Karatagi. So we have consolidated there, one in South. Then we were doing something in Maharashtra.

Then we did some plant in Gujarat, Khambhat area. So we have consolidated all of this and we are trying to see where there is an association of brand, we are going ahead with it because e-commerce is now doing well in non-basmati particularly 5 kilo and 10 kilos. So we are trying to push regional rice through more through e-commerce, more through modern trade, more through e-class outlets. So that there is brand saliency and we

get much more better margin.

Simply trading in non-basmati doesn't give any great margin or only it gives you volume. So we have tried to consolidate it and trying to put more concentration in our Gohana plant where new

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basmati line has come up, which will add to almost, say, 200,000 tons of basmati rice we can process there. So we are concentrating to build that volume.

Shrikant Kanhere : So, Kunal, just to answer your question, last year, same quarter, we had an NBR volumes of close to 180,000 tons. Now these 180,000 tons includes that G2G business also which was a very sizable business. Against this 180,000 tons, this quarter we did 60,000 tons . Now if you normalize with that G2G business also, it's quite a significant reduction of 30%, 35% on the NBR portfolio. And as Mr. Mallick said earlier also, there are certain varieties of NBR where now we are coming out and we would be only focusing on the branded NBR rather than trying to sell it on a bulk basis or a loose basis.

Kunal Shah : Understood. So my -- what I was trying to arrive at is this growth excluding G2G of, I think 4% in Foods, which you have shared. If I were to also take out this regional rice, what would that number look like if you can give any sense on that?

Angshu Mallick : Almost 0% growth then

Kunal Shah : In volumes?

Angshu Mallick : It will be flattish. If I take out the G2G and the regional rice, which we have stopped, if you take that out, so it will be almost flattish growth, indicating that wheat flour business can be pushed further. But bulk pack in B2B business was a little less this year. So pulses also did not do as well as we expected because the government had opened up the yellow peas import.

So the market of pulses came down, particularly chana and we have very big chana processing capacity, both chana to chana dal, chana dal to besan. So that market also we found that it did not grow the way we expected.

Kunal Shah : Understood. So roughly flat volumes if both of those are excluded. The second related question was -- so I remember last call, you had given this long- term 2 year, 3 year expectation of INR10,000 crores in revenue. Any thought on how -- I mean, I think our earlier expectation was FY '27. But any thought on where -- when do you aspire to reach that number now, given you are taking this consolidation?

Angshu Mallick : If you take the last 12 months, it is around INR 6,100 crores. Exit this year, March '26, we should be in the range of around INR7,000 crores. And then we need another 30% growth to grow. So volume growth and value growth, both will happen simultaneously because basmati rice is at its very low prices. We see an opportunity to grow basmati rice both volume and value.

Dal, besan, our new lines have come up in kadi this year. So that will add to our top line and bottom line. Our Gohana plant will be ready. So the flour mill will be ready by September -- August, September. That is a 350 ton refined plant, 200 ton chakki atta. So that will add to our top line, bottom line. All put together, we should be very close to 10,000 by exit '27.

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Kunal Shah : Understood. That's clear. And the second is on the GD foods business. So you mentioned INR95 crores, I think, turnover this quarter. What's the sort of EBITDA margins that this business can do, let's say, in 2 years, 3 years from now? I mean not looking at any near -term guidance, but from a 2 -, 3-year standpoint, what's the sort of number which you would aspire to do here?

Shrikant Kanhere : No, I can give you what this business is delivering today. So this business is today delivering a gross margin of 52% and EBITDA margins of close to 11%. So that is already there. I think as we consolidate these operations and we do product interventions from AWL in terms of sourcing and

our distribution and we take the volumes up, surely, we should be able to deliver better than what it is today.

Kunal Shah : Understood. That's -- and just final bit, with Gohana now done, what should be roughly the c apex on a full year basis this year? And I mean, do you think INR 500 crores to INR600 crores, that should be it, right?

Shrikant Kanhere : Yes, I think that should be enough because after Gohana, we have enough capacities. But in our business, the c apex keeps happening because of your territory expansion or market expansion. So you can assume -- safely assume INR500 crores, INR600 crores of c apex every year, of which INR 100 crores would, of course, would be maintenance c apex kind of number.

Kunal Shah : Understood. Thank you. That's all from my side.

Moderator: Thank you. We'll take our next question from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor: Sir, just one bookkeeping was on the interest cost side. So it's a bit lower this quarter. Also with the reduction in the duties, your payables or trade cuts, however you classify that, that also will go down because inventory requirement just comes down in rupee terms. So should that benefit you a little bit on the interest cost side, going forward also, is that a factor also next two, three quarters, we should expect?

Shrikant Kanhere : Yes. So interest cost ideally should go down in next quarter. So when you look at -- look from

a quarter -to-quarter, like if you look at quarter 2 on quarter 1, it should go down. However, the quarter 2 versus quarter 2 of last year, it may not because quarter 2 last year, we didn't have this duty hike and all that because duty hike happened in September '24. So that rationalization may happen over the year. But yes, with this duty cut and interest rate softening, we should see savings on the interest as a whole.

Harit Kapoor: Got it. That answers my questions. Thanks.

Moderator: Thank you. We'll take our next question from the line of Dhiraj Mistry from ICICI Securities. Please go ahead.

Dhiraj Mistry : Hi, good evening, sir. So my first question is regarding this alternate channel. So we have been seeing very phenomenal growth, especially from the quick commerce channel. And it is now contributing a very large portion of our overall revenue. Can you give us some clarity in terms

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of what kind of products we are selling or, let's say, what kind of mix we have in that? And likewise, what is the profitability when we compare it with the general trade channel?

Angshu Mallick : Okay. As far as e-commerce is concerned, in e-commerce now mostly everybody is now becoming quick commerce. So when I say quick commerce, we have both food basket and edible oil basket. All our products, all our brands are registered and we have complete range available in all the channels. That is number one.

Number two is that in oil, we have almost 35% to 40% of the share. And some of the oil like rice bran, mustard, we have over 50% market share in any of the e-com channel, whether you take it Zepto or Flipkart, Blinkit or Instamart, anybody you can talk. That is one. On food, we have registered our products and we have different market share in different type of products. If you take atta, we have around 15% share; we take basmati rice around 12%, 15%; but besan on 10%, 12%, like this we have different market share in different and the demands are there. Our volumes are growing phenomenal and 73% growth we have seen in e-commerce. Advantage is that we have used IT to ensure that fill rates are almost 85% to 90%.

And what counts is your fill rate. If the fill rate is good, we have seen the uptakes are good and sales are better. Margin-wise, e-com pay is better.

Harit Kapoor: Got it. No, sir, my question was regarding the mix between edible oil and FMCG, that what out of the INR3,900 crore

is, what you said in last 12 months, what percentage contribution is coming from edible oil versus foods?

Angshu Mallick : See, when it comes to edible oil, we roughly do edible oil around -- edible oil is around 59% is edible oil, say 60% out of INR3,900 crores.

Harit Kapoor: Got it. And profitability?

Angshu Mallick : 60% is around INR2,400 crores is this and INR1,500 crores is food, but food is growing faster.

Harit Kapoor: Got it. And a margin profile would be also better for foods business in quick commerce compared to, let's say, in general trade channel because a lot of logistic cost and you would be saving that?

Angshu Mallick : Yes, one is logistic cost. Second is salespeople cost because hardly any sales people have to go. We have a central department, which manages everybody together. And third is that we have benchmarking. So we can benchmark with the competition and ensure that our prices are either very close, a little higher or a little lower, but then we have a benchmarking system that enables us to get better margin.

Harit Kapoor : Got it. And sir, one bookkeeping question that we have seen that there is a huge jump in employee cost for the quarter as well as in some of the previous quarter also, we have seen that jump. So what would be the steady state or, let's say, annualized employee cost we should assume for your business? And second, can you quantify the one-off amount in other income line item, which is seeing significant jump in this quarter?

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Shrikant Kanhere : So on employee, I would -- I'll explain you. Basically the jump which you are seeing in employee cost is basically on account of the consolidation of GD Foods now into these numbers. So basically, when you are comparing with June '24, it's not an apple-to-apple. So one is that. So if you normalize for that GD Foods, the employee cost has gone up by close to 11%, 12% versus last year, which is quite okay.

And for the full year, if you look at -- if you really want to look at full year employee cost number, I think you can take a base of 25%. And over that, you can apply any number of close to 10% kind of inflation and that you will get it for your modelling.

Harit Kapoor: Got it. And other income?

Shrikant Kanhere : Yes, what was your question, sorry?

Harit Kapoor: So can you quantify the one-off amount in other income line item?

Shrikant Kanhere : Okay. So basically, it's a derivative or rather, I would say, some of the hedges which we settled.

That was I was explaining to Abneesh or some other person that when you look at inventory loss, you should look at including the hedging. So this -- so as per the accounting actually according to us, it ideally should have got classified as a cost of goods sold, but accounting standard doesn't allow that. So therefore, the one -off is that settlement of hedges.

Harit Kapoor: No. So I was asking what is the amount of that one -off adjustment?

Shrikant Kanhere : The amount of one -off that adjustment is close to INR150 crores.

Harit Kapoor: Got it. That's it from my side. Thank you very much, sir.

Shrikant Kanhere: And it's not a one -off because it may or may not happen next quarter because it's the way how you do in accounting.

Harit Kapoor: Yes. That I understood that. It's just that I wanted to see that what would be the normalized EBIT margin for the oil business because of that.

Harit Kapoor: Yes.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Shrikant Kanhere : Yes, thank you, everyone for attending the call and asking the questions. We hope that we are able to answer your questions. Thank you very much and do keep in touch with us for any further queries. Thank you.

Angshu Mallick : Thank you, everyone for attending.

Moderator:

Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

AWL Agri Business Ltd.

Formerly known as Adani Wilmar Ltd.

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November 7 , 2025

BSE Limited

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Dalal Street, Fort

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Scrip Code: 543458 National Stock Exchange of India Limited

Exchange Plaza

Bandra -Kurla- Complex, Bandra (East)

Mumbai – 400 051

Scrip Code: AWL

Dear Sir,

Sub: Transcript of Earnings Call of Q 2 of F.Y. 2 6 of AWL Agri Business Limited (Formerly known as Adani Wilmar Limited) ("the Company")

This is in continuation to our earlier letter dated November 4 , 202 5 regarding audio recording of Q2 F.Y. 26 Earnings call held on November 4, 2025. Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You,

Yours faithfully,

For AWL Agri Business Limited

(formerly known as Adani Wilmar Limited)

Darshil Lakhia

Company Secretary

M. No: A20217

A\NL

Agri business

For a healthy growing nation

Page 1 of 16

"AWL Agri Business Limited

Q2 FY '2 6 Earnings Conference Call"

November 04, 202 5

MANAGEMENT : M R. ANGSHU MALLICK – EXECUTIVE DEPUTY
CHAIRMAN – AWL AGRI BUSINESS LIMITED
MR. SHRIKANT KANHERE – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – AWL AGRI
BUSINESS LIMITED
MR. SAUMIN SHETH – EXECUTIVE DIRECTOR AND
CHIEF OPERATING OFFICER – AWL AGRI BUSINESS
LIMITED
MR. PANKAJ GOYAL – INTERIM CHIEF FINANCIAL
OFFICER – AWL AGRI BUSINESS LIMITED

MANAGEMENT : M R. DHIRAJ MISTRY – ICICI SECURITIES
Moderator: Ladies and gentlemen, good day, and welcome to AWL Agri Business Q2 FY '26
Earnings Conference Call , hosted by ICICI Securities. As a reminder, all participant
lines will be in the listen -only mode and there will be an opportunity for you to ask
questions after the presentation concludes. Should you need assistance during the
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conference call, please signal an operator by pressing star, then zero on your touch -
tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhiraj Mistry from ICICI Securities. Thank
you, and over to you, Mr. Mistry.

Dhiraj Mistry: Hi. Good morning, everyone. I would like to thank the management of AWL Agri to give this opportunity to host
this call. From the management, we have with us Mr.

Angshu Mallick, Executive Deputy Chairman; Mr. Shrikant Kanhere, MD and CEO;
Mr. Saumin Sheth, Executive Director and C OO; and Mr. Pankaj Goyal, Interim CFO.

Over to you, sir.

Shrikant Kanhere: Yes. Thank you very much, Mr. Mistry. A very warm welcome and very warm good
morning to all the participants who are joining the call. I'll take you through a quick
deck just to talk about the performance of the company for the quarter 2 as well as H1. For the quarter 2, we delivered a
volume of 1.68 million versus Q1 volume of 1.58
million, which gives us a sequential volume growth of 7% and year -on-year volume
growth of 2%.

EBITDA, we were able to deliver plus of INR600 crores against INR572 crores of Q1. That is also a sequential growth of 7%
in EBITDA. And as far as the year -on-year is
concerned, the degrowth of 9%. Last year been exceptional and had some cyclical
gains of the commodity cycle we had last year. That's why it is negative on year -on-
year.

And on the PAT, INR245 crores consolidated PAT against INR238 crores of last
quarter, a sequential growth of 3% and 21% degrowth when we look at the PAT of INR311 crores for the same quarter last
year. The strong sequentia

I momentum was, in fact, suggestive of the fact that now the sluggishness in the demand that we saw in the Q1 and to some
extent, Q2 is now recovering as the edible oil price is now getting
to a normalized level.

When we look at the half year number, more or less similar kind of trend what we had in Q2. On H1, we delivered a total
volume of 3.26 million against 3.31 million of last year. That is kind of flattish growth. As far as the EBITDA is concerned,
delivered

EBITDA close to INR1,200 crores against INR1,300 crores of last year, that is degrowth of 13%.

And on PAT, the consolidated PAT at INR483 crores against INR624 crores of last
year, that is a degrowth of 23%. On per tonne, in fact, we were able to deliver what we
have been saying in our earlier calls as well as a lot of communication with the
investing community. We have been able to deliver a gross margin of plus of AVVL

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INR11,000 per tonne and also an EBITDA of plus of INR3,500 per tonne on H1 as well as Q2.

In terms of the market context, for this oil year, what we are seeing is the imports actually are flattish. In fact, when we look at overall import, they have reduced by -- they have degrown by 3%. However, one phenomena which is hitting the industry quite for some time is the imports from the Nepal with which the India has got a SAFTA agreement.

And the oil coming from Nepal because Nepal has got a differential duty plus the oil which comes from Nepal has got a differential duty structure and it is cheaper than in general edible oil that companies import. So that is hitting hard as far as the imports are concerned, and that's why the imports have degrown to that extent.

Now Nepal import is close to 12% of overall import that India is going to reduce, particularly for the soya. And most of the import from Nepal is actually coming in the pack form, which is again something very not good for the industry as a whole.

Crude oil prices trend, I think finally, we are seeing the trends which are very normalized kind of trend where the palm is sitting at the low, the cheapest oil today and sun is the costliest oil today. However, the only thing which is still not settling is the spread between the palm and soya, which is quite low at this point of time. And of course, this is also having some kind of impact on, in general, the demand for the soya packed oil.

Just to give a glimpse of how the industry is performing, I mean, the source for this data is, of course, Nielsen. Edible oil grew by 1% in the quarter 2 and similarly, I think, 1% for the Q1 also. So that is -- that's what we have seen for the entire half. The growth in edible oil has not been seen.

And this is -- we can also put some reason to this for a grammage play that has been happening in this industry for -- since last year or so, where the grammage packed -- the pouch, the typical pouch in which edible oil normally gets sold today, and it's one of the highest selling SKU might be for most of the pack players, now getting packed with a content of even 720, 750 grams kind of SKU sizes against the 910 standard size which used to be earlier.

So this is also playing to some extent. I'm not putting everything on the grammage play, but the industry -- what the point I'm trying to play around here is there is a sluggishness in the edible oil industry, which we have seen in the H1. Wheat flour grew by 4% and 7% in Q1 and Q2. Similarly, Basmati has also got a growth of single -- mid-single digit for the H1. AVVL

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The other data point, which is suggestive of the fact that the growth or the demand is sluggish for pack food product is recently, last week, a data released by Ministry of Statistics, MoSPI, suggests that particularly in the fast-moving consumer goods, the non-durable fast-moving c

onsumer good in which the edible oil and all the packed staple and food comes in is actually contracting.

So the data suggests that FY '23 and FY '24, this industry grew by 3.4% and 1.4%, respectively. However, for FY '25, it contracted by 2.7% and for the H1 of FY '26, it contracted by 0.8%. So this is again suggesting some sluggishness.

But I think -- but having said that, all this data is suggesting only for the H1, I think now India has entered into H2, which is more happening half for India, given the fact that most of the festivities in India falls in this half, starting from Diwali till Holi. And we are quite hopeful that this scenario will change as we go forward.

On the business update, as I said, read out in the first slide, we delivered 1.68 million tonnes of volume, which is 2% growth year-on-year. However, if we normalize this volume with the government to government export business that we had last year, which was a onetime business which we did. It is a one-time opportunity that, in fact, came to us.

If we normalize with that, I think the total volume growth instead of 2% will be 4%. And revenue growth is plus of 20% for us. And of course, the revenue growth is driven by high commodity prices. The other highlight for the performance during the quarter,

of course, remains an alternate channel. We remain quite optimistic and excited about this channel.

Now alternate channel is clocking on LTM basis, which is last 12 months, September '25 has clocked more than INR4,400 crores of revenue, and it is growing very fast in which quick commerce is growing more

than 80%, 85% for us. Branded export, again, is something which is very exciting for us. Last year, we started some activities around it, and it has been growing this particular basket grew by now 37% on LTM basis for the September '25.

In general, the edible oil highlights, I would only highlight one thing. The volume growth of 2%. However, when we look at a 3- year CAGR for the edible oil, it is at 7%, and that's what we target to achieve, which is mid -single -digit growth in edible oil as we go forward. Revenue of 26% growth is more from the high prices. PBT of INR 171 crores, 55% drop as compared to last year, and this has got a couple of reasons. Of course -- One is, of course, the low volume itself. And second, of course, is we had some interest -- additional interest charges or finance charges, which we have to bear AVVL Agribusiness

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in the P&L because the kind of demand which we had planned -- basis which the procurement was happened, we couldn't see that demand, and therefore, there was some bump up in the working capital leading to higher interest costs, which was absorbed in this particular quarter.

However, the working capital levels will get normalized in next quarter, and we will see the benefit of the inventory, which is procured earlier finally delivering in the next quarter. The other thing, of course, is in our scheme of the things, you will always have some kind of cyclical plus and minus, gains and losses, which gets translated to the next quarter or which gets preponed to this quarter. So that's -- putting that impact, I think the edible oil, we have been able to deliver the reasonably good number in terms of volume as well as the bottom.

When we talk about the food and FMCG, the degrowth of 10% on the volume, we did close to 320,000 tonnes of volume. However, if we normalize this again by the government -to-government business of rice export last year we had, I think this 10% will go off and it will look like a flattish growth in the food segment. So that's how it looks like.

The flattish growth is also coming from a fact that we -- in this particular quarter, we saw a lot of competition, particularly in the wheat flour coming in from the small regional players. But I think that is only a short-term phenomenon.

The companies like us, I think it is only a quarter phenomenon. And as we go forward, we should be able to recover from this and should give a better growth on the food basket.

The earnings or a PBT is a good story again. We delivered a profit of INR 56 crores on entire food basket, which earlier used to be an EBITDA neutral kind of thing. And of course, on a full year basis, we -- on a H1 basis, we delivered INR 132 crores.

When we look at the market share, we have been able to recover our market share in the basmati rice. When we look at the quarter number Jan -September '24 to Jan -September '25, similar period, market share has gone up from 7.3% to 7.7% in the basmati. Wheat flour, we were able to maintain our market share at 5.5%.

As we go forward, we should be able to consolidate this market share from here. Our other food products are doing good. The sugar recorded 20% percent plus kind of growth. Poha recorded 30% plus kind of growth. Soya nuggets, which is one of the hero product in our food basket in terms of the margin profile, actually marginally declined. I mean the reason for that is, in fact, we were growing till August.

The entire impact came only in September because this is the product in our overall category, which has got an impact of the GST 2.0, where the GST was reduced from AVVL

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18% to 5%. So immediately after the announcement by the Finance Minister, the offtake from the market was slowed down and everyone -- the trade in general was waiting for the GST to come in play before start ordering. And that was the reason why the soya nuggets was -- declined marginally. I think as we go forward in the next quarter, it should be recovered fully.

Industry Essential, again, good story for us. We grew by 20% on volumes, 3- year CAGR of 8% and we delivered one of the best margins for this particular segment, more driven coming from the Oleo business. We had some positive commodity cycle playing in this particular segment, particularly for the glycerine and the soap noodles.

So this is a good story for us. I think normalized profits are also should continue as we look at to the next quarter. On subsidiaries, I talk a little bit on GD Foods, which we acquired in April. I think it is too short a time to call out the numbers. But I think we have been able to deliver a reasonably good number. We have grown by 8% on volumes and 4% on revenue. GD also has got a significant impact because of the GST 2.0 because most of -- in fact, all the products of the GD Foods actually moved from 18% to 5%. So we -- in the H2, in fact, we should see a lot of demand coming in and this company growing in double digit on volume as well as revenue. We have done a lot of work around distribution, leveraging AWL's distribution to see that this company grows. In fact, in the month of August and September, we did a lot of combo offers along with our Atta for Tops product, including sauces and jams, which was -- which received a very good response from the market. Bangladesh, finally, things are looking good. We had a very bad last 2 years, '23 and '24.

Now this year, it is improving. The business environment in the country has improved. We have been able to get some traction now, although the volumes declined only because we are now strictly committing ourselves to only branded volumes rather than selling the loose also. And that's the reason why the volumes declined. However, on the profitability, we have been able to show the positive number in this country. On channels, general trade, I will not talk too much. I think most exciting channel for us remains alternate channel. Alternate channel grew by 35% for us in Q2, in which quick comm actually grew by 86%. And when we look at market share of AWL in Qcomm in most of the products, our market share is significantly high. Soya oil, we are comma

nding more than 50% of market share. Mustard oil, we are commanding more than 40% of market share in this particular channel. So it's a good developing story for us. And as we go forward, I think India will be doing more and AVVL

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more purchasing on these channels, and we are doing a lot of efforts around this and activities around this to see that this channel continues to grow.

On distribution, we continued our efforts to grow the distribution. Now as end of September '25, we are reaching close to 900,000 outlets directly, though our aim is to reach to 1 million outlets. In urban towns, more than 1 lakh plus population, I think we

are reaching every town. So it's 100% coverage of more than 1 lakh population town.

Rural town, which is something which we are working on, now we have close to 58,000 in our fold, which is up by close to 8,000 towns from March '25 and significant growth since March '20 when we were reaching only in the 3,000 -plus kind of towns.

So this is it from my side as far as the performance update is concerned, I think I took a little more time. But anyway, I'll leave it. Now I'll request moderator to open the floor for question and answer. Myself, Mr. Mallick and Saumin and Pankaj are here to answer your questions.

Moderator: Thank you. We will now begin the question- and-answer session. The first question comes from the line of Raghav Maheswari with Kamayakya Wealth Management .

Raghav Maheswari: I wanted to ask about the -- my question was about the margins actually. Like in the presentation, it was mentioned a couple of times that it was due to a higher base effect.

Apart from that, when we are analyzing, let's say, on a COGS basis on your revenue.

So last year's COGS was approximately 87% of your revenue. And this year, it was 88.5%. So where do we see these margins stabilizing? When do you see these margins stabilizing? Are we at the bottom right now? And I would want to know your opinion on that.

Shrikant Kanhere: Yes, so what I'll -- in fact, what I will guide you is better in our scheme of the things, instead of looking at anything as a percentage of revenue, I think my suggestion to you is that you should look at a per tonne basis because in our scheme of the things, revenue goes haywire sometimes because of the commodity prices. So therefore, not necessarily the COGS may set in terms of the percentage or EBITDA may set in terms of the percentage.

What you should be looking at is the gross margins and the EBITDA. So on an overall level, I think what the benchmark that we follow and has been guiding all the investing community is that the gross margin should be in the range of INR 11,000 a tonne and EBITDA of INR3,500 a tonne and we are there as far as this quarter is concerned.

However, having said that, last year, it was a quite significantly higher number. AVVL

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And the reason for that we have been explaining is that last year, we had a couple of good commodity cycle gains and inventory gains, which were sitting in last year's number. And last year number is an exceptional number and not a representative number as such. So that's what you should keep in mind when you do the calculation, I think then you should be able to get a better understanding of this.

Raghav Maheswari: Understood, sir. And any future guidance that you can provide us?

Shrikant Kanhere: The future guidance, I think, remains same. I think the run rate at which we are today running, which is close to INR 11,000 a tonne of gross margins and INR 3,500 tonne of EBITDA per tonne, we should continue to deliver that. I don't see any risk as such in delivering that in H2.

Moderator: Next question comes from the line of Harit Kapoor with Investec.

Harit Kapoor: I just had a couple of questions. One was on the i

ndustry essentials piece. So if you could just give a little bit more detail, the H1 has actually been quite good. And I think you mentioned that Oleo has kind of driven this growth. So how much of the share of Industry Essentials now is oleochemicals?

And how different currently are the margins for o leo versus, say, castor and de -oiled cakes in your mix? The idea here is just to understand that what can be a sustainable kind of a per tonne number that we should look at? I know it is volatile, but oleo is relatively lesser volatility. So just if you could explain Q2 1H as well as the outlook.

Shrikant Kanhere: Yes, Harit, I think on Industry Essentials, there are 3 subsegments to it. One is, of course, oleo as mentioned by you. Second is the castor oil and third is your de -oiled cakes and meals with improved rapeseed meal and of course, the soyabean. This quarter number, of course, is driven more from oleo. And as I said in my opening remarks that we had some good calls on -- particularly for the glycerin and the stearic acid.

So those are the things which has actually given us an exceptionally good number. However, having said that, the reasonable number for the industry essential overall rather, I would put because many a time what happens is you also have a good run in the de-oiled cake also.

But overall, what we look at is similar to what is our overall number, which is close to 11,000 tonnes of gross margin and close to 3,000 tonnes of EBITDA. So in this EBITDA is a little less, so you can configure that way if you really want to build a mode I on Industry Essentials per se. AVVL

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Harit Kapoor: The other thing was on edible oil. Now you very clearly mentioned how the pricing trend has worked for the different oils. And also that H1 from an industry volume perspective has been quite low. I was just trying to get your sense about how do you foresee H2? Do you see that because of these differences in pricing that palm oil will continue to be -- the palm oil piece will continue to be under pressure. And from your perspective, palm oil is a reasonable mix. So do you expect that there is a n improvement in the volume growth for H2 here or because of this palm oil prices still being pretty firm versus soya, there will be an impact. So just wanted to get your thoughts on that.

Angshu Mallick: Okay. See, on -- in H1, you have seen our rupee value turnover has increased by almost 22% plus. That is mainly driven by the higher edible oil prices. And this has impacted consumption. So going forward, what changes we are seeing is that palm prices, whi ch

were higher in the beginning of the year has now come down, and it is at the lower level, which normally it should be.

Soyabean is priced very close to palm, soya and palm will always be same level.

Sunflower is a little high now. But after November, it is likely to come down after the harvest season and the new processing starts in Russia and Ukraine from October,

November. Now with the GST cut, most of the namkeen, frying, bakery, these -- all these products, the taxes are now at 5%. We expect a jump in consumption of snack foods, particularly fried items, namkeens and bakery products.

When this happens, obviously, edible oil is an integral part of these products. So edible oil consumption is likely to go up through this route. And we being one of the largest institutional suppliers to all the institutions in the country, obviously, we s ee higher consumption in the out -of-home consumption segment.

Now as far as in -the-home consumption is concerned, marriage season, better agri production expected. Of course, rains has impacted in large part of the country. But still, overall, the agriculture production should be better. But more important is the rabi crop that will come up now, wheat, mustard seed and chana, 3 major crops, which will

be harveste

d in February, March.

If that crop comes up well, obviously, the rural consumption is likely to be more. H2 is always almost 60% of the consumption and H1 is 40%. So that is how we look at consumption. So I think H2 should be much more better.

Moderator: Next question comes from the line of Pallavi with Sameeksha.

Pallavi: Yes, thank you for taking my question. I wanted to understand... AVVL

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Moderator: We cannot hear you. Your voice is breaking. Can you come in the range and talk?

Pallavi: Yes. Sir, I wanted to understand the difference for the Nepal issue, what's the difference in import duty for the loose and the pack form of oil? And how do we see this getting resolved in the second half for the industry?

Angshu Mallick : Okay. As far as Nepal is concerned, they don't export any loose oil. As per the SAFTA agreement, they can export after only value addition. And they are exporting only in pack form, mostly in 600 or 700 gram pouches. And that also 90% is soyabean oil.

Now they export at 0% duty. And there is a differential duty because we import and

pay 16.5%, whereas Nepal brings at 0. So obviously, Nepal has a pricing advantage over domestic production, one.

Two, all the bordering areas of Nepal, particularly UP, Bihar, Jharkhand, Bengal are all in the proximity of Nepal in terms of freight because our nearest port is Haldia. From Haldia, if I have to send to UP, our freights are higher than Nepal. So technically

speaking, Nepal has a lot of advantage. And that is why almost 15% of Indian soyabean oil imports comes now from Nepal at 0% duty.

Pallavi: So sir, has this increased over last year and caused the disruption?

Angshu Mallick: See, last year, it started with around 90,000 a month when the duty went up in India in September. But then in month of May, the duty was reduced by 10%. So some impact happened. But still today, 60,000, 65,000 tonnes is coming every month.

Pallavi: So this problem will continue into the second half also in terms of impacting our volumes?

Angshu Mallick: It looks like it will continue because as per the SAFTA agreement, I don't think there is much the government can do, although we, as a trade body has been asking the government to put some channelizing agencies so that there is some restriction in terms

of the quality and value addition, which once it was agreed, but nothing much has moved.

Pallavi: Sir, my second question was on the margins in the Q commerce. Are they similar to GT or they are lower given the discounting?

Angshu Mallick: See, earlier, e-commerce margins were much higher than general trade. But slowly,

what is happening in e-commerce also, there is a lot of pressure to promote and keep

your brand on top of mind on the consumers. And as you know, there is a lot of competition in the e-comm also, not within the oil segment, I'm talking, between

FMCG products, there is a competition. AVVL

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So the Atta brand may push Atta, oil may do oil, chocolates may do chocolates, but then the e-commerce generally promotes it through whoever gives them more money.

So e-commerce is still better in margin, but it used to give us even better margin than general trade, which is now, I would say, at par or a little more than general trade.

Pallavi: And sir, my last question is what would be the share of institutional sales for our oil business percentage?

Angshu Mallick: Today, overall oil, we sell to institutions almost 20% of our total volume, mainly to big institutions like Parle, Britannia, Nestlé, Mondelez, KFC, then you have Haldiram,

Bikaji, Balaji, all these types of institutions for frying oil, for bakery products, for value-added sunflower oil and soyabean oil.

Pallavi: Right, sir. Sir, then it's difficult to understand the 2% decline, I m

ean, for volumes given institutional, I thought that would be larger and that's why the consumers are not.

Angshu Mallick: No, institutions also were not doing so well in the first half of the year, and they had got impacted in September also because after the announcement of cut, their sales also

were -- their productions were actually stopped for some time because they wanted to

clear their old stocks. So the first half institutions were under pressure, particularly Q1.

But going forward, with the GST rationalization and coming down to 5%, a lot of unbranded products will now get into the official fold, and we expect brands, good brands to do even better.

Pallavi: Last question is on the market share loss that you've seen around 100 bps, 17% in the

oil. Is that -- will that reverse? And what would be the reason?

Angshu Mallick: See, we are very strong in North India, particularly Delhi, Haryana, Punjab, UP, Bihar, Bengal, Jharkhand. These are our strength areas, and these are the areas where the Nepal low-cost soyabean oil has impacted. And we being the largest player. And let me tell you, we have over 50% market share in Bihar, over 55%, 60% in Delhi, 60% in Haryana, Punjab. So obviously, we being the largest shareholder, there, we got impacted because of the cheaper Nepalese brands.

Pallavi: Right. And Nepal share would be how much in the market share the Nepal oil.

Angshu Mallick: I think Nepal oil put together is in the range of around 2%, 3% overall market.

Moderator: Next question comes from the line of Kunal Shah with Jefferies.

Kunal Shah: So my first question was on this data point which you have provided, which is your stand-alone sales -- branded sales in foods grew 7%. So, I just wanted to understand, does this include regional rice as well? Because I presume there will be some AVVL Agribusiness

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branded component in that. And if yes, what would be the growth if you take out that factor as well? So just like -for-like growth.

Angshu Mallick: These are all branded packed food that we are talking of, and the growth has mainly come from basmati rice, sugar and wheat flour in the Q2.

Kunal Shah: But would this number also have some impact due to regional rice consolidation, or this wouldn't be.

Angshu Mallick: But regional rice, if you look at the packed regional rice, branded is always less. Mostly it is all exported or G2G, what was happening last year. This year, we have exported regional rice, but the volumes are not as high as last year.

Shrikant Kanhere: So Kunal, to answer your question straight, yes, regional rice rationalization does have an impact on the food growth, including the G2G one-time business, which we had.

Kunal Shah: Understood. So for this number to improve, the key drivers will be, let's say, improvement in wheat flour and soya chunk, right, on a, let's say, on the next few quarters.

Angshu Mallick: Yes, of course. Wheat flour, sugar, rice, all have to grow. I mean wheat flour and rice has got a significantly 60%, 65% weightage in our food basket. So these 2 has to grow. There is no doubt about it. Sugar has also become quite a significant player in our overall scheme because we are selling 5,000 tonnes a month of sugar. So of course, all these 3 has to grow to deliver better numbers in H2.

Kunal Shah: Understood. And if you can give some guidance on -- do you think the H2 food growth should be back to your long-term guidance of that mid-teens sort of a number. Or that would be a bit aspirational?

Angshu Mallick: I think so, yes, because second half, we did not have any G2G business. It was normal business and H2 should be as good or even better than last year's second half.

Kunal Shah: Understood. Okay. So that's clear. My second question is on oils. So when you say overall profitability will remain in that INR3,500, INR3,600 mark, would it be

fair to

assume that oils can see better number, which will get reinvested in foods or we can't look at it that way?

Angshu Mallick: Yes. I think you -- that's how it will work because whatever the INR3,500 guidance we give, we give on a blended this thing. And I think in our presentation, we have shared the EBITDAs segment-wise. So yes, oil has to deliver better than INR 3,500

because food is not at that level. So that's how the scheme of the things should work in AVVL

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H2. In case you want anything specific, we will certainly provide you the segment-wise also.

Kunal Shah: Understood. And this question on Nepal. So I just want to understand, is oil a domestic crop in Nepal? Or I mean, do these players import it themselves and then we export it to India?

Angshu Mallick: No, no, they don't have any domestic crop. What they do is that they import degummed soyabean oil from Argentina like the way we all do at Haldia port. And from Haldia port, they take it to the Birganj, where all the plants are located there, and then they refine and bring it back to India. And mostly the border states are impacted heavily because you know it's a very transparent border. And that border is also Raxaul border or any border that you take are part of the domestic consumption market, and that is why it has impacted a lot.

Moderator: Next question comes from the line of Dhiraj Mistry with ICICI Securities.

Dhiraj Mistry: So yes, it's very interesting that you highlighted that there would be backed growth for the FMCG part of the portfolio. But if I remember correctly, a couple of years back, you stated that you would be achieving INR10,000 crores at least in FY '27 or so. So with all this G2G business rationalization and everything, do we still stand with INR10,000 crores in FY '27 or it can be pushed a bit?

Angshu Mallick: If we look at our volume growth, we should grow at 20% food. First half has been a little low because of the G2G. If you remove that, we are still in the growth phase. Second half onwards looks like much better. And going ahead, we have another 18 months to touch INR10,000 crores. So we are working on it. We are aware of it that we had said mentioned INR 10,000 crores, but we will be very close to it for sure. We are on it, and we know that we have to deliver.

We are banking on Gohana plant now getting streamlined. Rice has just started in Gohana, both the lines. So we have around 500 tonne paddy processing daily. Our flour mill is not yet ready. It will be ready by end of November. That has a capacity of around 550 tonnes a day. So that flour will be added to the volume. So these 2 plants, plus we have taken a few more Atta plants, which are coming up in Odisha and Bihar, which we will add to our volume. Overall, overall, I think with the increase in capacity of the food, we should be able to reach very close to 10,000.

Dhiraj Mistry: This you are talking about by FY '27?

Angshu Mallick: FY '27. Absolutely. AVVL

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Dhiraj Mistry: Okay. Okay. And it's very heartening to see that you have improved your margin for the food business with all this rationalization. Would you like to give some guidance for your FMCG business margin going ahead? It should -- or is it safe to assume that the current margin what you have been clocking in the foods and FMCG business, it is safe to assume that we can assume that kind of margin going ahead as well.

Shrikant Kanhere: No. So if I have to answer you this question very straight, I don't think -- see, as Mr.

Mallick said, the aggression to grow top line will remain in the next couple of years.

So therefore, not necessarily that we may be able to deliver what we have -- what we have delivered in H1, right?

Don't assume safely that this will be the margin because

in case we want to accelerate

that growth, we may end up spending a little more on distribution and schemes and promotion. But I think we are now EBITDA positive. In the food, I think we will remain EBITDA positive. That's the only thing which I can surely comment upon.

Dhiraj Mistry: Got it. Got it. And second is on edible oil. Sorry for very near -term outlook and all.

But with a high base of palm oil prices have been coming in the base and everything, can we -- what kind of volume value mix we can expect for the oil business in second half?

Angshu Mallick: See the oil business in second half will be driven more in the soft oil category because as winter sets in, the soft oil category grows, mainly sunflower oil, soyabean oil, cotton seed oil, rice bran oil and mustard oil. These are the 5 oils, which are soft oil, where the consumption is higher in the winter.

Palm will grow because, one, flying industry will go to palm as palm will be the cheapest oil, number one. Number two, bakery industry obviously takes palm. And hence, palm oil should do well in institution business. But in -home consumption, soft oil will do well. So overall, I feel the mix will be more or less same, but soft oil should be a little more.

Dhiraj Mistry: I was asking from volume and value perspective that the first half value growth was somewhere around 26% and volume was more or less flattish kind of a thing. With that -- how that numbers will pan out for second half?

Angshu Mallick: Okay. See, on value front, honestly, not much we can do duty increase or decrease by government or exchange rate. All this happens or commodity prices going up and down. So value, we don't generally track so meticulously as much as we do cost per tonne. AVVL

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Second is as volume is concerned, H2 volume is normally higher than H1, and we

expect H2 volume to be better. Low single digit of 5%, 6% should be a good growth that we should get because the country is not consuming even more than 1%. Imports are down by 3%, but H2 should be still better.

Dhiraj Mistry: Okay. And value would be more or less kind of a flattish kind of a thing with the high base of last year?

Angshu Mallick: Yes, yes, yes. Unless anything drastic happens or any supply chain disruptions or government intervenes and increases the duty tomorrow by 10% or 15%, obviously, prices will go up.

Dhiraj Mistry: Okay. Okay. Got it. And any outlook on margin for second half in oil business? Is it safe to assume? Or you would like to highlight something different?

Shrikant Kanhere: No, I think our normal run rate of 3,500, we should continue on EBITDA. And similarly, the blended gross margins of 11,000 tonnes -- INR11,000 a tonne.

Moderator: Next question comes from the line of Raghav Maheswari with Kamayakya Wealth Management .

Raghav Maheswari: So just to understand the thing which you highlighted earlier regarding the Nepal imports of edible oil. So like you mentioned, overall 12% of soya imports of India is getting accounted for by Nepal imports. So as far as the company is concerned, like what percentage of market share decline has AWL Agri Business seen due to this particular thing? If you can quantify that, if it's possible or a range?

Angshu Mallick: Okay. See, Nepal, everything comes in pouch, 85%, 90% in pouch, and 10% in 15 kilo tins. So they directly compete with the Indian brands in mainly the states of UP, Bihar, Bengal, Jharkhand. Now we have over 50% market share in all these states. So what happens is that our 2 brands, King's and Fortune, both has to compete with these cheaper brands and cheaper means they are 0% duty. So obviously, they are much cheaper.

Today, if you -- on cost to cost, it is around INR15 per liter cheaper than Indian brands. So obviously, the roadside stalls , hotels, dhabas, all these people have started consuming Nepalese oil. W

e are largest shareholders, obviously, we have got a hit and our soyabean market share has dropped by almost 2.5%, 3%. That is why at all India

level in refined oil consumer pack, we have lost share of around 50 basis points.

Moderator: Next question comes from the line of Niharika Karnani with CapGrow Capital. AVVL Agribusiness

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Niharika Karnani: Just one question from my end. So in the food and FMCG segment, we spoke about margin thing. So top line expansion would be there aggressively by spending more on distribution. So I wanted to understand when do we see this segment contributing meaningfully towards margin? And overall for the company, what steps are being taken to drive margin expansion?

Shrikant Kanhere: See, I think what we have been saying for quite some time is that this segment will remain an EBITDA neutral for some time, though if you look at our past couple of quarters, we have been actually EBITDA positive on this segment. But having said that, we will remain aggressive on spending to grow.

And therefore, our sense is that not before FY '28, we should start contributing really meaningful to the bottom line because by only by that time, FY '28 means what I'm saying is practically 3 years from now because right now, we are into FY '26, then you have a '27 and then '28. That's where it will start contributing meaningfully to the bottom line , and I think better than oil rather, I would say.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Shrikant Kanhere: Yes. From AWL team, we thank you, everyone, for attending the call , hearing us. Please do reach out to our Investor Relations team for anything specific you want to understand on the company and company model. Thank you.

Angshu Mallick: Thank you, everyone, who have joined this call.

Moderator: Thank you. On behalf of AWL Agri Business and ICICI Securities, that concludes this conference.

Thank you for joining us. You may now disconnect your lines. AVVL Agribusiness

Call: Feb 2026

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February 9, 2026

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Mumbai – 400 051 Scrip Code: A WL

Dear Sir,

Sub: Transcript of Earnings Call of Q3FY26 of A WL Agri Business Limited (Formerly known as Adani Wilmar Limited) ("the Company")

This is in continuation to our earlier letter dated February 3, 2026 regarding audio recording of Q3FY26 Earnings call held on February 3, 2026. Please find attached transcript of the Earnings Call.

You are requested to take the same on your record.

Thanking You, Yours faithfully, For A WL Agri Business Limited
(formerly known as Adani Wilmar Limited)

Darshil Lakhia

Company Secretary M. No: A20217

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For a healthy growing nation

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"AWL Agri Business Limited

Q3 FY'26 Earnings Conference Call"

February 03, 2026

MANAGEMENT : M R. ANGSHU MALLICK –EXECUTIVE DEPUTY

CHAIRMAN – AWL AGRI BUSINESS LIMITED

M R. SHRIKANT KANHERE – MANAGING DIRECTOR

AND CHIEF EXECUTIVE OFFICER – AWL AGRI

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M R. SAUMIN SHETH – EXECUTIVE DIRECTOR AND

CHIEF OPERATING OFFICER – AWL AGRI BUSINESS

LIMITED

M R. PANKAJ GOYAL – INTERIM CHIEF FINANCIAL

OFFICER – AWL AGRI BUSINESS LIMITED

MANAGEMENT : M R. ASHUTOSH JOYTIRADITYA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the AWL Agri Business Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Ashutosh Joytiraditya from ICICI Securities Limited. Thank you, and over to you, sir.

Ashutosh Joytiraditya: Thank you, Rutuja. Hello, and good afternoon, everyone present on the call. I, on behalf of ICICI Securities, welcome you on AWL Agri Business Limited's Q3 FY '26 Earnings Call. I would like to thank the management to give this opportunity of hosting the call.

On the management, we have Mr. Angshu Mallick, Executive Deputy Chairman; Mr. Shrikant Kanhere, MD and CEO; Mr. Saumin Sheth, Executive Director and Chief Operating Officer; and Mr. Pankaj Goyal, the Interim CFO.

I'll now hand the call over to the management for any opening remarks. Thank you.

Shrikant Kanhere: Thank you, and good evening, everyone, and thank you again for joining this call. I will begin with a brief overview on the operating environment, followed by our Q3 performance and the key business updates.

During the quarter, operating environment remained mixed with a heightened volatility in sunflower oil following intensification of Ukraine conflict, even as Russia emerged as the largest supplier to India. Edible Oil prices more or less remained largely rangebound with a grammar-led value offerings continuing across the industry. We also saw of late Indonesia delaying the

B50 mandate and a continued availability of cheaper soya imports under the SAFTA route into the India shaping overall market dynamics.

Edible Oil imports have remained broadly flattish over past two oil years now, close to 16 million tons in both

the years. During the current year, import across all three major oils, palm, soya and sunflower were lower compared to the last year, indicating major consumption and the inventory discipline.

Sunflower continued to trade at a premium over soya and palm during the quarter. And at the same time, the price gap between the soya and palm widened meaningfully influencing customers' choice and a portfolio mix across the category. So finally, we are seeing the chart which usually we used to see a couple of years back, where sunflower sitting on the top of the table followed by soya and finally palm.

On wheat side, this year, the wheat prices more or less remained rangebound between the range of INR27, INR27.5 to INR28.5 or INR29 per kg, flattish kind of price trend that we have observed. This essentially puts players like us into a disadvantageous position who procure a significant amount of wheat during the harvest. And of course, it puts into advantageous position to all the smaller and repackers who normally work on a replacement basis. AWL

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On the results snapshot for the Q3 FY '26 against this backdrop, Q3 FY '26 overall volume grew by 3% year-on-year, while revenue increased by 10%. Profitability during the quarter was in line with the management estimates, reflecting disciplined execution in a stable pricing environment.

Our core brands continued to perform well with Fortune oils -- Fortune brand, rather, I would say, and Food delivering a very healthy growth of 13% year-on-year. Kohinoor, which we acquired in May 2022, registered a strong growth of 32%, while King's, which is now second largest brand in India. Oil and food together grew by close to 7% year-on-year. Growth was broad-based across the channels, but the alternate channel and HoReCa plus the branded exports delivering even stronger momentum.

On the P&L, our stand -- on a stand-alone basis, volume grew by 2% during the quarter with a revenue growth of 8%. On a per ton basis, that is what we always suggest to look at our

profitability metrics, both the gross profit as well as the EBITDA remained in line with our stated management estimates.

On a consolidated basis, volumes grew by 3% year-on-year with a revenue growth of 10%. The difference between stand-alone and consolidated profitability reflects improving performance of our Bangladesh subsidiary and a consolidation of G.D. Foods and Omkar Chemicals, both of which are scaling-up well. On a quarterly gross profit trends and EBITDA trends, we are delivering strong improvement in the gross profit and EBITDA per ton as compared to the previous quarters. This reflects better operating leverage, product mix and a sustained cost discipline.

On the business updates, at a company level, volumes grew by 3%, led by oils, with Food remained broadly flat, excluding G2G sales that we had last year. Industry Essentials declined due to challenging macros in castor, while oleo continued to scale steadily. Our last 12-month EBITDA now is close to INR2,200 crores and the Q3 EBITDA stood at INR637 crores. Consistently, we are delivering EBITDA of plus of INR600 crores quarter after quarter. Alternate channels for us continued to scale very rapidly with last 12-month revenue from this only channel close to INR4,800 crores now.

The demand environment remained moderately challenging, though the offtake improved in the second half of the quarter. Edible Oil volumes grew by 8% with broad-based growth across categories and double-digit growth in mustard.

Market share improved sequentially on a quarterly basis, supported by high marketing intensity and continued grammage play that we saw across the industry. On a food volumes were impacted by pricing action in the wheat and a flat G2G sales. However, our domestic branded rice business delivered robust and sequentially improving growth.

We maintain

market share in wheat, flour and saw meaningful improvement in the Basmati rice market share. Now Basmati rice market share is now on a MAT basis has actually crossed AWL

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11.9%. Products other than rice and wheat continued to grow in a strong double digit and now contribute to the 30% of the Food & FMCG volume. And these products are basically sugar, nuggets, poha, suji, rawa, maida and other products, which constitute now 30% and growing in a double digit.

On Industry Essentials front, volumes were impacted by macro challenges in castor, while oleo volumes are flattish. Oleo contributes about 30% of the segment and continues to deliver high single-digit margins. We are steadily diversifying into specialty chemicals, which now contributes close to 7%, 8% of our oleo volumes and offer higher margin potentials.

On G.D. Foods, which we acquired this year in April 2025, the business delivered a growth of - revenue growth of 15% with underlying volume growth of 18%. Material margins stood at healthy 54% and distribution expenses remained the key focus. Alternate channels grew sharply for this particular business as the G.D. is increasingly leveraging AWL's distribution and infrastructure plus bundling -- bundled offer along with the AWL products.

Our priorities for G.D. Foods includes accelerating distribution expansion, leveraging AWL's infrastructure and scaling channels beyond general trade. We are also focused on driving growth in tail-end products to broaden the portfolio and improve overall throughput.

On brand investment, we are consistently investing in this. We stepped up brand investment during the quarter with multiple new advertising campaigns launched across the region. These investments are aimed at strengthening brand salience and supporting medium-term growth across the categories.

As far as the distribution is concerned, now we reach close to 9,50,000 outlets across the country directly. Rural distribution has scaled up to over 60,000 towns now, and we are now focused on improving throughput and distribution efficiency.

Alternate channel remains one of the core focus area for us as this is the channel of the future and growing very fast. Alternate channels continued the strong momentum this quarter also with the volume growing by 42% year-on-year. Quick commerce now accounts for close to 30% of our overall alternate channel volumes, and we continue to invest behind this channel given its growth potential.

Quick commerce volume grew by a robust 65% year-on-year during the quarter. Our brand strength is clearly reflected in the market leadership across the categories with strong shares in oil, soya nuggets, besan, sugar and maida. We continue to invest in expanding our meaningful portfolio.

And therefore, in that direction, in the health and convenience portfolio. We launched Fortune Multi Grain Atta during this quarter. And the initial feedback is quite positive on the product. Our value-added and convenience offering across oils and food are also steadily scaling as we plan to expand this portfolio further in the coming quarters. AWL

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With this, I think I am done with the initial thoughts about the performance of the company for the quarter. And now I hand over call to the Chorus team to open the lines for Q&A. And me, along with Mr. Mallick and Saumin and Pankaj are here, and happy to take questions from the participants. Over to you.
Moderator: The first question is from the line of Sanjay Shah from KSA Securities Private Limited.

Sanjay Shah: Sir, your guidance regarding -- you had guided for INR3,500 crores to INR3,000 EBITDA per ton as a sustainable. So now in stressed commodity cycle, what are the biggest levers that you can use to protect these numbers?

Shrikant Kanhere: See, actually, t

he levers are basically -- it's like more to do with the proper risk management that we follow. I mean in a sense, the guidance that we gave of INR3,500 crores to INR3,600 is basis all the risk management that we have put in. And this is generally we have been able to deliver. And given the fact that our positions are not speculative in nature, and therefore, we -- and that is the basis at which we are giving this estimate of INR3,500 to INR3,600. And generally, we have not seen this per ton margins going down below this, even in very strong bearish or a volatile trends.

Sanjay Shah: That's great. Sir, in food business, we have become now EBITDA positive. So what margin band should we expect when the scale and when this business grows meaningfully?

Shrikant Kanhere: See, this business to actually deliver meaningful EBITDA, I think we will still have to allow some more time to this business. As we have said earlier that we have -- we took some pricing correction this year, and therefore, we are EBITDA positive. But however, having said that, this business will still remain in an investment phase or a growth phase as we go forward.

For a meaningful EBITDA margins, I think we will have to wait for another 2 to 3 years where it will start delivering. And as we have been saying earlier also, the food has got better margin profile than Edible Oil. And what we have seen in our competition, the EBITDA margins anywhere between 5% to 6% or a little over 6% to 7% are something which we can look at for the food. However, having said that, as I said earlier, this business for at least some time for next 2 to 3 years will still remain into our investment phase.

Sanjay Shah: And sir, my last question is regarding G.D. Foods. As we have done 54% material margin, how much of these margins advantage can we retain as volume scale using AWL distribution channel?

Shrikant Kanhere: No. So I think we have already retained these margins. So in fact, when we took over G.D. Foods, the material margins were actually in the range of 50% kind of margins. We have actually -- while scaling up the business, we have been able to retain this margin. So it's not -- so we don't want to grow by being aggressive on the pricing in the market. Rather, we want to leverage the AWL distribution. That is what we are doing. So to answer your question straight, I think we will maintain these margin levels, but we'll be able to showcase growth just by leveraging the AWL distribution.

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Moderator: The next question is from the line of Harit Kapoor from Investec.

Harit Kapoor: I had a few questions. So the first one on the soya, palm, sun kind of pricing situation. It seems like things have a little bit normalized. Your volume growth is also back. Just wanted to get a sense of how you're kind of thinking about the macro context on the Edible Oil prices. You have a strong team who kind of works around this. So -- and how in turn could that kind of affect the overall volume growth, maybe a near to medium term will be helpful basis your understanding.

Angshu Mallick: See, one is that -- we have been in all the category of oil that we work. So as a brand or as a company, we are present in all the oil. So whenever there is an escalation in price of one particular oil, say, sunflower oil, then soybean oil is there with us or mustard oil or palm oil to back up the volume. So if you see the growth that is happening is an all-round growth, which we are doing in all the oils. The growth has come from mustard oil. It has come from soybean oil. It has come from sun oil also.

Overall, price-wise, there has been some escalation in prices of particularly sun oil because of the tightness in the market in supply chain. But otherwise, palm oil and soya has been rangebound. So it has helped us to grow the volume. Going forward, the -- we are confident that with the

brand and with the type of distribution that we are expanding, it's possible for us to continue with the volume growth.

Harit Kapoor: And you mentioned about the smaller grammages market moving to 750 grams. So what's happening here? Why the movement downwards? Is it a price thing? Is it affordability, driving up affordability? Is it competitive intensity? If you could give some color on what's happening in the market as you're moving down SKUs?

Angshu Mallick: See, amongst all the food products, if you see last year versus this year, Edible Oil prices are almost 20% higher. So what happened is with the inflation pressure, at least 3, 4 months back or a year back, the pressure on prices were huge. So what happened was when the packaging order law change that you can have any grammage as long as you mentioned the same. So competition started reducing the weight so as to reduce the price. And it started from 1000 grams, to say, 900 and then 850, then 800, then 750.

Now at 750, it is almost stable at 750, and all the competitors are at 750 levels. This is only to reduce the price and create affordability. And I'm sure if the Edible Oil prices remain stable or calm, the grammage might go up, and it is possible. But in case of mustard oil, we have seen there is no grammage cut. This is mainly in palm oil and soybean oil. We have seen that. Even in sunflower oil, we have seen grammage cut.

Harit Kapoor: Got it. Got it. And if you look at EBITDA per ton this quarter for Edible Oil, actually very healthy, if you add back the derivative gain. So is there something where we can -- apart from the other -- what's sitting in the other income, which is the derivative gain, can we also assume that because of the way the prices did move up, there would have been some kind of mark-to-market positive gains on commodity as well in this quarter on Edible Oil? Ex the derivatives, ex the forex business? AWL

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Shrikant Kanhere: Yes. No, that's fine. I think very -- I mean right question to ask. When you look at our number, I think -- and this is has been -- we have been saying this for quite some time, is looking at a quarter number is not actually the right way of looking at it. In our scheme of the things, since we plan everything for 90 days, given the fact that we are quite a big operator dealing in some more than 3 million, 3.5 million tons of oil.

Our planning cycle goes beyond 90 days. And therefore, when you plan it in such a way, you always have an overlap of some M2M between the quarters. And therefore, if you really look at a 6-month level or a yearly level, is there something which gives you a right number.

So always, you have either some overlapping shifting from previous quarter to this quarter or something getting shifting in this quarter to that -- to the next quarter. And that's the only reason.

And therefore, we say that on a guidance level, you should be working on anywhere between INR3,600 to INR4,000 a ton, and that we should be able to deliver.

Harit Kapoor: Got it. Right. I think last question was on FMCG. So we've seen this kind of muted situation on the volume side, but now we are actually seeing your sequential market share is also kind of improving in the higher growth categories, in the branded categories. Just wanted to get your sense on when do we start to see ex G2G, which is now pretty much not in the base also. When do we start to see an acceleration in volume growth in Food & FMCG? I mean what is your kind of thought process outlook there?

Angshu Mallick: Yes. On Food & FMCG, when you see and you break down all these products, you will find that, except for non-Basmati rice and Chakki Atta. All our food products have shown a very healthy growth in some of the products is 20% plus, whether it be sugar or poha or maida, suji, rawa, dal, besan, even Basmati rice. As you see, Basmati rice also, m

arket share has improved substantially.

Now, what has happened in non-Basmati rice is that we have done some consolidation internally.

Last year, we expanded rapidly, but then we found that non-Basmati rice needs to be understood well at each geography.

And so we consolidated it. And then again, we are now getting back

into the action after our learning s, how to get the business well structured. That is one. And you will see going forward that our non-Basmati business is giving us volumes. That is one.

And two is that Chakki Atta, as said in the presentation that wheat did not -- prices did not increase. As a result, we did not get the carrying cost as every year we would get if we store the wheat. And we generally stored the wheat for 6, 8 months only to ensure that the quality remains consistent throughout the year.

Now local players have the advantage that they work on hand-to-mouth inventory. Obviously, they could buy the wheat at a cheaper price and be much more competitive. And that is why we did not grow much in both non-Basmati rice and Chakki Atta. These are 2 big portfolios in the food had -- we had grown there even 10%. The overall food basket would have grown by 15% or so. AWL

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So we are confident that going forward, things would be better. As we see now, January also, we have seen both non-Basmati rice and Chakki Atta has started showing better results and new

crop is awaited anytime from March, we will get the new crop of wheat. And non-Basmati rice also, new crop has started coming from November onwards. So things are a little better.

Harit Kapoor: Got it. And last question, if I may. Your outlook on the prices for Atta -- for wheat and rice, given that new crop is likely to come in soon. Prices haven't moved up much as you rightly mentioned. Is this -- I mean if one could guess for the next 6, 12 months, is there a stable price outlook right now? Is that how you're thinking about for both these commodities?

Angshu Mallick: I think the non-Basmati crop has been very good this year. And I think it is one of the highest production of paddy outpacing even China to become number one. The prices are very affordable, stable, anything at INR38, INR40, you get today, Sona Masoori at the mill level, ex mill level is a very good price, affordable price.

Wheat also, if you see the production is going to be very good, better than last year. And that is because very good monsoon and a couple of weeks so far, the weather conditions are very good. So wheat production also will be higher than last year, which makes both the commodities as very, very stable prices. And while there is stable prices, obviously, the brands have advantage.

Moderator: The next question is from the line of Dhiraj Mistry from ICICI Securities.

Dhiraj Mistry: Sir, first question is regarding Edible Oil. So last quarter, you highlighted that there is a soya oil import from Nepal, which is particularly impacting our business in north part of the region.

What's the status on that now?

Angshu Mallick: See, Nepal exports only soybean oil. And that also in consumer pack that what is the -- under SAFTA, they can do that. And most of the market they penetrate are Bengal, Bihar, UP, Jharkhand. These are 4 big markets, where AWL has over 50% market share in soybean oil. So

it has surely impacted earlier. But slowly, what we are finding that with competitive prices and palm olein becoming cheaper, so that is fighting against the imported soybean oil up from Nepal.

So Nepal in flux has reduced by almost 30%, 40%. At its high, it was almost 200,000 tons per quarter. Now it has come down to roughly around 125,000 tons per quarter. So it has reduced, not that it has become 0, but the impact has surely come down. And that is why you see our market share has also seen improving in Q3.

Dhiraj Mistry: Okay. Okay. And sir, second is on Foods

business. So our aspiration of INR10,000 crores, which

was there earlier for FY '27. Where are we in terms of -- you would expect any delay in terms of achieving that INR10,000 crores of top line?

Shrikant Kanhere: Yeah. I think, see -- so this INR10,000 crores of estimate that we gave, of course, basis the kind of growth that we saw on the food side in FY '23, '24 and '25. '26 was flattish for us and I think we spelt out the reasons why it was flattish. As we go forward in '27, I don't think we will have any such of reasons which we had this year will be there. AWL

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Having said that, I think meaningfully G.D. Foods also contributes to it along with a couple of more interventions that we are going to take. I think we -- if not INR10,000 crores, I think we would be in a striking distance that we are trying to work out. Yes. But FY '27, INR10,000 crores seems to be now kind of number, which we may not be able to achieve, maybe it may go to FY '28, but we would suddenly be into a striking distance of this number.

Dhiraj Mistry: Got it. Got it. And sir, in Foods business, we have seen a lot of innovation where the new product launches has been quite aggressive in a way. What would be the contribution of NPD to the overall growth of FMCG and Foods in our portfolio?

Angshu Mallick: See, in our portfolio, we have not been aggressive in ready-to-eat because only ready-to-cook we have gone into, in which we have this Biryani kits of different varieties. We have double roasted suji that we have put. We are also put Xpert functional oils, which have started doing well.

So these are some of the NPD products, which have done well. But as a percentage, it cannot sound very big because our general staples business is quite large. In Edible Oil, obviously, if you look at our total volume, it's very large. So these all put together, NPD will be roughly around INR500 crores or something in that range.

Dhiraj Mistry: No, got it. I was asking that NPD contribution to the Foods and FMCG. Yes, but INR500 crores, I can reverse calculate it. And it would be safe to assume that all this NPD would be more of a margin accretive for you compared to the existing portfolio of FMCG and Foods?

Angshu Mallick: Yes, surely. The margins are higher. Only thing is that in the beginning, you need to invest in some of the brand building or promotion or creating some consumer connect. That cost, if you take it up, then surely, it has much, much higher margin. If you take our Xpert Oil, say, Immunity Oil, this oil gives us at least 3x more margin than the normal. But then these are new oil, which you need to advertise or you need to inform consumers in any way.

We have now -- we have cold-pressed oil. We have just launched cold-pressed oil. We have Pehli dhaar as first press, but now I have introduced cold-pressed mustard oil. We are working

on cold-pressed ground nut oil. We have Multi Grain Atta, we have just launched Multi Grain Atta. We are working on high-protein Atta. There are a few more products on which we are closing very fast.

Dhiraj Mistry: Got it. Got it. And sorry, if I missed, but if I look at only Food & FMCG business, what would be the contribution of this alternate channel and in light of -- and at what rate it has been growing? At the same time, what would be the profitability of this alternate channel compared to, let's say, general trade channel for us?

Angshu Mallick: Okay. See, first at all India level. Let's look at all India level. Food & FMCG staples business, 25% business comes from alternate channels. 75% comes from your general trade. This is at all India level. Now when you go to different towns, say, rural, there isn't any alternate channel, everything is general trade. But rest in towns when you go, you have different alternate channels doing well. AWL

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Now modern trade has been growing at around 15%, 20%, but quick commerce is the fastest, growing at around 65% and e-commerce is growing at around 45%. Overall, overall, the alternate channel has been doing much better. And you can say around 35%, 40% is the average growth rate of alternate channel versus 5%, 7%, 8% in general trade. And in some of the towns when you go further breakup, whether you take Bangalore, Pune, Mumbai, NCR, you will find the food and staples business, 50% comes from alternate channel.

Dhiraj Mistry: Got it. And sir, on profitability and market share, can you comment on for this alternate channel?

Angshu Mallick: E-commerce. E-commerce gives us slightly more. Modern trade also gives us more than general trade for the simple reason that we don't employ or deploy a lot of people in the trade or in the distribution thing. Distributors are not there. Most of it is direct dealing with the clients. So we supply directly to Reliance or DMart or anybody. So that saves us 1 cost as well as the manpower cost is less delivery at 1 point. So these are all some of the savings that you get. Overall, alternate channel gives us better margins than general.

Dhiraj Mistry: Okay. And sir, last question from my end. Can you give some color in terms of demand, let's say, what on-ground demand environment do you see, be it in terms of geography-wise Northeast, West, South or in terms of rural versus urban? And is there any pickup you have been seeing or what your analysis has been that how the FY '27 would pan out in that terms?

Angshu Mallick: Good question. See, first is that at first half was very dull. Both rural and urban was dull. Q3 onwards, October onwards, we started seeing some uptick in consumption, both rural and urban.

Now Q4 normally is a good consumption month because all festivals, Dussehra, Diwali and then marriage season and then overall up to Christmas and New Year, the market is always good.

So Q4 is good for all. But 15th November onwards, we found that rural market started giving us much more consumption. And there was a demand that we can -- we could see clearly, and this demand continues even till today.

Urban markets, I would say, Tier 2 and Tier 3 towns showed very good results and very good demand, which also continues till today. Only the pressure remains in the metro cities where

possibly the stress is still there and alternate channel is taking some business away from the general trade. So that is the possible thing. Otherwise, the demand is up.

Going forward, what we feel is that with the prices stable, market mood sentiments are positive.

Agri production is increasing. Overall, overall, the consumption mood is much better. And staples, normally, people come a little later on buying bigger quantity. They first buy other products.

But once they now see that rice, wheat, flour, sugar and all these prices are stable, consumption starts growing. We are looking at least single-digit growth in Edible Oils and double-digit in

Food going forward. That is what indicates -- gives -- indications are like that from the market.

Moderator: The next question is from the line of Ashu tosh Joytiraditya from ICICI Securities. AWL

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Ashutosh Joytiraditya: So my question is on the Foods business. So given the aggression which you have, are you looking for any inorganic opportunity as well the particular Foods segment? And also like if you can -- if you could just elaborate more on the initiatives that you are taking to grow the overall Foods business?

Shrikant Kanhere: See, as far as the inorganic opportunity or inorganic route to grow the business, I would only say that as a company, we keep evaluating a lot of proposals, which comes on our table, and that's a continuous process that keeps going on. I would not comment anything whether the opportunity is t

here today, yes or no.

But I think, yes, as a process, we continue to look out for such kind of any opportunity that comes in and it fits into our valuation and if it's into our bill, we certainly do it as we did in the past, like we acquired Kohinoor and then G.D. Foods. And of course, in oleochemicals, we acquired Omkar Chemicals. So that's always will be there.

As far as the various initiatives are concerned to expand the Foods business, of course, we would be a little bit aggressive as we go forward on some of the product lines like wheat, flour and rice. And of course, the big work that needs to be done, of course, is on the distribution side. So while we say that we are leveraging oil distribution, but answer is, are we there in terms of fully leveraging oil distribution? Yes or no. I think the work is still in process.

So the big initiative that we would be taking is on the distribution side, number one. And number two, given the encouraging results on the quick com and alternate channel, we would be spending quite a big focus and big efforts on this particular channel because this has given us quite a significant growth along with a good market share. So these are the 2 things we will continue to do particularly for the Food.

Ashutosh Joytiraditya: Okay. Okay. Sure, sir. And sir, you have highlighted just now to the earlier participant that Q3, the demand has been good. But like in general, is there any downtrading kind of trend which you've seen, like particularly in the Edible Oil portfolio? Any like movement from Fortune to maybe bulk or regional players, something like that?

Angshu Mallick: No, no. In fact, we are finding -- people are coming back to Fortune. Growth of Fortune is higher than our second brand. And that can be very clearly seen because Nielsen is also catching the same thing. And we have seen our brand Fortune doing better.

So if you see our all India Fortune share has increased, and that's an indication that consumers are, one, getting back into consumption; two, they are getting back into their preferred brands.

So that is possibly because rate reduction was done to ensure that the affordability remains of the brand, and that is why consumption of Fortune is higher than our second brand, King's.

Ashutosh Joytiraditya: Okay. Okay. And one last thing, sir. So on this U.S. tariff, so would the company see any better opportunity for expansion for this oleochemical exports? Anything on that?

Shrikant Kanhere: See, I think the deal has just been announced, not been even 24 hours. I think details will be soon out. We have not yet seen exactly what and how part of the deal. But yes, certainly, on a branded AWL

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export side, we will be certainly get benefited because till now, the branded exports were attracting more than 50% of tariffs, which now come down to 18%.

And the oleo and other things and the bean oil, and there are a lot of discussions going around what will happen, whether India will import bean oil from U.S., yes or no. I think once the details are out, only then anyone can be able to comment on it.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to management for closing comments.

Shrikant Kanhere: Thank you once again for all the participants for joining the call. And if you wish to ask any further questions, any queries, you can certainly reach out to our Investor Relations team through an e-mail, and we will certainly see to it that your queries get answered. Thank you very much again.

Angshu Mallick: Thank you, everyone.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. AWL

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